

⁴⁰⁰[(R) Exemption from complying with any provisions of securities laws, if any, granted by SEBI shall be disclosed.]

(5) Risk factors:

(A) Risk factors shall be printed in a clear readable font (preferably of minimum point ten size).

(B) Risk factors shall be classified as those which are specific to the project and internal to the issuer and those which are external and beyond the control of the issuer.

(C) Risk factors shall be determined on the basis of their materiality. In doing so, the following shall be considered:

- (1) Some risks may not be material individually but may be material when considered collectively.
- (2) Some risks may have an impact which is qualitative though not quantitative.
- (3) Some risks may not be material at present but may have a material impact in the future.

(D) Each risk factor shall appear in the following manner:

- (1) The risk as envisaged by the issuer.
- (2) Proposals, if any, to address the risk.

(E) Proposals to address the risks shall not contain any speculative statement on the positive outcome of any matter or litigation, etc. and shall not be given for any matter that is sub-judice before any court/tribunal.

(F) Risk factors shall be disclosed in the descending order of materiality. Wherever risks about material impact are stated, likely or potential implications, including financial implication, wherever quantifiable shall be disclosed. If it cannot be quantified, a distinct statement about the fact that the implications cannot be quantified shall be made.

(G) Risk factors covering the following subjects, shall necessarily be disclosed wherever applicable:

- (1) Material statutory clearances and approval that are yet to be received by the issuer;
- (2) Seasonality of the business of the issuer;
- (3) Any issue of the specified securities by the issuer within the last twelve months at a price lower than the issue price (other than bonus issues);
- (4) Where an object of the issue is to finance acquisitions and the acquisition targets have not been identified, details of interim use of funds and the probable date of completing the acquisitions;

⁴⁰⁰ Inserted by Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

- (5) Risk associated with orders not having been placed for plant and machinery in relation to the objects of the issue, indicating the percentage and value terms of the plant and machinery for which orders are yet to be placed
- (6) Lack of significant experience of the issuer or its promoters in the industry segment for which the issue is being made;
- (7) If the issuer has incurred losses in the last three financial years;
- (8) Dependence of the issuer or any of its business segments upon a single customer or a few customers, the loss of any one or more may have a material adverse effect on the issuer.
- (9) Refusal of listing of any securities of the issuer or any of its subsidiaries ⁴⁰¹***] during last ten years by any of the stock exchanges in India or abroad.
- (10) Failure of the issuer or any of its subsidiary ⁴⁰²***] to meet the listing requirements of any stock exchange in India or abroad and the details of penalty, if any, including suspension of trading, imposed by such stock exchanges.
- (11) Limited or sporadic trading of any specified securities of the issuer on the stock exchanges.
- (12) In case of outstanding debt instruments, any default in compliance with the material covenants such as in creation of full security as per terms of issue, default in payment of interest, default in redemption, non-creation of debenture redemption reserve, default in payment of penal interest wherever applicable, non-availability or non-maintenance of asset cover, interest cover, debt-service cover, etc.
- (13) Unsecured loans, if any, taken by the issuer and its subsidiaries that can be recalled at any time.
- (14) Default in repayment of deposits or payment of interest thereon by the issuer and subsidiaries, and the roll over of liability, if any.
- (15) Potential conflict of interest of the promoters or directors of the issuer if involved with one or more ventures which are in the same line of activity or business as that of the issuer.
- (16) Shortfall in performance vis-à-vis the objects stated in any of the issues made by the listed issuer or listed subsidiaries in the last ten years, as disclosed

⁴⁰¹ The words "or group companies" omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2021, w-e-f 13.08.2021.

⁴⁰² The words "or group companies" omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2021, w-e-f 13.08.2021.

under the heading "Performance vis-à-vis Objects" in the section "Other Regulatory and Statutory Disclosures", quantifying such shortfalls or delays.

- (17) Shortfall in performance vis-à-vis the objects stated in the issues made by any of its listed subsidiaries or listed promoter(s) in the previous five years, as disclosed under the heading "Performance vis-à-vis Objects" in the section "Other Regulatory and Statutory Disclosures", quantifying such shortfalls or delays.
- (18) Interests of the promoters, directors ⁴⁰³[, key managerial personnel or senior management] of the issuer, other than reimbursement of expenses incurred or normal remuneration or benefits.
- (19) Any portion of the issue proceeds that is proposed to be paid by the issuer to the promoter, directors ⁴⁰⁴[, key managerial personnel or senior management] of the issuer.
- (20) Relationship of the promoter or directors of the issuer with the entities from whom the issuer has acquired or proposes to acquire land in the last 5 years, along with the relevant details.
- (21) Excessive dependence on any key managerial personnel ⁴⁰⁵[or senior management] for the project for which the issue is being made.
- (22) Any material investment in debt instruments by the issuer which are unsecured.
- (23) Non-provision for decline in the value of investments.
- (24) Summary of all outstanding litigations and other matters disclosed in the section titled 'Outstanding Litigations and Material Developments' in a tabular format along with amount involved, where quantifiable. Issuer shall also separately highlight any criminal, regulatory or taxation matters which may have any material adverse effect on the issuer.
- (25) The delay, if any, in the schedule of the implementation of the project for which the funds are being raised in the public issue.
- (26) If monitoring agency is not required to be appointed as per these Regulations, the statement that deployment of the issue proceeds is entirely at the discretion of the issuer.

⁴⁰³ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words "or key management personnel".

⁴⁰⁴ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words "or key managerial personnel".

⁴⁰⁵ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

- (27) Negative cash flow from operating activities in the last three financial years.
 - (28) If the land proposed to be acquired from proceeds of the issue is not registered in the name of the issuer.
 - (29) Any restrictive covenants as regards the interests of the equity shareholders in any shareholders' agreement, promoters' agreement or any other agreement for short term (secured and unsecured) and long term borrowings.
 - (30) Existence of a large number of pending investor grievances against the issuer ⁴⁰⁶[and] listed subsidiaries ⁴⁰⁷[***].
 - (31) In case of issue of secured convertible debt instruments, risks associated with second or residual charge or subordinated obligation created on the asset cover.
- ⁴⁰⁸[32. In case the proforma financial statements / restated consolidated financial statements has been provided by a peer reviewed Chartered Accountants who is not statutory auditor of the Company, the Issuer Company shall put this as a Top 10 Risk Factor in its offer document (DRHP/RHP/Prospectus).]

(6) Introduction:

- (A) Issue details in brief.
- (B) Summary of consolidated financial information.

(7) General information:

- (A) Name and address of the registered and corporate offices, the registration number of the issuer, and the address of the Registrar of Companies where the issuer is registered.
- (B) Name, designation, address and DIN of each member of the board of directors of the issuer
- (C) Names, addresses, telephone numbers and e-mail addresses of the Company Secretary, legal advisor and bankers to the issuer.
- (D) Name, address, telephone number and e-mail address of the compliance officer.
- (E) Names, addresses, telephone numbers, contact person, website addresses and e-mail addresses of the lead manager(s), registrars to the issue, bankers to the issue, brokers to the

⁴⁰⁶ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2021, w-e-f 13.08.2021 for the symbol “.”.

⁴⁰⁷ The words “and top 5 listed group companies by market capitalisation” omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2021, w-e-f 13.08.2021.

⁴⁰⁸ Inserted by Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

- issue and syndicate member(s); URL of SEBI website listing out the details of self certified syndicate banks, registrar to the issue and share transfer agents, depository participants, etc.
- (F) Names, addresses, telephone numbers peer review number, firm registration number and e-mail addresses of the auditors of the issuer.
- (G) Statement of inter-se allocation of responsibilities among lead manager(s).
- (H) Following details of credit rating in case of a public issue of convertible debt instruments:
- (a) The names of all the credit rating agencies from which credit rating including unaccepted rating has been obtained for the issue of convertible debt instruments.
 - (b) Details of all credit ratings, including unaccepted ratings, obtained for the public issue of convertible debt instruments.
 - (c) All credit ratings obtained during the preceding three years prior to the filing the draft offer document/offer document for any of the issuer's listed convertible debt instruments at the time of accessing the market through a convertible debt instrument.
- (I) Following details of IPO grading, if obtained:
- (a) Names of all credit rating agencies from which IPO grading has been obtained.
 - (b) Details of all grades obtained from such credit rating agencies.
 - (c) Rationale or description of the grading(s), as furnished by the credit rating agencies.
- (J) Name, address, telephone number, website address and e-mail address of the debenture trustee, in case of a public issue of convertible debt instruments.
- (K) Name, address, telephone number and e-mail address of the monitoring agency, if appointed, and disclosure as to whether such appointment is pursuant to these regulations.
- (L) Name, address, telephone number and e-mail address of the appraising entity in case the project has been appraised.
- (M) Filing the draft offer document/draft letter of offer/offer document:
- (a) Under this head, the office of the Board where the draft offer document/draft letter of offer/offer document has been filed.
 - (b) Address of the Registrar of Companies, where copy of the offer document, having attached thereto the material contracts and documents referred to elsewhere in the offer document, has been filed.
- (N) Where the issue is being made through the book building process, the brief explanation of the book building process.
- (O) Details of underwriting:

- (a) Names, addresses, telephone numbers, and e-mail addresses of the underwriters and the amount underwritten by each of them.
 - (b) Declaration by the board of directors of the issuer that the underwriters have sufficient resources to discharge their respective obligations
 - (c) In case of partial underwriting of the issue, the extent of such underwriting.
 - (d) Details of the final underwriting arrangement indicating actual number of specified securities underwritten, to be provided in the prospectus before it is filed with the Registrar of Companies.
- (P) Changes in the auditors during the last three years along with name, address, email address, peer review number and firm registration number of auditors and reasons thereof.
- (Q) Green Shoe Option, if applicable:
- (a) Name of the stabilising agent.
 - (b) Maximum number of equity shares in number and as a percentage of the proposed issue size, proposed to be over-allotted by the issuer.
 - (c) Maximum period for which the issuer proposes to avail of the stabilisation mechanism;
 - (d) the stabilising agent shall disclose if it proposes to close the stabilisation mechanism prior to the maximum period.
 - (e) Maximum increase in the equity share capital of the issuer and the post-issue shareholding pattern, in case the issuer is required to allot further equity shares to the extent of over-allotment in the issue.
 - (f) Maximum amount of funds to be received by the issuer in case of further allotment and the use of these additional funds.
 - (g) Details of the agreement or arrangement entered into by the stabilising agent with the promoters or shareholders to borrow equity shares from the latter. The details shall, inter-alia, include the name of the promoters or shareholders, their existing shareholding in the issuer, the number and percentage of equity shares to be lent by them and other important terms and conditions including rights and obligations of each party.
 - (h) Exact number of equity shares to be allotted/transferred pursuant to the public issue, stating separately the number of equity shares to be borrowed from the promoters or shareholders and over-allotted by the stabilising agent and the percentage of such equity shares in relation to the total issue size.

(8) Capital structure:

- (A) The capital structure in the following order in a tabular form:
- (a) Authorised, issued, subscribed and paid-up capital (number of securities, description and aggregate nominal value).
 - (b) Size of the present issue, giving separately the promoters' contribution, if any, reservation for specified categories, if any, and net offer (number of securities, description, aggregate nominal value and issue amount (to be disclosed in that order) and applicable percentages in case of a book built issue.
 - (c) Paid-up capital:
 - (i) After the issue.
 - (ii) After conversion of convertible instruments (if applicable).
 - (d) Share premium account (before and after the issue).
- (B) The following tables/notes shall be included after the table of the capital structure:
- (a) Details of the existing share capital of the issuer in a tabular form, indicating therein with regard to each allotment, the date of allotment, the name of allottee, nature of allotment, the number of shares allotted, the face value of the shares, the issue price and the form of consideration.
 - (b) Where shares have been issued for consideration other than cash or out of revaluation reserves at any point of time, details in a separate table, indicating the date of issue, date of revaluation of assets, persons to whom issued, price, reasons for the issue and whether any benefits have accrued to the issuer out of the issue.
 - (c) If shares have been allotted in terms of any scheme of arrangement approved under sections 391-394 of the Companies Act, 1956 or sections 230-234 of the Companies Act, 2013, as applicable, the details of such shares allotted, along with the page numbers where details of such scheme is given.
 - (d) Where the issuer has issued equity shares under one or more employee stock option schemes, particulars of equity shares issued under the employee stock option schemes may be aggregated quarter-wise, indicating the aggregate number of equity shares issued and the price range within which equity shares have been issued in each quarter.
 - (e) If the issuer has made any issue of specified securities at a price lower than the issue price during the preceding one year, specific details of the names of the persons to whom such specified securities have been issued, whether they are part of the promoter group, reasons for such issue and the price.

- (f) Shareholding pattern of the issuer in the format as prescribed under ⁴⁰⁹[regulation 31] of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015:
- (i) Following details regarding major shareholders: Names of the shareholders of the issuer holding 1% or more of the paid-up capital of the issuer as on the date of filing of the draft offer document/ or end of last week from the date of draft letter of offer and the offer document, as the case may be. Provided that details of shareholding aggregating at least 80% of capital of company shall be disclosed.
 - (ii) Number of equity shares held by the shareholders specified in clause (i) including number of equity shares which they would be entitled to upon exercise of warrant, option or right to convert a debenture, loan or other instrument.
 - (iii) Particulars specified in items (i) and (ii) as on a date two years prior to the date of filing of the draft offer document/ draft letter of offer and the offer document, as the case may be.
 - (iv) Particulars specified in items (i) and (ii) as on a date one year prior to the date of filing of the draft offer document/ draft letter of offer and the offer document, as the case may be.
 - (v) The particulars specified in items (i) and (ii) as on a date ten days prior to the date of date of filing of the draft offer document/ draft letter of offer and the offer document, as the case may be.
 - (vi) If the issuer has made an initial public offer of specified securities in the preceding two years, the particulars specified in items (i), (ii), (iii) and (iv) shall be disclosed to indicate separately the names of the persons who acquired equity shares by subscription to the public issue and those who acquired the equity shares by allotment on a firm basis or through private placement.
- (g) Proposal or intention, negotiations and consideration of the issuer to alter the capital structure by way of split or consolidation of the denomination of the shares, or issue of specified securities on a preferential basis or issue of bonus or rights or further public offer of specified securities, within a period of six months from the date of opening of the issue.

⁴⁰⁹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "Regulation 33".

- (h) Total shareholding of each of the promoters in a tabular form, with the name of the promoter, nature of issue, date of allotment/transfer, number of shares, face value, issue price/ consideration, date when the shares were made fully paid-up, percentage of the total pre and post-issue capital, if any and the number and percentage of pledged shares, if any, held by each promoter.
- (i) The number of members/shareholders of the issuer.
- (j) Details of:
 - (i) the aggregate shareholding of the promoter group and of the directors of the promoters, where the promoter is a body corporate.
 - (ii) the aggregate number of specified securities purchased or sold by the promoter group and/or by the directors of the company which is a promoter of the issuer and/or by the directors of the issuer and their relatives in the preceding six months.
 - (iii) all financing arrangements whereby the promoter group, the directors of the company which is a promoter of the issuer, the directors of the issuer and their relatives have financed the purchase by any other person of securities of the issuer other than in the normal course of the business of the financing entity in the six months immediately preceding the date of filing of the draft offer document/offer document.
 - (iv) In case it is not possible to obtain information regarding sales and purchases of specified securities by any relatives of the promoter, details on the basis of the transfers as recorded in the books of the issuer and/or the depository, as applicable and a statement to such effect.
- (k) Promoters' contribution:
 - (i) Details of promoters' contribution and lock-in period in a tabular form, separately in respect of each promoter by name, with the date of allotment of specified securities, the date when fully paid-up, the nature of allotment (rights, bonus, preferential etc.), the number, face value and issue price, the percentage of promoters' contribution to total issued capital and the date up to which the specified securities are subject to lock-in.
 - (ii) In the case of an initial public offer, details of all individual allotments from the date of incorporation of the issuer and in case of a further public offer by a listed issuer, such details for the preceding five years.
 - (iii) In case of further public offers or rights issues, shares acquired by the promoters through a public issue, rights issue, preferential issue, bonus

issue, conversion of depository receipts or under any employee stock option scheme or employee stock purchase scheme to be shown separately from the shares acquired in the secondary market and its aggregate cost of shares acquired in the secondary market, if available.

- (iv) Details of compliance with applicable provisions of these regulations with respect to promoters' contribution and lock-in requirements.
 - (v) If the issuer is exempt from the requirements of promoters' contribution, the relevant provisions under which it is so exempt.
 - (vi) A statement that the promoter undertakes to accept full conversion, if the promoters' contribution is in terms of the same optionally convertible debt instrument as is being offered to the public.
- (l) A statement that the issuer, its directors or the lead manager(s) have not entered into any buy-back arrangements for purchase of the specified securities of the issuer.
- (m) A statement that all securities offered through the issue shall be made fully paid-up, if applicable, or may be forfeited for non-payment of calls within twelve months from the date of allotment of securities.
- (n) Details of shareholding, if any, of the lead manager(s) and their associates (as defined under the Securities and Exchange Board of India (Merchant Bankers) Regulations, 1992) in the issuer.
- (o) Details of options granted or equity shares issued under any scheme of employee stock option or employee stock purchase of issuer, in the preceding three years (separately for each year) and on a cumulative basis for all options or equity shares issued prior to the date of the offer document.
- (p) The following details in cases where options granted to employees in pursuance of any employee stock option scheme existing prior to the initial public offer, are outstanding at the time of the initial public offer:
- (i) options granted;
 - (ii) options vested;
 - (iii) options exercised;
 - (iv) the exercise price;
 - (v) the total number of shares arising as a result of exercise of option;
 - (vi) options lapsed;
 - (vii) variation of terms of options;
 - (viii) money realised by exercise of options;

- (ix) total number of options in force;
- (x) employee-wise details of options granted to:
 - key managerial personnel ⁴¹⁰[and senior management];
 - any other employee who receives a grant in any one year of options amounting to five per cent. or more of options granted during that year;
 - identified employees who were granted options, during any one year, equal to or exceeding one per cent. of the issued capital (excluding outstanding warrants and conversions) of the issuer at the time of grant;
- (xi) diluted Earnings Per Share pursuant to the issue of equity shares on exercise of options calculated in accordance with applicable accounting standard on 'Earnings Per Share'.
- (xii) where the issuer has calculated the employee compensation cost using the intrinsic value of the stock options, the difference between the employee compensation cost so computed and the employee compensation cost that shall have been recognised if it had used the fair value of the options and the impact of this difference on profits and on the Earnings Per Share of the issuer.
- (xiii) description of the pricing formula and the method and significant assumptions used during the year to estimate the fair values of options, including weighted-average information, namely, risk-free interest rate, expected life, expected volatility, expected dividends, and the price of the underlying share in market at the time of grant of the option.
- (xiv) impact on the profits and on the Earnings Per Share of the last three years if the issuer had followed the accounting policies specified in ⁴¹¹[Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021], in respect of options granted in the last three years.
- (xv) intention of the key managerial personnel ⁴¹²[, senior management] and whole-time directors who are holders of equity shares allotted on exercise of options granted under an employee stock option scheme or allotted under

⁴¹⁰ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴¹¹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023 for the words and symbols "*Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2014*".

⁴¹² Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

an employee stock purchase scheme, to sell their equity shares within three months after the date of listing of the equity shares in the initial public offer (aggregate number of equity shares intended to be sold by the holders of options), if any. In case of an employee stock option scheme, this information same shall be disclosed regardless of whether the equity shares arise out of options exercised before or after the initial public offer.

- (xvi) specific disclosures about the intention to sell equity shares arising out of an employee stock option scheme or allotted under an employee stock purchase scheme within three months after the date of listing, by directors,⁴¹³[key managerial personnel, senior management] and employees having equity shares issued under an employee stock option scheme or employee stock purchase scheme amounting to more than one per cent. of the issued capital (excluding outstanding warrants and conversions), which inter-alia shall include name, designation and quantum of the equity shares issued under an employee stock option scheme or employee stock purchase scheme and the quantum they intend to sell within three months.
- (xvii) details of the number of shares issued in employee share purchase scheme, the price at which such shares are issued, employee-wise details of the shares issued to
- key managerial personnel⁴¹⁴[and senior management];
 - any other employee who is issued shares in any one year amounting to 5 per cent. or more shares issued during that year;
 - identified employees who were issued shares during any one year equal to or exceeding 1 per cent. of the issued capital of the company at the time of issuance;
- (xviii) diluted Earnings Per Share (EPS) pursuant to issuance of shares under employee share purchase scheme; and consideration received against the issuance of shares.

- (q) In case of a further public offer by a listed issuer, which has earlier (after being a listed issuer) made any preferential allotment or bonus issue or qualified institutions placement of specified securities in the ten years preceding the date of

⁴¹³ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words “senior managerial personnel”.

⁴¹⁴ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

the draft offer document/offer document, a confirmation that the relevant provisions of the regulations have been complied with.

(9) Particulars of the issue:

(A) Objects of the issue:

- (1) Objects of the issue.
- (2) If one of the objects of the issue is loan repayment:
 - (a) details of loan proposed to be repaid such as name of the lender, brief terms and conditions and amount outstanding;
 - (b) certificate from the statutory auditor certifying the utilization of loan for the purposed availed.
- (3) If one of the objects is investment in a joint venture or a subsidiary or an acquisition, following additional disclosures:
 - (a) details of the form of investment, i.e., equity, debt or any other instrument;
 - (b) If the form of investment has not been decided, a statement to that effect;
 - (c) If the investment is in debt instruments, complete details regarding rate of interest, nature of security, terms of repayment, subordination, etc.;
 - (d) Nature of benefit expected to accrue to the issuer as a result of the investment
- (4) If one of the objects of the issue is to grant a loan to an entity other than a subsidiary, details of the loan agreements, including the rate of interest, whether secured or unsecured, duration, nature of security, terms of repayment, subordination etc. and the nature of benefit expected to accrue to the issuer as a result of the investment. If such a loan is to be granted to any of the group companies, details of the same.
- (5) If one of the objects of the issue is utilisation of the issue proceeds for long term working capital, the following additional disclosures on a standalone basis:
 - (a) Basis of estimation of working capital requirement along with the relevant assumptions.
 - (b) Reasons for raising additional working capital substantiating the same with relevant facts and figures.
 - (c) Details of the projected working capital requirement, including detailed assessment of working capital after implementation of the project or achievement of objects of the issue, as the case may be, capacity utilisation assumptions, break up of expected current assets into raw materials, finished goods, work in progress, sundry debtors etc., with assumption about the

holding norms for each type of current asset, total current liabilities, net current assets and envisaged sources of finance for net current assets, i.e., bank finance, institutional finance, own funds, etc.

- (d) Total envisaged working capital requirement in a tabular form, the margin money thereof and the portion to be financed by any bank(s) or otherwise.
- (e) Details of the existing working capital available to the issuer with a break up for total current assets into raw materials, finished goods, work in progress, sundry debtors, etc., total current liabilities, net current assets and sources of finance for net current assets i.e. bank finance, institutional finance, own funds etc.
- (f) If no working capital is shown as a part of project for which the issue is being made, the reasons for the same.

(6) **Land:**

- (a) Names of the entities from whom land has been acquired/ proposed to be acquired along with the cost of acquisition, and the relationship, if any, of such entities to any promoter or director of the issuer, in case the proceeds of the issue are being utilised for acquisition of land.
- (b) Details of whether the land acquired by the issuer is free from all encumbrances and has a clear title and whether it is registered in the name of the issuer.
- (c) Details of whether the issuer has applied/ received all the approvals pertaining to land. If no such approvals are required to be taken by the issuer, then this fact may be indicated by way of an affirmative statement.
- (d) Figures appearing under this section shall be consistent with the figures appearing under the section "Cost of the Project".

(7) **Project:**

If one of the objects of the issue is to fund a project, details of:

- (a) location of the project;
- (b) plant and machinery, technology, process, etc.;
- i) Details shall be given in a tabular form, which shall include the details of the machines required to be bought by the issuer, cost of the machines, name of the suppliers, date of placement of order and the date or expected date of supply, etc.
- ii) In case machines are yet to be delivered, the date of quotations relied upon for the cost estimates given shall also be mentioned.

- iii) The percentage and value terms of the plant and machinery for which orders are yet to be placed shall be stated.
- (c) The details of the second hand machinery bought or proposed to be bought, if any, including the age of the machines, balance estimated life, etc. shall also be given. collaboration, performance guarantee if any, or assistance in marketing by the collaborators. The following information regarding persons or entities with whom technical and financial agreements have been entered into shall be given:
 - i) place of registration and year of incorporation.
 - ii) paid up share capital.
 - iii) turnover of the last financial year of operation.
 - iv) general information regarding such persons relevant to the issuer.
- (d) infrastructure facilities for raw materials and utilities like water, electricity, etc.

(8) Property:

If one of the object of the issue is to purchase any property, where arrangements have been made, details of:

- (a) names address, descriptions and occupations of the vendors;
- (b) the amount paid or payable in cash, shares or debentures to the vendor and, where there is more than one separate vendor, or the issuer is a sub purchaser, the amount so paid or payable to each vendor, specifying separately the amount, if any, paid or payable for goodwill;
- (c) nature of the title or interest in such property acquired or to be acquired by the issuer;
- (d) short particulars of every transaction relating to the property completed within the two preceding years, in which any vendor of the property to the issuer or any person who is, or was at the time of the transaction, a promoter, or a director or proposed director of the issuer had any interest, direct or indirect, specifying the date of the transaction and the name of such promoter, director or proposed director and stating the amount payable by or to such vendor, promoter, director or proposed director in respect of the transaction.
- (e) The property to which ⁴¹⁵[sub-clauses (a) to (d) apply] is a property purchased or acquired by the issuer or proposed to be purchased or acquired, which is to be paid for wholly or partly out of the proceeds of the issue or the purchase or

⁴¹⁵ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words and symbols "*sub-clause (a) applies*".

acquisition of which has not been completed as of the date of the draft offer document or offer document, as the case may be.

(9) **Plant/ Equipment/ Technology/ Process:**

If one of the objects of the issue is to purchase any plant, machinery, technology, process, etc.

(i) Details in a tabular form, which shall include the details of the equipment required to be bought by the issuer, cost of the equipment, name of the suppliers, date of placement of order and the date or expected date of supply, etc.

(ii) In case the order for the equipment is yet to be placed, the date of quotations relied upon for the cost estimates given.

(iii) The percentage and value terms of the equipment for which orders are yet to be placed.

(iv) The details of the second hand equipment bought or proposed to be bought, if any, including the age of the machines, balance estimated life, etc.

(10) In case of a public issue of secured convertible debt instruments, description of the assets on which the security shall be created/asset cover, if required, shall be created, the basis for computation of the security cover, the valuation methods, the periodicity of such valuation and the ranking of the charge(s).

(11) If warrants are issued, the objects for which the funds from conversions of warrants are proposed to be used.

(B) Requirement of funds:

(1) Where the issuer proposes to undertake more than one activity or project, such as diversification, modernisation, expansion, etc., the total project cost activity-wise or project wise, as the case may be.

(2) Where the issuer is implementing the project in a phased manner, the cost of each phase, including the phase, if any, which has already been implemented, shall be separately given.

(3) Details of all material existing or anticipated transactions in relation to utilisation of the issue proceeds or project cost with promoters, promoter group, directors, key

managerial personnel,⁴¹⁶[senior management] and group companies. The relevant documents shall be included in the list of material documents for inspection.

(C) Funding plan (means of finance):

- (1) An undertaking by the issuer confirming that firm arrangements of finance have been made through verifiable means towards seventy five per cent. of the stated means of finance for the project proposed to be funded from issue proceeds, excluding the amount to be raised through proposed issue and existing identifiable internal accruals.
- (2) Balance portion of the means of finance for which no firm arrangement has been made without specification.
- (3) Details of funds tied up and the avenues for deployment of excess proceeds, if any.

(D) Appraisal:

- (1) Scope and purpose of the appraisal, if any, along with the date of appraisal.
- (2) Cost of the project and means of finance shall be as per the appraisal report.
- (3) Explanation of revision, if any, in the project cost and the means of finance after the date of issue of the appraisal report.
- (4) Weaknesses and threats, if any, given in the appraisal report, by way of risk factors.
- (5) Disclaimer clauses of the appraisal report, as applicable.

(E) Schedule of implementation: Schedule of implementation of the project in a tabular form and the progress made so far, giving details of land acquisition, civil works, installation of plant and machinery, trial production, date of commercial production and reasons for delay, if any.

(F) Deployment of Funds:

- (1) Details of the sources of funds and the deployment of these funds on the project (where the issuer is raising capital for a project), up to a date not earlier than two months from the date of filing of the offer document, as certified by a statutory auditor of the issuer and the date of the certificate.

⁴¹⁶ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

- (2) Where the promoters' contribution has been brought prior to the public issue, which is utilised towards means of finance for the stated objects and has already been deployed by the issuer, a cash flow statement from the statutory auditor, disclosing the use of such funds received as promoters' contribution.

(G) Sources of Financing of Funds Already Deployed: Means and source of financing, including details of bridge loan or other financial arrangement, which may be repaid from the proceeds of the issue.

(H) Deployment of Balance Funds: Year-wise break-up of the expenditure proposed to be incurred on the project.

(I) Interim Use of Funds: A statement that net issue proceeds pending utilization (for the stated objects) shall be deposited only in the scheduled commercial banks.

(J) Expenses of the Issue: Expenses of the issue along with a break up for each item of expense, including details of the fees payable to separately as under (in terms of amount, as a percentage of total issue expenses and as a percentage of total issue size):

- (1) Lead manager(s) fees including underwriting commission
- (2) Brokerage, selling commission and upload fees
- (3) Registrars to the issue
- (4) Legal Advisors
- (5) Advertising and marketing expenses
- (6) Regulators including stock exchanges
- (7) Printing and distribution of issue stationary
- (8) Others, if any (to be specified).

(K) Basis for Issue Price:

- (1) The basis for issue price, floor price or price band, as the case may be, on a consolidated basis, after giving effect to any bonus or split of shares undertaken after the last balance sheet date:
 - (a) Earnings Per Share and Diluted Earnings Per Share, pre-issue, for the last three years (as adjusted for changes in capital).
 - (b) Price to Earnings ratio pre-issue.
 - (c) Average Return on Net Worth in the last three years.

- (d) Net Asset Value per share based on the last balance sheet.
- (e) Net Asset Value per share after the issue and comparison thereof with the issue price.
- (f) An illustrative format of disclosure in respect of the basis for issue price is given hereunder:

(1)	Adjusted Earnings Per Share (EPS) and Adjusted Diluted EPS	
	(a) Financial Year 1	₹ 0.41
	(b) Financial Year 2	₹ 8.39
	(c) Financial Year 3	₹ 13.82
	(d) Weighted Average	₹ 10.94
(2)	Price to Earnings Ratio (P/E) in relation to Issue Price	
	(a) Based on Financial Year 3 EPS	37.63
	(b) Industry P/E	
	(i) Highest	61.2
	(ii) Lowest	0.8
	(iii) Average	25.3
	(*Indicate relevant source)	
(3)	Return on Net Worth	
	(a) Financial Year 1	27.36 per cent.
	(b) Financial Year 2	28.77 per cent.
	(c) Financial Year 3	33.45 per cent.
	(d) Weighted Average	30.88 per cent.
(4)	Net Asset Value	
	(a) As at last day of Financial Year 3	₹ 46.40
	(b) After issue	₹ 94.29
	(c) Issue price	₹ 520.00

** Formula or basis for calculation of these financial ratios to also be disclosed.*

- (g) Comparison of accounting ratios of the issuer as mentioned in items (a) to (f) above with the industry average and with the accounting ratios of the peer group (i.e. companies of comparable size in the same industry),

indicating the source from which industry average and accounting ratios of the peer group has been taken. In this regard, the following shall be ensured:

- Consistency in comparison of financial ratios of issuer with companies in the peer group, i.e., ratios on consolidated basis (wherever applicable) of issuer shall be compared with ratios on consolidated basis (wherever applicable) of peer group, respectively.

Financial information relating to companies in the peer group shall be extracted from the regulatory filings made by such companies to compute the corresponding financial ratios.

- (h) The fact of dilution of financial ratios consequent upon issue of bonus shares, if any, and justification of the issue price after taking into account the diluted ratios with reference to the expanded capital.
 - (i) The following statement in case of a book built issue :
"The price band/floor price/issue price has been determined by the issuer in consultation with the lead manager(s), on the basis of book-building."
 - (j) The following statement In case of a fixed price issue :
"The issue price has been determined by the issuer in consultation with the lead manager(s) and justified by the issuer in consultation with the lead manager(s) on the basis of the above information."
 - (k) Accounting ratios in support of basis of the issue price shall be calculated after giving effect to the consequent increase in capital on account of compulsory conversions outstanding, as well as on the assumption that the options outstanding, if any, to subscribe for additional capital will be exercised.
- (2) Issue of debt instruments bearing interest less than the bank rate: Whenever fully convertible debt instruments are issued bearing interest at a rate less than the bank rate, disclosures about the price that would work out to the investor, taking into account the notional interest loss on the investment from the date of allotment of fully convertible debt instruments to the date(s) of conversions).

⁴¹⁷[(3) For all the Key Performance Indicators (KPIs) disclosed in the offer document, the Issuer Company and the lead merchant bankers (LMs) shall ensure the following:

- (a) KPIs disclosed in the offer document and the terms used in KPIs shall be defined consistently and precisely in the “Definitions and Abbreviations” section of the offer document using simple English terms /phrases so as to enable easy understanding of the contents. Technical terms, if any, used in explaining the KPIs shall be further clarified in simple terms.
- (b) KPIs disclosed in the offer document shall be approved by the Audit Committee of the Issuer Company.
- (c) KPIs disclosed in the offer document shall be certified by the statutory auditor(s) or Chartered Accountants or firm of Chartered Accountants, holding a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India or by Cost Accountants, holding a valid certificate issued by the Peer Review Board of the Institute of Cost Accountants of India.
- (d) Certificate issued with respect to KPIs shall be included in the list of material documents for inspection.
- (e) For each KPI being disclosed in the offer document, the details thereof shall be provided for period which will be co-terminus with the period for which the restated financial information is disclosed in the offer document.
- (f) KPIs disclosed in the offer document should be comprehensive and explanation shall be provided on how these KPIs have been used by the management historically to analyse, track or monitor the operational and/or financial performance of the Issuer Company.
- (g) Comparison of KPIs over time shall be explained based on additions or dispositions to the business, if any. For e.g. in case the Issuer Company has undertaken a material acquisition or disposition of assets / business for the periods that are covered by the KPIs, the KPIs shall reflect and explain the same.
- (h) For ‘Basis for Issue Price’ section, the following disclosures shall be made:
 - (i) Disclosure of all the KPIs pertaining to the Issuer Company that have been disclosed to its investors at any point of time during the three years preceding to the date of filing of the DRHP / RHP.

⁴¹⁷ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2022, w-e-f 21.11.2022, and shall be applicable for all issues where Red Herring Prospectus is filed with the Registrars of Companies on or after the 21.11.2022.

- (ii) Confirmation by the Audit Committee of the Issuer Company that verified and audited details for all the KPIs pertaining to the Issuer Company that have been disclosed to the earlier investors at any point of time during the three years period prior to the date of filing of the DRHP / RHP are disclosed under 'Basis for Issue Price' section of the offer document.
 - (iii) Issuer Company in consultation with the lead merchant banker may make disclosure of any other relevant and material KPIs of the business of the Issuer Company as it deems appropriate that have a bearing for arriving at the basis for issue price.
 - (iv) Cross reference of KPIs disclosed in other sections of the offer document to be provided in the 'Basis for Issue Price' section of the offer document.
 - (v) For the KPIs disclosed under the 'Basis for Issue Price' section, disclosure of the comparison with Indian listed peer companies and/ or global listed peer companies, as the case may be (wherever available). The set of peer companies shall include companies of comparable size, from the same industry and with similar business model (if one to one comparison is not possible, appropriate notes to explain the differences may be included).
 - (i) The Issuer Company shall continue to disclose the KPIs which were disclosed in the 'Basis for Issue Price' section of the offer document, on a periodic basis, at least once in a year (or for any lesser period as determined by the Issuer Company), for a duration that is at least the later of (i) one year after the listing date or period specified by the Board; or (ii) till the utilization of the issue proceeds as per the disclosure made in the objects of the issue section of the prospectus. Any change in these KPIs, during the aforementioned period, shall be explained by the Issuer Company. The ongoing KPIs shall continue to be certified by a member of an expert body as per clause 3(c).
- (4) For issue price, floor price or price band, as the case may be, disclosed in the offer document, the Issuer Company and the lead merchant banker (LMs) shall disclose the details with respect to the following:
- (a) Price per share of Issuer Company based on primary / new issue of shares (equity/convertible securities), excluding shares issued under ESOP/ESOS and issuance of bonus shares, during the 18 months preceding the date of filing of the DRHP / RHP, where such issuance is equal to or more than 5 per cent of the fully diluted paid-up share capital of the Issuer Company (calculated based on the pre-issue capital before such transaction/s and

excluding employee stock options granted but not vested), in a single transaction or multiple transactions combined together over a span of rolling 30 days; and

- (b) Price per share of Issuer Company based on secondary sale / acquisition of shares (equity/convertible securities), where promoter / promoter group entities or shareholder(s) selling shares through offer for sale in IPO or shareholder(s) having the right to nominate director(s) in the Board of the Issuer Company are a party to the transaction (excluding gifts), during the 18 months preceding the date of filing of the DRHP / RHP, where either acquisition or sale is equal to or more than 5 per cent of the fully diluted paid-up share capital of the Issuer Company (calculated based on the pre-issue capital before such transaction/s and excluding employee stock options granted but not vested), in a single transaction or multiple transactions combined together over a span of rolling 30 days .

Note: 1. In case there are no such transactions to report under (a) and (b), then the information shall be disclosed for price per share of the Issuer Company based on last 5 primary or secondary transactions (secondary transactions where promoter / promoter group entities or shareholder(s) selling shares through offer for sale in IPO or shareholder(s) having the right to nominate director(s) in the Board of the Issuer Company, are a party to the transaction), not older than 3 years prior to the date of filing of the DRHP / RHP, irrespective of the size of transactions.

2. Price per share disclosed, shall be adjusted for corporate actions e.g. split, bonus etc. done by the Issuer Company.

- (c) Floor price and cap price being [●] times the weighted average cost of acquisition (WACA) based on primary/ secondary transaction(s) as disclosed in terms of clause (a) and (b) or Note 1 above, shall be disclosed in the following manner:

Past Transactions	WACA (in Rs.)	IPO Floor Price in Rs. [●]	IPO Cap Price in Rs. [●]
WACA of Primary issuance		[●] times	[●] times
WACA of Secondary		[●] times	[●] times

transactions			
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- (d) Detailed explanation for offer price / cap price being [●] times of WACA of Primary issuance price / Secondary transaction price, along with comparison of Issuer Company's KPIs and financials ratios for the last three full financial years and stub period (if any) included in the offer document.
- (e) Explanation for offer price / cap price being [●] times of WACA of Primary issuance price / Secondary transaction price in view of the external factors which may have influenced the pricing of the issue, if any.
- (f) Table at para (c) above shall be disclosed in the Price Band Advertisement under 'Risks to Investors' section. Recommendation of a Committee of Independent Directors to be included in the price band advertisement stating that the price band is justified based on quantitative factors / KPIs disclosed in 'Basis for Issue Price' section vis-à-vis the WACA of primary issuance / secondary transaction(s) disclosed in 'Basis for Issue Price' section.]

(L) **Tax Benefits:** Any special tax benefits (under direct and indirect tax laws) for the issuer and its shareholders and its material subsidiaries identified in accordance with the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

(10) **About the Issuer:**

⁴¹⁸[

(A) **Industry Overview**

If extract of any industry report is disclosed in the offer document, the complete industry report shall be provided as part of the material documents.]

(B) **Business Overview**

(1) **Details of the business of the issuer:**

- (a) Primary business of the Issuer;
- (b) Plant, machinery, technology, process, etc.
- (c) Description of subsisting collaborations,, any performance guarantee or assistance in marketing by the collaborators, infrastructure facilities for raw materials and utilities like water, electricity, etc.

⁴¹⁸ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023 for the words and symbol "(A) Industry Overview".

- (d) **Products or services of the issuer:**
 - (i) Nature of the product(s)/services, and the end users.
 - (ii) Approach to marketing of products and services
- (2) **Business Strategy:** Description of the business strategy of the issuer, without any forecast of projections relating to the financial performance of the issuer
- (3) **Capacity and Capacity Utilisation:** A table shall be incorporated giving the existing installed capacities for each product, capacity utilisation for such products in the previous three years.
- (4) **Intellectual Property Rights:**
 - (a) If the issuer is entitled to certain intellectual property rights such as trademarks, brand names, etc. whether the same are legally held by the issuer and whether all formalities in this regard have been complied with.
 - (b) In case any of the material intellectual property rights are not registered in the name of the issuer, the name of the entity with which these are registered.
 - (c) In case the intellectual property rights are registered in the name of an entity in which the promoters are interested, the salient features of the agreement entered into for the use of the intellectual property rights by the issuer.
- (5) **Property:** Details of its material properties

(C) Key Industry-Regulations (if applicable):

(D) History and Corporate Structure of the issuer:

- (1) History including the following details:
 - (a) Details of the issuer such as the date of incorporation, date of commencement of business, date of conversion of partnership into limited company or private limited company to public limited company, as applicable, dates on which names have been changed, if applicable, reasons for change of name, changes in registered offices of the issuer and reasons thereof.
 - (b) Details of the major events in the history of the issuer, such as:
 - (i) Significant financial or strategic partnerships

- (ii) Time/cost overrun in setting up projects
 - (iii) Capacity/facility creation, location of plants
 - (iv) launch of key products or services, entry in new geographies or exit from existing markets
 - (v) Key awards, accreditations or recognition
 - (vi) Defaults or rescheduling/ restructuring of borrowings with financial institutions/ banks
- (c) Details regarding material acquisitions or divestments of business/undertakings, mergers, amalgamation, any revaluation of assets etc., if any, in the last ten years.
- (2) Main objects as set out in the Memorandum of Association of the issuer and dates on which the Memorandum of Association of the issuer has been amended citing the details of such amendments in the last ten years
- (3) Details regarding holding company, subsidiary/subsidiaries and joint venture(s), if applicable, of the issuer including:
 - (a) Name of the holding company/subsidiary/joint venture;
 - (b) nature of business;
 - (c) capital structure;
 - (d) shareholding of the issuer;
 - (e) amount of accumulated profits or losses of the subsidiary(ies) not accounted for by the issuer.

(E) Shareholders' agreements and other agreements:

- (a) Key terms of all subsisting shareholders' agreements, if any (to be provided even if the issuer is not a party to such an agreement, but is aware of such an agreement).
- (b) Any agreement entered into by a key managerial personnel ⁴¹⁹[or senior management] or director or promoter or any other employee of the issuer, either by themselves or on behalf of any other person, with any shareholder or any other third party with regard to compensation or profit sharing in connection with dealings in the securities of the issuer.

⁴¹⁹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

- (c) Guarantees, if any, given to third parties by the promoter offering its shares in the proposed offer for sale, stating reasons, amount, obligations on the issuer, period of guarantee, financial implications in case of default, security available, consideration etc.
- (d) Key terms, dates, parties to and general nature of any other subsisting material agreements including with strategic partners, joint venture partners and/or financial partners, entered into, other than in the ordinary course of business of the issuer.
- (e) All such shareholders' agreements and other agreements shall be included in the list of material contracts as required under ⁴²⁰[sub-item (1) of Item (18)].

(F) Management:

(a) Board of Directors:

- (i) Name, Director Identification Number, date of birth, age, qualifications, experience, address, occupation and date of expiration of the current term of office of manager, managing director, and other directors (including nominee directors and, whole-time directors), period of directorship, and their directorships in other companies.
- (ii) For each person, details of current and past directorship(s) in listed companies whose shares have been/were suspended from being traded on any of the stock exchanges, during his/her tenure, as follows:
 - (a) Name of the Company:
 - (b) Listed on (give names of the stock exchange(s)):
 - (c) Date of suspension on the stock exchanges:
 - (d) If trading suspended for more than three months, reasons for suspension and period of suspension.
 - (e) If the suspension of trading revoked, the date of revocation of suspension.
 - (f) Term (along with relevant dates) of the director in the above company(ies).

(The above details shall be given for the preceding five years. In case of fast track issues filed under the provisions of these regulations, the period of five years shall be reckoned on the date of filing of the offer document.)

⁴²⁰ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words, numbers and symbols "*sub-item (1) of Item (17)*".

(iii) For each person, details of current and past directorship(s) in listed companies which have been/were delisted from the stock exchange(s), during his/her tenure, as follows:

- Name of the Company:
- Listed on [give name of the stock exchange(s)]:
- Date of delisting on the stock exchange(s):
- Compulsory or voluntary delisting:
- Reasons for delisting:
- If relisted, date of relisting on [give name of the stock exchange(s)]
- Term (along with relevant dates) of the director in the above company/companies.

(iv) Nature of any family relationship between any of the directors or any of the directors and key managerial personnel ⁴²¹[or senior management].

(v) Any arrangement or understanding with major shareholders, customers, suppliers or others, pursuant to which of the directors was selected as a director or member of senior management.

(vi) Details of service contracts entered into by the directors with the issuer providing for benefits upon termination of employment and a distinct negative statement in the absence of any such contract.

(vii) Details of borrowing powers.

(b) Compensation of Managing Directors and/or Whole-time Directors:

(i) The dates, parties to, and general nature of every contract appointing or fixing the remuneration of a Director, Whole-time Director, Managing Director or Manager entered into in the preceding two years. During the last financial year, the amount of compensation paid, and benefits in kind granted on an individual basis to all such persons, by the issuer for services in all capacities to the issuer and remuneration paid or payable by subsidiary or associate company (as defined under the Companies Act, 2013). The disclosure shall also cover contingent or deferred compensation accrued for the year, even if the compensation is payable at a later date.

⁴²¹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

- (ii) If any portion of the compensation was paid pursuant to a bonus or profit-sharing plan, a brief description of the plan and the basis upon which the directors participate in the plan.
 - (iii) All such contracts shall be included in the list of material contracts required under ⁴²²[sub-item (1) of Item (18)].
- (c) **Shareholding** of directors, including details of qualification shares held by them, if applicable.
- (d) **Interest of Directors:**
 - i) Nature and extent of interest, if any, of every director in the issuer, including in any property acquired or proposed to be acquired of the issuer or by the issuer or in the promotion or formation of the issuer.
 - ii) Where the interest of such a director consists in being a member of a firm or company, the nature and extent of the interest of the firm or company, with a statement of all sums paid or agreed to be paid to him or to the firm or company in cash or shares or otherwise by any person either to induce him to become, or to qualify him as, a director, or otherwise for services rendered by him or by the firm or company, in connection with the promotion or formation of the issuer shall be disclosed.
- (e) Change, if any, in the directors during the last three years, and reasons, thereof.
- (f) Management Organisation Structure.
- (g) **Corporate Governance:**
 - (i) A statement that the issuer has complied with the requirements of corporate governance relating to the composition of its board of directors, constitution of committees such as audit committee, nomination and remuneration committee, stakeholders relationship committee, etc., as provided under Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
 - (ii) Details relating to the issuer's audit committee, nomination and remuneration committee, stakeholders' relationship committee and risk management committee (if applicable) including the names of committee members and the terms of reference under which the committees operate.
- (h) **Key Managerial Personnel** ⁴²³[and Senior Management]:

⁴²² Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words, numbers and symbols "*sub-item (1) of Item (17)*".

- (i) Details of the key managerial personnel ⁴²⁴[and senior management] indicating name, date of joining, qualification, term of office with date of expiration of term and details of service contracts including termination/retirement benefits, if any, details of previous employment, etc.
- (ii) Past business experience, and functions and areas of experience in the issuer. Nature of any family relationship between any of the key managerial personnel ⁴²⁵[and senior management].
- (iii) Any arrangement or understanding with its major shareholders, customers, suppliers or others, pursuant to which any of the key managerial personnel ⁴²⁶[or senior management], was selected as a key managerial personnel.
- (iv) During the last financial year, the amount of compensation paid, and benefits in kind granted, to the key managerial personnel ⁴²⁷[and senior management] on an individual basis, by the issuer for services in all capacities to the issuer, including contingent or deferred compensation accrued for the year, even if the compensation is payable at a later date.
- (v) If any portion of the compensation or otherwise was paid pursuant to a bonus or profit-sharing plan, a brief description of the plan and the basis upon which the key managerial personnel ⁴²⁸[and senior management] participate in the plan.
- (vi) Status of each key managerial personnel ⁴²⁹[and senior management], as a permanent employee or otherwise.
- (vii) Shareholding of each key managerial personnel ⁴³⁰[and senior management] in the issuer.
- (viii) Changes in the Key Managerial Personnel ⁴³¹[or senior management]: Any change other than by way of retirement in the normal course in the key

⁴²³ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴²⁴ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴²⁵ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴²⁶ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴²⁷ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴²⁸ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴²⁹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴³⁰ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

managerial personnel ⁴³²[or senior management] in the preceding three years

(ix) If the attrition of ⁴³³[key managerial personnel and senior management] is high compared to the industry, reasons should be disclosed.

(x) Employees:

- Refer the page where disclosures regarding employees stock option scheme/ employees stock purchase scheme of the issuer, if any, as required by the Regulations or Regulations of the Board relating to Employee Stock Option Scheme and Employee Stock Purchase Scheme, is given.
- Payment or Benefit to key managerial personnel ⁴³⁴[and senior management] of the issuer (non-salary related): Any amount or benefit paid or given within the two preceding years or intended to be paid or given to any officer and consideration for payment of giving of the benefit.

(G) Promoters/ principal shareholders:

(a) Where the promoters are individuals:

- (i) A complete profile of all the promoters, including their name, date of birth, age, personal addresses, educational qualifications, experience in the business or employment, positions/posts held in the past, directorships held, other ventures of each promoter, special achievements, their business and financial activities, photograph ⁴³⁵[and Permanent Account Number].
- (ii) A declaration confirming that the Permanent Account Number, Bank Account Number(s) and Passport Number ⁴³⁶[Aadhaar card number and driving license number] of the promoters have been submitted to the stock

⁴³¹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴³² Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴³³ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words "key management personnel".

⁴³⁴ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴³⁵ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words and symbols "Permanent Account Number, Aadhaar card number and driving license number".

⁴³⁶ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

exchanges on which the specified securities are proposed to be listed, at the time of filing the draft offer document ⁴³⁷[***]

- (b) Where the promoters are companies:
 - (i) Brief history of the promoters such as date of incorporation, change in activities and present activities.
 - (ii) History of the companies and the promoters of the companies. Where the promoters of such companies are again companies or bodies corporate, names of natural persons in control (i.e., holding fifteen per cent. or more voting rights) or who are on the board of directors of such bodies corporate.
 - (iii) Details of change in control of the promoter companies, if any, including details of the persons who held the controlling interest in the preceding three years.
 - (iv) Declaration confirming that the Permanent Account Numbers, Bank Account Numbers, the Company Registration Numbers and the addresses of the Registrars of Companies where the companies are registered have been submitted to the stock exchanges on which the specified securities are proposed to be listed, at the time of filing the draft offer document or draft letter of offer with them;

- (c) Where alternative investment funds or foreign venture capital investors registered with the Board, are identified as promoters, the following shall be applicable,
 - (i) Details of the Fund Manager;
 - (ii) Generic details of the Fund, which is the investor in the issuer company;
 - (iii) Details such as total number of investors in the Fund, distribution of investors category - wise (institutional, corporate, individual etc.) and percentage stake held by each investor category;
 - (iv) Details of companies funded by the Funds, namely:-
 - (a) Total number of companies funded;
 - (b) Distribution of such companies - country wise, holding period wise, sector wise;
 - (c) Number of companies under the control of the Fund, directly or indirectly;

⁴³⁷ The words "*or draft letter of offer*" omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

- (d) In respect of companies where such Funds have offered their shares for lock-in as part of minimum promoter's contribution:-
- Name of the company
 - Date of listing on each stock exchange
 - Fund's shareholding in the company as on the date of listing
 - Fund's shareholding in the company as on the date of filing of the DRHP of the company that now seeks to get listed
- (v) Average holding period of the Fund's investments;
- (vi) Sector focus/core specialization of the Fund, if applicable.
- (d) If the present promoters are not the original promoters and control of the issuer was acquired in the preceding five years, details regarding the acquisition of control, date of acquisition, terms of acquisition, consideration paid for acquisition and compliance with the provisions of ⁴³⁸[***] the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, as applicable, and the Listing Agreement or the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as applicable.
- (e) If there is no identifiable promoter, details of the shareholders who control individually or as a group, fifteen per cent. or more of the voting rights of the issuer and of persons, if any, who have the right to appoint director(s) on the board of directors of the issuer.
- (f) If the promoters do not have experience in the proposed line of business, that fact shall be disclosed explaining how the proposed activities would be carried out/managed.
- (g) If the promoters have any interest in the issuer other than as promoters, brief details of the interest.
- (h) Full particulars of the nature and extent of the interest, if any, of promoter(s), directors or group companies:
- (i) in the promotion of the issuer;

⁴³⁸ The words, numbers and symbols "the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 1997 or" omitted by Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

- (ii) in any property acquired by the issuer in the preceding three years or proposed to be acquired by it.
- (iii) where the interest of such a director or promoter consists in being a member of a firm or company, the nature and extent of the interest of the firm or company, with a statement of all sums paid or agreed to be paid to such director or to the firm or company in cash or shares or otherwise by any person either to induce such person to become, or to qualify such person as a director, or otherwise for services rendered by such person or by the firm or company, in connection with the promotion or formation of the issuer.
- (iv) in any transaction in acquisition of land, construction of building and supply of machinery, etc. with full details of the transaction and the amount involved

- (i) **Payment or benefit to the Promoter of the Issuer:** Any amount or benefit paid or given in the preceding two years or intended to be paid or given to any promoter or promoter group and consideration for payment of giving of the benefit.
- (j) Brief details of material guarantees, if any, given to third parties by the promoters with respect to specified securities of the issuer.
- (k) A list of all individuals and entities forming part of the promoter group of the issuer.
- (l) If the promoters have disassociated themselves from any of the companies or firms during the preceding three years, the reasons thereof and the circumstances leading to the disassociation together with the terms of such disassociation.

(H) **Dividend policy:** Dividend policy and mode of payment of dividend, details of dividend paid in the last three financial years and the stub period, as applicable, and the period between last audited period and the date of the filing the draft offer document / draft letter of offer/ offer document.

(11) Financial Statements:

(I) Requirements in case Indian Accounting Standards (Ind AS) is applicable in the latest period presented in Restated Financial Information

Financial information section of the offer document will be divided into two parts, viz., restated financial information and other financial information. The restated and other financial information

should be complete in all respects. To avoid duplication of disclosures in the offer document, appropriate use of cross reference may be made to the restated and other financial information.

(A) Restated Financial information

- (i) Consolidated Financial Statements (CFS) prepared in accordance with Ind AS for three years and the stub period (if applicable) should be audited and certified by the ⁴³⁹[statutory auditor(s) or Chartered Accountants] who holds a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI). The stub period CFS shall be required, if Ind AS CFS for latest full financial year included in the offer document is older than six months from the date of filing of the draft offer document/offer document. The stub period should not end up to a date earlier than six months of the date of filing of the draft offer document/offer document. In accordance with Ind AS 34 *Interim Financial Reporting*, the group should present a complete Ind AS CFS for the stub period, except the issuer has been exempted from presenting comparatives for the stub period. CFS shall be prepared as per Companies Act, 2013 (as amended).
- (a) The CFS (including for the stub period if applicable) should be restated to ensure consistency of presentation, disclosures and the accounting policies for all the periods presented in line with that of the latest financial year/ stub period presented. Similarly, significant errors, non-provisions, regrouping, other adjustments, if any, should be reflected in the corresponding period. The changes in accounting policies and the correction of errors, should be disclosed in accordance with the requirements of Ind AS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*. Changes in estimates, if any, need not to be restated, as they are events of that corresponding year. The issuer has an option to present comparatives for the stub period.
- (b) SA 705 *Modification to the Opinion in the Independent Auditor's Report* requires a qualified opinion, adverse opinion or disclaimer of opinion for material misstatements. With respect to an eligible issuer, audit modifications, which are quantifiable or can be estimated shall be adjusted in the restated financial information in the appropriate period. In situations where the qualification cannot be quantified or estimated, appropriate disclosures should be made in the notes to account, explaining why the qualification cannot be quantified or estimated.

⁴³⁹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words and symbols "statutory auditor(s)".

- (c) A reconciliation explaining the differences between the audited CFS equity and profit (loss) and the restated CFS should be presented in a columnar format.
- (d) The ⁴⁴⁰[auditor or Chartered Accountants] shall issue an examination report on the restated and audited financial information in accordance with the *Guidance Note* issued by the ICAI from time to time.
- (e) Auditor should have a valid peer review certificate issued by the Peer Review Board of the ICAI as on the date of signing the restated financial information. If a new auditor holding a valid peer review certificate is appointed for the stub period, and the predecessor auditor did not hold a valid peer review certificate at the date of signing the last annual financial statement, then the last annual financial statement would need to be re-audited by the new auditor in accordance with applicable standards. The re-audit may exclude audit reporting matters on CARO, internal financial control and other pure regulatory matters. Where auditor earlier held a valid peer review certificate, but did not hold a valid certificate at the date of signing the restated financial information, the earlier certificate shall be considered valid provided there is no express refusal by the peer review board to renew the certificate and the process to renew the peer review certificate was initiated by the auditor.
- (f) Where an issuer does not have a subsidiary, associate or joint venture, in any financial year, the issuer shall present separate financial statements for that financial year by following the applicable requirements of a restated CFS.
- (g) List of the related parties and all related party transactions of the consolidated entities (whether eliminated on consolidation or not), which require disclosure under Ind AS 24 and/ or covered under section 188(2) of the Companies Act, 2013 (as amended), as disclosed in the separate financial statement of the consolidated entities, should be disclosed in the restated financial information.
 - All funding arrangements including inter-se guarantees among the entities consolidated; except contribution to equity share capital, shall be disclosed. The important terms and conditions of the funding arrangement and fund transfer restrictions, if any, should be disclosed in the restated financial information.

⁴⁴⁰ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the word "auditor".

- (h) In case where Ind AS is not applicable to the Company for any of the years the principles laid down in Circular No SEBI/HO/CFD/DIL/CIR/P/2016/47 of March 31, 2016 or any other relevant circular issued by the Board from time to time, shall apply.
- (ii) The separate audited financial statements for past three full financial years immediately preceding the date of filing of offer document of the issuer company and all its material subsidiaries should be made available on issuer's website in accordance with the materiality thresholds in (b) below. Alternatively, relevant link should be provided to the financial statement of subsidiaries on the Issuer's website. The link to the issuer's separate financial statement should be specified in the offer document. For this purpose, subsidiaries shall be identified based on definitions in the Companies Act, 2013. The above requirements shall apply for the periods of existence of the parent-subsidiary relationship.
- (a) a certified English translated copy of the financial statements should be made available on the Company's website for every entity consolidated whose financial statements are not presented in English.
- (b) The financial statements reported in any currency other than Indian Rupee shall be translated into Indian Rupee in accordance with Ind AS 21. The Effects of Changes in Foreign Exchange Rates. The financial statements of all foreign consolidated entities should be audited, unless they are not material to the CFS and the local regulation does not mandate audit. For this purpose, a consolidated entity shall be considered 'material' if it contributes 10% or more to the turnover or net-worth or profits before tax in the annual CFS of the respective year. Additionally, total unaudited information included in the in the CFS shall not exceed 20% of the turnover or net-worth or profits before tax of the CFS of the respective year. For the purpose of this clause, definition of turnover, net-worth and profits before tax should be as per Companies Act, 2013 (as amended).
- (c) The financial statements of foreign entities consolidated may be audited as per the requirements of local regulation applicable in the respective jurisdiction. However, in cases where the local regulation does not mandate audit, financial statements should be audited as per the auditing standards/ requirements applicable in India.
- (d) The financial statements of foreign subsidiaries may be acceptable in a GAAP other than Ind AS, if local laws require application of local GAAP.

(B) Other Financial Information

- (i) The following information shall be computed as per the *Guidance Note* issued by the ICAI from time to time and disclosed in other financial information
- Earnings per share (Basic and Diluted)
 - Return on net worth
 - Net Asset Value per share
 - EBITDA
- (ii) If the proceeds, fully or partly, directly or indirectly, is to be used for acquisition of one or more material businesses or entities, the audited statements of balance sheets, profit and loss, cash flow for the latest three financial years and stub period (if available) prepared as per framework applicable to the business or subsidiary proposed to be acquired shall be included in the draft offer document/offer document. For this purpose, the proposed acquisition (covering all businesses or subsidiaries proposed to be acquired) shall be considered material if it will make 20% or more contribution in aggregate to either turnover, or net worth or profit before tax in the latest annual CFS. The issuer may voluntarily choose to provide financial statements of above acquisitions out of the proceeds of the issue even if they are below the above materiality threshold. In cases where the general purpose financial statement of the businesses/entities to be acquired/divested are not available, combined/carved-out financial statements for that business/entity shall be prepared in accordance with *Guidance Note* issued by the ICAI from time to time. The combined/carved-out financials statements shall be audited by the auditor of the seller in accordance with applicable framework.
- (iii) Proforma financial statements – The Issuer shall provide Proforma financial statements, as certified by the ⁴⁴¹[statutory auditor or chartered accountants, who hold a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI)], of all the subsidiaries or businesses material to the consolidated financial statements where the issuer or its subsidiaries have made an acquisition or divestment including deemed disposal after the latest period for which financial information is disclosed in the offer document but before the date of filing of the offer document. For this purpose, the acquisition/divestment would be considered as material if acquired/ divested business or subsidiary in aggregate contributes 20% or

⁴⁴¹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words “statutory auditor”.

more to turnover, net worth or profit before tax in the latest annual CFS of the issuer. The Proforma financial statements shall be prepared for the last completed financial year and the stub period (if any). The Proforma financial statements shall be prepared in accordance with Guidance Note issued by the ICAI from time to time and certified by the statutory auditor. The issuer Company may voluntarily choose to provide proforma financial statements of acquisitions even when they are below the above materiality threshold. In case of one or more acquisitions or divestments, one combined set of Proforma financial statements should be presented. Where the businesses acquired/ divested does not represent a separate entity, general purpose financial statement may not be available for such business. In such cases, combined/ carved-out financial statements for such businesses shall be prepared in accordance with *Guidance Note* issued by the ICAI from time to time.. Further, in case of non-material acquisitions/divestments disclosures in relation to the fact of the acquisition/divestment, consideration paid/received and mode of financing shall be certified by the ⁴⁴²[statutory auditor of the issuer company or chartered accountants, who hold a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI) appointed by the issuer company.] .

(C) Management's Discussion and Analysis of Financial Position and Results of Operations as reflected in the restated Ind AS CFS shall be provided in other financial information.

- (i) Significant developments subsequent to the last financial year or when applicable subsequent to the stub period: A statement by the directors whether in their opinion there have arisen any circumstances since the date of the last financial statements as disclosed in the offer document and which materially and adversely affect or is likely to affect within the next twelve months:
 - a. the trading or profitability of the issuer; or
 - b. the value of its assets; or
 - c. its ability to pay its liabilities.
- (ii) Factors that may affect the results of operations.
- (iii) Discussion on the results of operations: This information shall inter-alia contain the following:

⁴⁴² Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "*statutory auditor of the issuer company*".

- a. A summary of the past financial results after adjustments as given in the restated financial statements for the past three full financial years and the stub period (if any) containing significant items of income and expenditure shall be given.
 - b. A summary of major items of income and expenditure for the last three years and most recent audit period.
 - c. The income and sales on account of major product/ main activities.
 - d. In case, the other income constitutes more than 10% of the total income, the break-up of the same along with the nature of the income, i.e., recurring or non-recurring shall be stated.
 - e. If a material part of the income is dependent upon a single customer/supplier or a few major customers/suppliers, disclosure of this fact along with relevant data. Similarly if any foreign customer/supplier constitutes a significant portion of the issuer's business, disclosure of the fact along with its impact on the business on account of exchange rate fluctuations.
 - f. In case the issuer has deviated from applicable accounting standards for recording sales and revenues, its impact may be analysed and disclosed.
 - g. The nature of miscellaneous income and miscellaneous expenditure for the interim period and the preceding years
- (iv) Comparison of last three years and the stub period on the major heads of the profit and loss statement, including an analysis of reasons for the changes in significant items of income and expenditure shall also be given, *inter-alia*, containing the following:
- a. unusual or infrequent events or transactions including unusual trends on account of business activity, unusual items of income, change of accounting policies and discretionary reduction of expenses etc.
 - b. significant economic changes that materially affected or are likely to affect income from continuing operations;
 - c. known trends or uncertainties that have had or are expected to have a material adverse impact on sales, revenue or income from continuing operations;
 - d. expected future changes in relationship between costs and revenues, in case of events such as future increase in labour or material costs or prices that will cause a material change are known;
 - e. the extent to which material increases in net sales or revenue are due to increased sales volume, introduction of new products or services or increased sales prices;

- f. total turnover of each major industry segment in which the issuer operated;
 - g. status of any publicly announced new products or business segment, if applicable;
 - h. the extent to which business is seasonal;
 - i. any significant dependence on a single or few suppliers or customers;
 - j. competitive conditions.
- (v) 'Management's Discussion and Analysis shall be based on the restated financial information for the last three years and the stub period.

(D) Capitalisation statement

- (i) Capitalisation Statement showing total borrowings, total equity, and the borrowing/equity ratios before and after the issue is made shall be incorporated. It shall be prepared on the basis of the restated CFS for the latest financial year or when applicable at the end of the stub period.
- (ii) In case of any change in the share capital since the date as of which the financial information has been disclosed in the offer document, a note explaining the nature of the change shall be given.
- (iii) An illustrative format of the Capitalisation Statement is specified hereunder

Particulars	Pre-issue at	As adjusted for the proposed issue
(' in crores)		
Total borrowings		
Current borrowings*		
Non-current borrowings (including current maturity)*		
Total equity		
Equity share capital*		
Other equity*		
Total Capital		
Ratio: Non-current		

borrowings/ Total equity		
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*These terms shall carry the meaning as per Schedule III of the Companies Act, 2013 (as amended).

(II) Requirements in case Indian GAAP is applicable in the latest period presented in Restated Financial Information

Financial information section of the offer document shall be divided into two parts, viz., restated financial information and other financial information. The restated and other financial information should be complete in all respects. To avoid duplication of disclosures in the offer document, appropriate use of cross reference may be made to the restated and other financial information.

(A) Restated Financial information

- (i) Consolidated Financial Statements (CFS) prepared in accordance with Indian GAAP for three years and stub period (if applicable) should be audited and certified by the ⁴⁴³[statutory auditor(s) or Chartered Accountants] who holds a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI). The stub period CFS shall be required, if Indian GAAP CFS for latest full financial year included in the draft offer document/offer document is older than six months old from the date of filing of the draft offer document/offer document. The stub period should not end up to a date earlier than six months of the date of filing of the offer document. In accordance with AS 25 *Interim Financial Reporting*, the group should present a complete Indian GAAP CFS for the stub period, except the issuer has been exempted from presenting comparatives for the stub period. CFS shall be prepared as per the provisions of Companies Act, 2013 (as amended).
- (a) The CFS (including for the stub period if applicable) should be restated to ensure consistency of presentation, disclosures and the accounting policies for all the periods presented in line with that of the latest financial year/stub period presented. Similarly, significant errors, non-provisions, regrouping, other adjustments, if any, should be reflected in the corresponding period. Changes in estimates, if any, need not to be restated, as they are events of that corresponding year. The issuer has an option to present comparatives for the stub period. Appropriate disclosures for correction of errors, changes in accounting policies and changes in accounting

⁴⁴³ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "statutory auditor(s)".

estimates should be made in accordance with *AS 5 Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies*.

- (b) SA 705 *Modification to the Opinion in the Independent Auditor's Report* requires a qualified opinion, adverse opinion or disclaimer of opinion for material misstatements. With respect to an eligible issuer, audit modifications, which are quantifiable or can be estimated shall be adjusted in the restated financial information in the appropriate period. In situations where the qualification cannot be quantified or estimated, appropriate disclosures should be made, in the notes to account, explaining why the qualification cannot be quantified or estimated.
- (c) A reconciliation explaining the difference between the audited CFS equity and profit (loss) and the restated CFS equity and profit (loss) should be presented in a columnar format.
- (d) The ⁴⁴⁴[auditor or Chartered Accountants] shall issue an examination report on the restated and audited financial information in accordance with the *Guidance Note* issued by the ICAI from time to time.
- (e) Auditor should have a valid peer review certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI) as on the date of signing the restated financial information. If a new auditor holding a valid peer review certificate is appointed for the stub period, and the predecessor auditor did not hold a valid peer review certificate at the date of signing the last annual financial statement, then the last annual financial statement would need to be re-audited by the new auditor in accordance with applicable standards. The re-audit may exclude audit reporting matters on CARO, Internal financial control and other pure regulatory matters. Where auditor earlier held a valid peer review certificate, but did not hold a valid certificate at the date of signing the restated financial information, the earlier certificate shall be considered valid provided there is no express refusal by the peer review board to renew the certificate and the process to renew the peer review certificate was initiated by the auditor.
- (f) Where an issuer does not have a subsidiary, associate or joint venture in any financial year, the issuer shall present separate financial statements for that financial year by following the applicable requirements of a restated CFS.

⁴⁴⁴ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the word "auditor".

- (g) List of the related parties and all related party transactions of the consolidated entities (whether eliminated on consolidation or not), which require disclosure under AS 18 and/ or covered under section 188(2) of the Companies Act, 2013 (as amended), as disclosed in the separate financial statement of the consolidated entities, should be disclosed in the restated financial information.
- All funding arrangements including inter-se guarantees among the entities consolidated; except contribution to equity share capital, shall be disclosed. The important terms and conditions of the funding arrangement and fund transfer restrictions, if any, should be disclosed in the restated financial information.
- (h) The following disclosures shall be made in the restated financial information on the basis of amounts recognized and measured as per Indian GAAP and in accordance with the Guidance Note of the ICAI issued from time to time:
- i. Disclosures as per AS 13
 - ii. Disclosures as per AS 14
- (ii) The separate audited financial statements for past three full financial years immediately preceding the date of filing of offer document of the issuer company and all its material subsidiaries should be made available on issuer's website in accordance with the materiality thresholds in (b) below. Alternatively, relevant link should be provided to the financial statement of subsidiaries on the Issuer's website. The link to the issuer's separate financial statement should be specified in the offer document. For this purpose, subsidiaries shall be identified based on definitions in the Companies Act, 2013. The above requirements shall apply for the periods of existence of the parent-subsidiary relationship.
- (a) a certified English translated copy of the financial statements should be made available on the Company's website for every entity consolidated whose financial statements are not presented in English.
- (b) The financial statements reported in any currency other than Indian Rupee shall be translated into Indian Rupee in accordance with Ind AS 21 *The Effects of Changes in Foreign Exchange Rates*. The financial statements of all foreign consolidated entities should be audited, unless they are not material to the CFS and the local regulation does not mandate audit. For this purpose, a consolidated entity shall be considered 'material' if it contributes 10% or more to the turnover or net-worth or profits before tax in the annual CFS of the respective year. Additionally, total

unaudited CFS shall not exceed 20% of the turnover or net-worth or profits before tax of the CFS of the respective year. For the purpose of this clause, definition of turnover, net-worth and profits before tax should be as per Companies Act, 2013 (as amended).

- (c) The financial statements of foreign entities consolidated may be audited as per the requirements of local regulation applicable in the respective jurisdiction. However, in cases where the local regulation does not mandate audit, financial statements should be audited as per the auditing standards/ requirements applicable in India.
- (d) The financial statements of foreign subsidiaries may be acceptable in a GAAP other than Indian GAAP, if local laws require application of local GAAP.

(B) Other Financial Information

- (i) The following information shall be computed as per the *Guidance Note* issued by the ICAI from time to time and disclosed in other financial information
 - Earnings per share (Basic and Diluted)
 - Return on net worth
 - Net Asset Value per share
 - EBITDA
- (ii) If the proceeds, fully or partly, directly or indirectly, is to be used for acquisition of one or more material businesses or entities, the audited statements of balance sheets, profit and loss, cash flow for the latest three financial years and stub period (if available) prepared as per framework applicable to the business or subsidiary proposed to be acquired shall be included in the draft offer document/offer document. For this purpose, the proposed acquisition (covering all businesses or subsidiaries proposed to be acquired) shall be considered material if it will make 20% or more contribution in aggregate to either turnover, or net worth or profit before tax in the latest annual CFS. The issuer Company may voluntarily choose to provide financial statements of above acquisitions out of the proceeds of the issue even if they are below the above materiality threshold. In cases where the general purpose financial statement of the businesses/entities to be acquired/ divested are not available , combined/ carved-out financial statements for that business/entity shall be prepared in accordance with *Guidance Note* issued by the ICAI from time to time. The combined/carved-out financials statements shall be audited by the auditor of the seller in accordance with applicable framework.

(iii) Proforma financial statements – The Issuer shall provide Proforma financial statements, as certified by the ⁴⁴⁵[statutory auditor or chartered accountants, who hold a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI).], of all the subsidiaries or businesses material to the consolidated financial statements where the issuer or its subsidiaries have made an acquisition or divestment including deemed disposal after the latest period for which financial information is disclosed in the offer document but before the date of filing of the offer document. For this purpose, the acquisition/divestment would be considered as material if acquired/ divested business or subsidiary in aggregate contributes 20% or more to turnover, net worth or profit before tax in the latest annual CFS of the issuer. The Proforma financial statements shall be prepared for the period covering last completed financial year and the stub period (if any). The Proforma financial statements shall be prepared in accordance with Guidance Note issued by the ICAI from time to time and certified by the statutory auditor. The issuer Company may voluntarily choose to provide proforma financial statements of acquisitions even when they are below the above materiality threshold. In case of one or more acquisitions or divestments, one combined set of Proforma financial statements should be presented. Where the businesses acquired/ divested does not represent a separate entity, general purpose financial statement may not be available for such business. In such cases, combined/ carved-out financial statements for such businesses shall be prepared in accordance with *Guidance Note* issued by the ICAI from time to time. Further, in case of non-material acquisitions/divestments disclosures in relation to the fact of the acquisition/divestment, consideration paid/received and mode of financing shall be certified by the ⁴⁴⁶[statutory auditor of the issuer company or chartered accountants, who hold a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI) appointed by the issuer company].

(C) Management's Discussion and Analysis of Financial Position and Results of Operations as reflected in the restated Indian GAAP CFS shall be provided in other financial information.

⁴⁴⁵ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "statutory auditor".

⁴⁴⁶ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "statutory auditor of the issuer company".

- (i) Significant developments subsequent to the last financial year or when applicable subsequent to the stub period: A statement by the directors whether in their opinion there have arisen any circumstances since the date of the last financial statements as disclosed in the offer document and which materially and adversely affect or is likely to affect within the next twelve months :
 - a. the trading or profitability of the issuer; or
 - b. the value of its assets; or
 - c. its ability to pay its liabilities.
- (ii) Factors that may affect the results of operations.
- (iii) Discussion on the results of operations: This information shall, inter-alia, contain the following:
 - a. A summary of the past financial results after adjustments as given in the auditor's report for the past three full financial years and the stub period (if any) containing significant items of income and expenditure shall be given.
 - b. A summary of major items of income and expenditure for the last three years and most recent audit period
 - c. The income and sales on account of major product/ main activities.
 - d. In case the other income constitutes more than 10% of the total income, the break-up of the same along with the nature of the income, i.e., recurring or non-recurring shall be stated.
 - e. If a material part of the income is dependent upon a single customer/supplier or a few major customers/suppliers, disclosure of this fact along with relevant data. Similarly if any foreign customer/supplier constitutes a significant portion of the issuer's business, disclosure of the fact along with its impact on the business on account of exchange rate fluctuations.
 - f. In case the issuer has deviated from statutorily prescribed manner for recording sales and revenues, its impact may be analysed and disclosed.
 - g. The nature of miscellaneous income and miscellaneous expenditure for the interim period and the preceding years, if applicable.
- (iv) Comparison of last three years and the stub period on the major heads of the profit and loss statement, including an analysis of reasons for the changes in significant items of income and expenditure shall also be given, inter-alia, containing the following:

- a. unusual or infrequent events or transactions including unusual trends on account of business activity, unusual items of income, change of accounting policies and discretionary reduction of expenses etc.
 - b. significant economic changes that materially affected or are likely to affect income from continuing operations;
 - c. known trends or uncertainties that have had or are expected to have a material adverse impact on sales, revenue or income from continuing operations;
 - d. expected future changes in relationship between costs and revenues, in case of events such as future increase in labour or material costs or prices that will cause a material change are known;
 - e. the extent to which material increases in net sales or revenue are due to increased sales volume, introduction of new products or services or increased sales prices;
 - f. total turnover of each major industry segment in which the issuer operated;
 - g. status of any publicly announced new products or business segment;
 - h. the extent to which business is seasonal;
 - i. any significant dependence on a single or few suppliers or customers;
 - j. competitive conditions.
- (v) Management's Discussion and Analysis shall be based on the restated financial information for the last three years and the stub period.

(D) Capitalisation statement

- (i) Capitalisation Statement showing total borrowings, total equity, and the borrowing/equity ratios before and after the issue is made shall be incorporated. It shall be prepared on the basis of the restated CFS for the latest financial year or when applicable at the end of the stub period.
- (ii) In case of any change in the share capital since the date as of which the financial information has been disclosed in the offer document, a note explaining the nature of the change shall be given.
- (iii) An illustrative format of the Capitalisation Statement is specified hereunder

Particulars	Pre-issue at	As adjusted for the proposed issue
		(` in

Crores)		
Total borrowings		
Short term borrowings*		
Long term borrowings (including current maturity)*		
Total equity		
Share capital*		
Reserves and surplus*		
Money received against share warrants*		
Total Capital		
Ratio: Long term borrowings/ Total equity		

**These terms shall carry the meaning as per Schedule III of the Companies Act, 2013 (as amended).*

(III) Financial Information of the Issuer in further public offers:

- (i) An issuer making a further public offer may disclose the financial information specified in clause (ii) of this sub-item, in lieu of information specified under sub-item (B) if:
 - a. the issuer is making a further public offer through the fast track route in accordance with applicable provisions of these regulations;
 - b. the specified securities offered in further public offer are of the same class of those already listed on a stock exchange;
 - c. financial reports of the issuer are available on the website of any stock exchange or on a common e-filing platform specified by the Board;
 - d. there has not been any change in management of the issuer;
 - e. specified securities of issuer have not been listed pursuant to relaxation granted from clause (b) of sub-rule (2) of rule 19 of Securities Contracts (Regulation) Rules, 1957.

- (ii) The issuer satisfying the conditions specified in clause (i) may disclose consolidated financial statements as disclosed under Companies Act, 2013.
- (iii) A report by the auditors of the issuer on a limited review of the profit or loss and assets and liabilities (indicating changes in accounting policies, if any), as at a date not earlier than six months prior to the date of the opening of the issue, where audited accounts as at such date are not available. For this purpose, it shall be sufficient if:
- a. In the statement of the assets and liabilities, the main heads of assets and liabilities as provided in Part I of Schedule III of the Companies Act, 2013 have been provided. If an issuer is governed by a statute other than the Companies Act, 2013, the main heads of assets and liabilities as specified in such statute shall be provided in the statement of assets and liabilities.
 - b. In the statement of profit or loss, the information required to be disclosed under the heads of income and expenditure as per Regulation 33 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 in respect of quarterly financial information to be filed with the stock exchanges, has been provided.
- (iv) Material changes and commitments, if any, affecting financial position of the issuer.
- (v) Week-end prices for the last four weeks; current market price; and highest and lowest prices of equity shares during the period with the relative dates. If the equity shares of the issuer are listed on more than one stock exchange, the above information shall be provided for each stock exchange separately.
- (vi) Stock market quotation of shares/ convertible instruments of the company (high/ low price in each of the last three years and monthly high/low price during the last six months). If the equity shares of the issuer are listed on more than one stock exchange, the above information shall be provided for each stock exchange separately.
- (vii) Accounting and other ratios: The following accounting ratios for each of the accounting periods for which financial information is given:
- Earnings per share (Basic and Diluted)
 - Return on net worth
 - Net Asset Value per share
 - EBITDA
- (viii) Capitalisation Statement:
- a. A Capitalisation Statement showing total debt, net worth, and the debt/ equity ratios before and after the issue is made.

- b. In case of any change in the share capital since the date as of which the financial information has been disclosed in the prospectus, a note explaining the nature of the change.
- c. An illustrative format of the Capitalisation Statement is specified hereunder:

Particulars	Pre-issue at	As adjusted for the proposed issue
(in Crores)		
Total borrowings		
Current borrowings*		
Non-current borrowings (including current maturity)*		
Total equity		
Share capital*		
Reserves and surplus*		
Money received against share warrants*		
Total Capital		
Ratio: Non-current borrowings/ Total equity		

*These terms shall carry the meaning as per Schedule III of the Companies Act, 2013 (as amended).

- (ix) Management's Discussion and Analysis of Financial Position and Results of Operations as reflected in the restated Indian GAAP CFS shall be provided in other financial information.
- (x) Overview of the business of the issuer.
- (xi) Significant developments subsequent to the last financial year or when applicable subsequent to the stub period: A statement by the directors whether in their opinion there have arisen any circumstances since the date of the last financial statements as

disclosed in the offer document and which materially and adversely affect or is likely to affect within the next twelve months :

- a. the trading or profitability of the issuer; or
- b. the value of its assets; or
- c. its ability to pay its liabilities.

(xii) Factors that may affect the results of operations.

(xiii) Discussion on the results of operations: This information shall, inter-alia, contain the following:

- a. A summary of the past financial results after adjustments as given in the auditor's report for the past three full financial years and the stub period (if any) containing significant items of income and expenditure shall be given.
- b. A summary of major items of income and expenditure for the last three years and most recent audit period
- c. The income and sales on account of major product/ main activities.
- d. In case the other income constitutes more than 10% of the total income, the break-up of the same along with the nature of the income, i.e., recurring or non-recurring shall be stated.
- e. If a material part of the income is dependent upon a single customer/supplier or a few major customers/suppliers, disclosure of this fact along with relevant data. Similarly if any foreign customer/supplier constitutes a significant portion of the issuer's business, disclosure of the fact along with its impact on the business on account of exchange rate fluctuations.
- f. In case the issuer has deviated from statutorily prescribed manner for recording sales and revenues, its impact may be analysed and disclosed.
- g. The nature of miscellaneous income and miscellaneous expenditure for the interim period and the preceding years, if applicable.

(xiv) Comparison of last three years and the stub period on the major heads of the profit and loss statement, including an analysis of reasons for the changes in significant items of income and expenditure shall also be given, inter-alia, containing the following:

- a. unusual or infrequent events or transactions including unusual trends on account of business activity, unusual items of income, change of accounting policies and discretionary reduction of expenses etc.
- b. significant economic changes that materially affected or are likely to affect income from continuing operations;

- c. known trends or uncertainties that have had or are expected to have a material adverse impact on sales, revenue or income from continuing operations;
- d. expected future changes in relationship between costs and revenues, in case of events such as future increase in labour or material costs or prices that will cause a material change are known;
- e. the extent to which material increases in net sales or revenue are due to increased sales volume, introduction of new products or services or increased sales prices;
- f. total turnover of each major industry segment in which the issuer operated;
- g. status of any publicly announced new products or business segment;
- h. the extent to which business is seasonal;
- i. any significant dependence on a single or few suppliers or customers;
- j. competitive conditions.

(12) Legal and Other Information:

(A) Outstanding Litigations and Material Developments:

(1) Pending Litigations involving the issuer/ its directors/ promoters/ subsidiaries:

- (i) All criminal proceedings;
- (ii) All actions by regulatory authorities and statutory authorities;
- (iii) Disciplinary action including penalty imposed by SEBI or stock exchanges against the promoters in the last five financial years including outstanding action;
- (iv) Claims related to direct and indirect taxes, in a consolidated manner, giving the number of cases and total amount;
- (v) Other pending litigations - As per the policy of materiality defined by the board of directors of the issuer and disclosed in the offer document.

(2) Outstanding dues to creditors:

- (i) Based on the policy on materiality defined by the board of directors of the issuer, details of creditors which include the consolidated number of creditors and the aggregate amount involved
- (ii) Consolidated information on outstanding dues to micro, small and medium enterprises and other creditors, separately giving details of number of cases and amount involved;

- (iii) Complete details about outstanding overdues to material creditors along with the name and amount involved for each such material creditor shall be disclosed, on the website of the company with a web link thereto.
- (3) If any of the above mentioned litigations, material developments, dues to creditors etc., arise after the filing the offer document, the facts shall be incorporated appropriately in the offer document. In case there are no such cases, a distinct negative statement is required to be made in this regard in the offer document. Material developments since the date of the last balance sheet.
- (4) **Disclosures pertaining to ⁴⁴⁷[wilful defaulters or fraudulent borrowers] in case of a further public offer or a rights issue:** If the issuer or any of its promoter or director has been declared as a ⁴⁴⁸[wilful defaulter or a fraudulent borrower], it shall make the following disclosures with respect to each such person separately:
- (a) Name of the person declared as a ⁴⁴⁹[wilful defaulter or a fraudulent borrower];
 - (b) Name of the Bank declaring the person as a ⁴⁵⁰[wilful defaulter or a fraudulent borrower];
 - (c) Year in which the person was declared as a ⁴⁵¹[wilful defaulter or a fraudulent borrower];
 - (d) Outstanding amount when the person was declared as a ⁴⁵²[wilful defaulter or a fraudulent borrower];
 - (e) Steps taken, if any, by the person for removal of its name from the list of ⁴⁵³[wilful defaulter or a fraudulent borrower];
 - (f) Other disclosures, as deemed fit by the issuer, in order to enable investors to take an informed decision;
 - (g) Any other disclosure as specified by the Board.

⁴⁴⁷ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words “**wilful defaulters**”.

⁴⁴⁸ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words “wilful defaulter”.

⁴⁴⁹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words “wilful defaulter”.

⁴⁵⁰ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words “wilful defaulter”.

⁴⁵¹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words “wilful defaulter”.

⁴⁵² Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words “wilful defaulter”.

⁴⁵³ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words “wilful defaulters”.

- (5) The fact that the issuer or any of its promoters or directors is a ⁴⁵⁴[wilful defaulter or a fraudulent borrower] shall be disclosed prominently on the cover page with suitable cross-referencing to the inside pages.
- (6) Disclosures specified herein shall be made in a separate chapter or section, distinctly identifiable in the Index /Table of Contents.

(B) Government approvals:

- (1) Investment approvals (GoI/ RBI, etc., as applicable), letter of intent or industrial license and declaration of the Central Government, Reserve Bank of India or any regulatory authority about the non-responsibility for financial soundness or correctness of the statements;
- (2) All government and other approvals which are material and necessary for carrying on the business and operations of the issuer and material subsidiaries.

(13) Information with respect to group companies

- (A) ⁴⁵⁵[In case of an issuer not being a government company, statutory authority or corporation or any special purpose vehicle set up by any of them, the names and registered office address of all the group companies shall be disclosed in the Offer Document.

The following information based on the audited statements in respect of top five group companies (based on market capitalization for listed/ based on turnover in case of unlisted) for the preceding three years shall be hosted on the website of the respective group company (listed/ unlisted):

- i) reserves (excluding revaluation reserve);

⁴⁵⁴ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁴⁵⁵ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2021, w-e-f 13.08.2021. Prior to the substitution, it read as follows –

"(A) In case of an issuer not being a government company, statutory authority or corporation or any special purpose vehicle set up by any of them, the following information for the last three years, based on the audited statements, in respect of all the group companies for past three years shall be given, wherever applicable, along with significant notes of auditors.

- (i) Date of Incorporation;
- (ii) Nature of activities;
- (iii) Equity Capital;
- (iv) Reserves (excluding revaluation reserve);
- (v) Sales;
- (vi) Profit after tax;
- (vii) Earnings per share and Diluted Earnings Per Share;
- (viii) Net Asset Value;
- (ix) In case of listed group companies, the highest and lowest market price of shares during the preceding six months; and
- (x) If any of the companies has made public or rights issue in the preceding three years, the issue price of the security, the current market price."

- ii) sales;
- iii) profit after tax;
- iv) earnings per share;
- v) diluted earnings per share; and
- vi) net asset value.

The offer document shall refer the website where the details of the group companies shall be available.]

(B) ⁴⁵⁶[***]

(C) ⁴⁵⁷[***]

(D) Any pending litigation involving the group company which has a material impact on the issuer.

(E) ⁴⁵⁸(***)

(F) ⁴⁵⁹(***)

(G) Common Pursuits:

⁴⁵⁶ Omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2021, w-e-f 13.08.2021. Prior to the omission, it read as follows –

“(B) In case there are more than five listed group companies, the financial information may be restricted to the five largest listed group companies to be determined on the basis of the market capitalization one month before the date of filing the draft offer document or in case of a fast track issue, one month before the reference date referred to in Explanation to sub-regulation (2) of regulation 99 and in Explanation to sub-regulation (2) of regulation 156. In case there are less than five listed group companies, the financial information shall be given for all the listed group companies and in addition for the largest unlisted group companies (based on turnover) so that the total number of listed and unlisted group companies for which the information is required to be given does not exceed five.”

⁴⁵⁷ Omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2021, w-e-f 13.08.2021. Prior to the omission, it read as follows –

“(C) In case there are no listed group companies, the financial information shall be given for the five largest unlisted group companies based on turnover.”

⁴⁵⁸ Omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2021, w-e-f 13.08.2021. Prior to the omission, it read as follows –

“(E) Information regarding significant adverse factors related to the group companies and in particular regarding:

- (i) whether the company has become a sick company within the meaning of the Sick Industrial Companies (Special Provisions) Act, 1995 or is under winding up/insolvency proceedings;
- (ii) whether the company has made a loss in the immediately preceding year and if so, the profit or loss figures for the immediately preceding three years.”

⁴⁵⁹ Omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2021, w-e-f 13.08.2021. Prior to the omission, it read as follows –

“(F) Disclosure shall be made about group companies which had remained defunct and for which application was made to the Registrar of Companies for striking off the name of the company, during the five years preceding the date of filing draft offer document with the Board. The disclosure shall include reasons for the company having become defunct as also all pending litigations, if any, in respect of such companies.”

- (i) In case there are common pursuits amongst the group companies/ subsidiaries/associate companies and the issuer, the reasons and justification for the same shall be spelt out and the conflict of interest situations shall be stated.
- (ii) The related business transactions within the group and their significance on the financial performance of the issuer.
- (iii) If any of the other group companies/subsidiaries/associate companies has business interests in the issuer then the amount of commercial business that the said company has /proposes to have with the issuer may be quantified. If no, a distinct negative statement may be incorporated to this effect.

(14) Other Regulatory and Statutory Disclosures:

- (A) Authority for the issue and details of resolution(s) passed for the issue.
- (B) A statement by the issuer that the issuer, promoters, promoter group, directors, person(s) in control of the promoter or issuer, if applicable, or selling shareholders are not prohibited from accessing the capital market or debarred from buying, selling or dealing in securities under any order or direction passed by the Board or any securities market regulator in any other jurisdiction or any other authority/court.
- (C) A confirmation that the issuer, ~~any~~ of its promoters, promoter group or selling shareholders is in compliance with the Companies (Significant Beneficial Ownership) Rules, 2018.
- (D) A confirmation whether any of the directors of the issuer are associated with the securities market in any manner, and if yes, any outstanding action against them initiated by the Board in the past five years.
- (E) Eligibility of the issuer to enter the capital market in terms of these Regulations. (Details of compliance with eligibility requirements to make a fast track issue, if applicable.)
- (F) Compliance with Part B of this Schedule, as the case may be, if applicable.
- (G) Disclaimer clauses:
 - (1) The offer document shall contain the following disclaimer clause in bold capital letters:
 "It is to be distinctly understood that submission of the draft offer document/draft letter of offer/offer document to the Securities and Exchange Board of India (SEBI) should not in any way be deemed or construed that the same has been cleared or approved by SEBI. SEBI does not take any responsibility either for the financial soundness of any scheme or the project for which the issue is proposed

to be made or for the correctness of the statements made or opinions expressed in the draft offer document/draft letter of offer/offer document. The lead manager(s), has certified that the disclosures made in the draft offer document/draft letter of offer/offer document are generally adequate and are in conformity with the Regulations. This requirement is to facilitate investors to take an informed decision for making investment in the proposed issue.

It should also be clearly understood that while the issuer is primarily responsible for the correctness, adequacy and disclosure of all relevant information in the draft offer document/draft letter of offer/offer document, the lead manager(s) is expected to exercise due diligence to ensure that the issuer discharges its responsibility adequately in this behalf and towards this purpose, the lead manager(s) _____ has furnished to SEBI a due diligence certificate dated _____ in the format prescribed under Schedule V(A) of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009/2018.

The filing of the draft offer document/draft letter of offer/offer document does not, however, absolve the issuer from any liabilities under the ⁴⁶⁰[Companies Act, 2013] or from the requirement of obtaining such statutory or other clearances as may be required for the purpose of the proposed issue. SEBI further reserves the right to take up, at any point of time, with the lead manager(s) any irregularities or lapses in the draft offer document/draft letter of offer/offer document."

- (2) Disclaimer Statement from the issuer and lead manager(s): A statement to the effect that the issuer and the lead manager(s) accept no responsibility for statements made otherwise than in the draft offer document/draft letter of offer/offer document or in the advertisement or any other material issued by or at the instance of the issuer and that anyone placing reliance on any other source of information would be doing so at their own risk.

- (H) Disclaimer in respect of jurisdiction: A brief paragraph mentioning the jurisdiction under which provisions of law and the rules and regulations are applicable to the draft offer document/ draft letter of offer/ offer document.

⁴⁶⁰ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words and symbol "*Companies Act, 2013*".

- (I) Disclaimer clause of the stock exchanges.
- (J) Disclaimer clause of the Reserve Bank of India, the Insurance Regulatory and Development Authority of India or of any other relevant regulatory authority.
- (K) Listing: Names of the designated stock exchange and other stock exchanges to which application has been made for listing of the specified securities offered in the present issue.
- (L) Consent of the directors, auditors, solicitors or advocates, lead manager(s), registrar to the issue, bankers to the issuer and experts.
- (M) Expert opinion obtained, if any.
- (N) Previous public or rights issues, if any, during the last five years:
 - (1) Closing date.
 - (2) Date of allotment.
 - (3) Date of refunds.
 - (4) Date of listing on the stock exchange(s).
 - (5) If the issue(s) was at premium or discount, the amount thereof.
- (O) Commission or brokerage on previous issues in last five years.
- (P) Following particulars in regard to the issuer and other listed group companies/subsidiaries/associates which made any capital issue during the last three years shall be given:
 - (1) Name of the Company.
 - (2) Year of Issue.
 - (3) Type of Issue (public/rights/composite).
 - (4) Amount of issue.
 - (5) Date of closure of issue.
 - (6) Date of allotment and date of credit of securities to the demat account.
 - (7) Date of completion of the project, where object of the issue was financing the project.
 - (8) Rate of dividend paid.
- (Q) Performance vis-à-vis objects:
 - (1) Issuer:
 - (a) A list of all the public/rights issues made during the preceding five years, along with the year of issue.
 - (b) Details of non-achievement of objects, with quantification of shortfall and delays for such public/rights issues.
 - (2) Listed Subsidiaries/Listed Promoters:

- (a) A separate paragraph entitled "Performance vis-à-vis objects - Last one public/rights issue of subsidiaries/Listed Promoters ", indicating whether all the objects mentioned in the offer document of the last one issue of each of such companies during the preceding five years were met.
- (b) If not, details of non-achievement of objects, with quantification of shortfall and delays.

(R) Price information of past issues handled by the lead manager(s) in the format given below:

Format for Disclosure of Price Information of Past Issues Handled By Merchant Banker(s)

TABLE 1

Sr. No.	Issue Name	Issue Size (Rs. Cr.)	Issue Price (Rs.)	Listing Date	Opening Price on listing date	+/- % change in closing price, [+/- % change in closing benchmark]-10th calendar days from listing	+/- % change in closing price, [+/- % change in closing benchmark]-90th calendar days from listing	+/- % change in closing price, [+/- % change in closing benchmark]-180th calendar days from listing

TABLE 2: SUMMARY STATEMENT OF DISCLOSURE

Financial Year	Total no. of IPOs	Total amount of funds raised (Rs. Cr.)	No. of IPOs trading at discount - 30th calendar days from listing			No. of IPOs trading at premium - 30th calendar days from listing			No. of IPOs trading at discount - 180th calendar days from listing			No. of IPOs trading at premium - 180th calendar days from listing		
			Over 50%	Between 25-50%	Less than 25%	Over 50%	Between 25-50%	Less than 25%	Over 50%	Between 25-50%	Less than 25%	Over 50%	Between 25-50%	Less than 25%
20..-20..														
20..-20..														

Note:

1. Disclosures to be given for three financial years (current financial year and two financial years preceding the current financial year)
2. Disclosures are subject to maximum 10 issues (initial public offerings) managed by Merchant Banker in Table 1
3. In Table 1, percentage change for benchmark indices to be provided in brackets with positive or negative sign, as applicable
4. Separate table for each merchant banker responsible for pricing the Issue

5. In case the 30th/60th/90th calendar day is a holiday, data from previous trading day to be considered.

⁴⁶¹[6. Designated Stock Exchange as disclosed by the respective Issuer at the time of the issue shall be considered for disclosing the price information.]

(S) **Stock market data for equity shares of the issuer, if listed:**

Particulars of:

- (1) high, low and average market prices of the equity shares of the issuer during the preceding three years;

⁴⁶¹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

- (2) monthly high and low prices for the six months preceding the date of filing the draft offer document with the Board which shall be updated till the time of filing the offer document with the Registrar of Companies;
- (3) number of shares traded on the days when high and low prices were recorded in the relevant stock exchange(s) during the said period of (a) and (b) above and indicating the total number of days of trading during the preceding six months and the average volume of equity shares traded during that period and a statement if the equity shares were not ⁴⁶²[frequently] traded;
- (4) stock market data referred to above shall be shown separately for periods marked by a change in capital structure, with such period commencing from the date the relevant stock exchange recognises the change in the capital structure (e.g. when the shares have become ex-rights or ex-bonus);
- (5) market price of equity shares immediately after the date on which the resolution of the board of directors approving the issue;
- (6) volume of securities traded in each month during the six months preceding the date on which the offer document is filed with the Registrar of Companies; and
- (7) volume of shares traded along with high, low and average prices of shares of the issuer shall also be stated for respective periods.

Explanation: If the equity shares of the issuer are listed on more than one stock exchange, the above information shall be provided for each stock exchange separately. Average market prices in point (1) above should be calculated on closing price on the stock exchange.

(T) Mechanism evolved for redressal of investor grievances:

- (1) arrangements or mechanism evolved by the issuer for redressal of investor grievances including through SEBI Complaints Redress System (SCORES)
- (2) number of investor complaints received during the preceding three years and the number of complaints disposed off during that period
- (3) number of investor complaints pending on the date of filing the draft offer document
- (4) number of investor complaints pending on the date of filing the draft offer document in respect of the five largest (in terms of market capitalization) listed group companies.

⁴⁶² Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the word "actively".

- (5) time normally taken by the issuer for disposal of various types of investor grievances.
- (6) Disclosures prescribed under sub-clauses (2) to (5) shall also be made in regard to the listed subsidiaries.

⁴⁶³[(U) Exemption from complying with any provisions of securities laws, if any, granted by SEBI shall be disclosed.]

(15) Offering Information:

(A) Terms of the Issue:

- (a) Statement that the shares issued in the issue shall be pari passu with the existing shares in all respects including dividends. ⁴⁶⁴[In case of companies having SR equity shares, a statement that the shares issued in the issue shall be pari passu with the existing shares (excluding SR equity shares) in all respects including dividends.]
- (b) Statement that in the case of offer for sale, the dividend for the entire year shall be payable to the transferees.
- (c) Face value and issue price/ floor price/ price band.
- (d) Rights of the instrument holders. ⁴⁶⁵[In case of an issuer having SR equity shares, the special rights of such SR shareholders shall be disclosed alongwith the circumstances in which the SR equity shares shall be treated as ordinary equity shares.]
- (e) Market lot.
- (f) Nomination facility to investor.
- (g) Period of subscription list of the public issue.
- (h) Statement that “if, as prescribed, minimum subscription in the issue shall be 90% of the fresh issue portion” the issuer does not receive the minimum subscription of ninety per cent. of the offer through offer document (except in case of an offer for sale of specified securities) on the date of closure of the issue, or if the subscription level falls below ninety per cent. after the closure of issue on account of cheques having being returned unpaid (in case of rights issues) or withdrawal of applications, or after technical rejections, or if the listing or trading permission is

⁴⁶³ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

⁴⁶⁴ Inserted by the SEBI (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2019 w.e.f.29.07.2019.

⁴⁶⁵ Inserted by the SEBI (Issue of Capital and Disclosure Requirements) (Third Amendment) Regulations, 2019 w.e.f.29.07.2019.

not obtained from the stock exchanges for the securities so offered under the offer document, the issuer shall forthwith refund the entire subscription amount received. If there is a delay beyond fifteen days after the issuer becomes liable to pay the amount, the issuer and every director of the issuer who are officers in default, shall pay interest at the rate of fifteen per cent. per annum."

- (i) **For Composite Issues:** Statement that the requirement of 'minimum subscription' is satisfied both jointly and severally, i.e., independently for both rights and public issues, and that if the issuer does not receive the minimum subscription in either of the issues, the issuer shall refund the entire subscription received.
- (j) **Arrangements for Disposal of Odd Lots:**
 - (a) Any arrangements made by the issuer for providing liquidity for and consolidation of the shares held in odd lots, particularly when such odd lots arise on account of issues by way of rights, bonus, conversion of debentures or warrants, etc., shall be intimated to the shareholders or investors.
 - (b) The issuer is free to make arrangements for providing liquidity in respect of odd lot shares through any investment or finance company, broking firms or through any other agency and the particulars of such arrangement, if any, may be disclosed in the offer document related to the concerned issue of capital.
 - (c) The lead merchant banker shall ascertain whether the issuer coming for fresh issue of capital proposes to set up trusts in order to provide service to the investors in the matter of disposal of odd lot shares of the issuer held by them and if so, disclosures relating to setting up and operation of the trust shall be contained in the offer document.
- (d) Whenever any issue results in issue of shares in odd lots, the issuer, shall as far as possible issue certificates in the denomination of 1-2-5-10-20-50 shares.
- (k) Restrictions, if any, on transfer and transmission of shares or debentures and on their consolidation or splitting.
- (l) **New Financial Instruments:** Terms and conditions including redemption, security, conversion and any other relevant features of any new financial instruments such as deep discount bonds, debentures with warrants, secured premium notes etc.
- (m) **Allotment only in Dematerialised Form:** A statement to the effect that specified securities shall be allotted only in dematerialised form ⁴⁶⁶[***].

⁴⁶⁶ The symbol and words " , subject to the availability of the option to receive physical certificates of specified securities in a rights issue for a period of six months from the date of coming into force of these regulations" omitted by the

(B) Issue Procedure:

- (1) Fixed price issue or book building procedure as may be applicable, including details regarding bid form/application form, who can bid/apply, maximum and minimum bid/application size, bidding process, bidding, bids at different price levels, etc.
- (2) Issue of securities in dematerialised form:
 - (a) In case of a public issue or rights issue (subject to sub-regulation (1) of regulation 91, the specified securities issued shall be issued only in dematerialized form in compliance with the Companies Act, 2013. A statement that furnishing the details of depository account is mandatory and applications without depository account shall be treated as incomplete and rejected. Investors will not have the option of getting the allotment of specified securities in physical form. However, they may get the specified securities rematerialised subsequent to allotment.
 - (b) Statement that the specified securities, on allotment, shall be traded on stock exchanges in demat mode only.
 - (c) Statement that single bid from any investor shall not exceed the investment limit/maximum number of specified securities that can be held by such investor under the relevant regulations/statutory guidelines.
 - (d) Statement that the correct procedure for applications by Hindu Undivided Families and the fact that applications by Hindu Undivided Families would be treated as on par with applications by individuals;
 - (e) Applications by mutual funds:
 - (i) Statement under the heads "Procedure for applications by mutual funds" and "Multiple Applications" to indicate that a separate application can be made in respect of each scheme of an Indian mutual fund registered with the Board and that such applications shall not be treated as multiple applications.
 - (ii) Statement that applications made by an asset management company or a custodian of a mutual fund shall clearly indicate the name of the concerned scheme for which the application is being made.
 - (f) Applications by non-resident Indians:

- (i) Statement that "Non-resident Indian applicants may please note that only such applications as are accompanied by payment in free foreign exchange shall be considered for allotment under the reserved category. The non-resident Indians who intend to make payment through Non-Resident Ordinary (NRO) accounts shall use the form meant for Resident Indians and shall not use the forms meant for reserved category."
- (g) Application by ASBA investors:
 - (i) Details of Application Supported by Blocked Amount process including specific instructions for submitting Application Supported by Blocked Amount.
 - (ii) A statement that each application form shall bear the stamp of the syndicate member/SCSBs/registrar and share transfer agents/depository participants/stock brokers and if not, the same shall be rejected.
- (3) Escrow mechanism for anchor investors: Escrow account of the issuer.
- (4) Terms of payment and payment into the escrow collection account by anchor investors.
- (5) Electronic registration of bids.
- (6) Build-up of the book and revision of bids. In this regard, it may be specifically disclosed that qualified institutional buyers and non-institutional investors can neither lower or withdraw their bids at any stage and retail individual investors can withdraw or revise their bids till issue closure date
- (7) Price discovery and allocation.
- (8) Signing of underwriting agreement.
- (9) Filing of the offer document.
- (10) Announcement of pre-issue advertisement.
- (11) Issuance of Confirmation of Allocation Note ("CAN") and allotment in the Issue.
- (12) Designated date.
- (13) General instructions:
 - (a) Do's and don'ts.
 - (b) Instructions for completing the bid form.
 - (c) Bidders' bank account details.

- (d) Bids by non-resident Indians or foreign portfolio investors, foreign venture capital investors on repatriation basis
- (14) Payment instructions:
 - (a) Payment into escrow account of the issuer.
 - (b) Payment instructions for Application Supported by Blocked Amount.
- (15) Submission of bid form.
- (16) Other instructions:
 - (a) Joint bids in the case of individuals.
 - (b) Multiple bids.
 - (c) Instructions to the applicants to mention the Permanent Account Number of the sole / first holder in the application form, irrespective of the amount for which application or bid is made, along with the instruction that applications without Permanent Account Number would be rejected except where the requirement to hold a permanent account number has been specifically exempt under applicable law.
 - (d) Instances when an application would be rejected on technical grounds
 - (e) Equity shares in demat form with the depositories.
 - (f) Investor's attention shall also be invited to contact the compliance officer in case of any pre-issue or post-issue related problems regarding share certificates/demat credit/refund orders/ unblocking etc.
- (17) Disposal of applications.
- (18) Provisions of the Companies Act, 2013, as applicable, relating to punishment for fictitious applications, including to any person who:
 - (a) makes or abets making of an application in a fictitious name to a company for acquiring, or subscribing for, its securities, or
 - (b) makes or abets making of multiple applications to a company in different names or in different combinations of his/her name or surname for acquiring or subscribing for its securities, shall be punishable with fine and/or imprisonment for such amount and/or term as may be prescribed under section 447 of the Companies Act 2013.
- (19) Interest on refund of excess bid amount, in case of anchor investors.
- (20) Names of entities responsible for finalising the basis of allotment in a fair and proper manner.

- (21) Procedure and time of schedule for allotment and ⁴⁶⁷[***] demat credit.
- (22) Method of allotment as may be prescribed by the Board from time to time.
- (23) Letters of Allotment or refund orders or instructions to Self Certified Syndicate Banks in Application Supported by Blocked Amount process. The issuer shall ensure that "at par" facility is provided for encashment of refund orders for applications other than Application Supported by Blocked Amount process.
- (24) Mode of making refunds:
 - (a) The mode in which the issuer shall refund the application money to applicants in case of an oversubscription or failure to list.
 - (b) If the issuer proposes to use more than one mode of making refunds to applicants, the respective cases where each such mode will be adopted.
 - (c) The permissible modes of making refunds and unblocking of funds are as follows:
 - (i) In case of applicants residing in any of the centres specified by the Board: by crediting of refunds to the bank accounts of applicants through electronic transfer of funds by or NACH (National Automated Clearing House), as applicable, Direct Credit, RTGS (Real Time Gross Settlement) or NEFT (National Electronic Funds Transfer), as is for the time being permitted by the Reserve Bank of India;
 - (ii) In case of other applicants: by dispatch of refund orders by registered post/unblocking in case of ASBA
- (25) Payment of Interest in case of delay in despatch of allotment letters or refund orders/instruction to self-certified syndicate banks by the registrar in the case of public issues:
 - (a) in case of a fixed price issue, a statement that the issuer shall allot securities offered to the public shall be made within the period prescribed by the Board. The issuer shall also pay interest at the rate of fifteen per cent. per annum if the allotment letters or refund orders have not been despatched to the applicants or if, in a case where the refund or portion thereof is made in electronic manner, the refund instructions have not been given to the clearing system in the disclosed manner within eight days from the date of the closure of the issue. However applications received

⁴⁶⁷ The words and symbols "*issue of certificates (for rights issues)*" omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

after the closure of issue in fulfilment of underwriting obligations to meet the minimum subscription requirement, shall not be entitled for the said interest.

- (b) In case of a book-built issue, a statement that the issuer shall allot securities offered to the public within the period prescribed by the Board. The issuer further agrees that it shall pay interest at the rate of fifteen per cent. per annum if the allotment letters or refund orders/ unblocking instructions have not been despatched to the applicants or if, in a case where the refund or portion thereof is made in electronic manner, the refund instructions have not been given to the clearing system in the disclosed manner within six days from the date of the closure of the issue.
- (c) In case of a rights issue, a statement that the issuer shall allot securities offered to the shareholders within fifteen days of the closure of the rights issue. The issuer further agrees that it shall pay interest at the rate of fifteen per cent. per annum if the allotment letters or refund orders/ unblocking instructions have not been despatched to the applicants or if, in a case where the refund or portion thereof is made in electronic manner, the refund instructions have not been given to the clearing system in the disclosed manner within fifteen days from the date of the closure of the issue.

(26) Undertaking by the issuer:

- a) The following undertaking by the issuer shall be disclosed:
 - (i) that the complaints received in respect of the issue shall be attended to by the issuer expeditiously and satisfactorily;
 - (ii) that all steps for completion of the necessary formalities for listing and commencement of trading at all stock exchanges where the securities are to be listed are taken within the period prescribed by the Board;
 - (iii) that the issuer shall apply in advance for the listing of equities on the conversion of debentures/ bonds;
 - (iv) that the funds required for making refunds/unblocking to unsuccessful applicants as per the mode(s) disclosed shall be made available to the registrar to the issue by the issuer;
 - (v) that where refunds are made through electronic transfer of funds, a suitable communication shall be sent to the applicant within the

- specified period of closure of the issue giving details of the bank where refunds shall be credited along with amount and expected date of electronic credit of refund;
- (vi) that the promoters' contribution in full, wherever required, shall be brought in advance before the Issue opens for public subscription and the balance, if any, shall be brought on a pro rata basis before the calls are made on public in accordance with applicable provisions in these regulations;
 - (vii) that no further issue of securities shall be made till the securities offered through the offer document are listed or till the application monies are refunded on account of non-listing, under subscription, etc., other than as disclosed in accordance with ⁴⁶⁸[regulation 56];
 - (viii) that adequate arrangements shall be made to collect all Applications Supported by Blocked Amount and to consider them similar to non-ASBA applications while finalizing the basis of allotment;
- b) In case of an issue of convertible debt instruments, the issuer shall also give the following additional undertakings:
- (i) it shall forward the details of utilisation of the funds raised through the convertible debt instruments duly certified by the statutory auditors of the issuer, to the debenture trustees at the end of each half-year.
 - (ii) it shall disclose the complete name and address of the debenture trustee in the annual report.
 - (iii) it shall provide a compliance certificate to the convertible debt instrument holders (on yearly basis) in respect of compliance with the terms and conditions of issue of convertible debt instruments, duly certified by the debenture trustee.
 - (iv) it shall furnish a confirmation certificate that the security created by the issuer in favour of the convertible debt instrument holders is properly maintained and is adequate to meet the payment obligations towards the convertible debt instrument holders in the event of default.

⁴⁶⁸ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the word and numbers "Regulation 19".

- (v) it shall extend necessary cooperation to the credit rating agency/agencies for providing true and adequate information till the debt obligations in respect of the instrument are outstanding.
 - c) A statement that the issuer reserves the right not to proceed with the issue after the bidding and if so, the reason thereof as a public notice within two days of the closure of the issue. The public notice shall be issued in the same newspapers where the pre-issue advertisement had appeared. The stock exchanges where the specified securities were proposed to be listed shall also be informed promptly.
 - d) a statement that if the issuer withdraws the issue at any stage including after closure of bidding, the issuer shall be required to file a fresh draft offer document with the Board.
- (27) Utilisation of Issue Proceeds:**
- (a) A statement by the board of directors of the issuer to the effect that:
 - (i) all monies received out of issue of specified securities to the public shall be transferred to a separate bank account other than the bank account referred to in the Companies Act, 2013;
 - (ii) details of all monies utilised out of the issue referred to in sub-item (i) shall be disclosed and continue to be disclosed till the time any part of the issue proceeds remains unutilised under an appropriate separate head in the balance sheet of the issuer indicating the purpose for which such monies had been utilised; and
 - (iii) details of all unutilised monies out of the issue of specified securities referred to in sub-item (i) shall be disclosed under an appropriate separate head in the balance sheet of the issuer indicating the form in which such unutilised monies have been invested.
 - (b) For an issue other than an offer for sale or a public issue made by any scheduled commercial bank or a public financial institution, a statement of the board of directors of the issuer to the effect that:
 - (i) the utilisation of monies received under promoters' contribution and from reservations shall be disclosed and continue to be disclosed under an appropriate head in the balance sheet of the issuer, till the time any part of the issue proceeds remains

unutilised, indicating the purpose for which such monies have been utilised;

- (ii) the details of all unutilised monies out of the funds received under promoters' contribution and from reservations shall be disclosed under a separate head in the balance sheet of the issuer, indicating the form in which such unutilised monies have been invested

(28) Restrictions on foreign ownership of Indian securities, if any:

- (a) Investment by non-resident Indians.
- (b) Investment by foreign portfolio investors.
- (c) Investment by other non-residents.

(C) Description of Equity Shares and Terms of the Articles of Association:

Main provisions of the Articles of Association including rights of the members regarding voting, dividend, lien on shares and the process for modification of such rights, forfeiture of shares and restrictions, if any, on transfer and transmission of securities and their consolidation or splitting.

(16) Any other material disclosures, as deemed necessary.

(17) In case of a ⁴⁶⁹[fast track public issue], the disclosures specified in this Part, which have been indicated in ⁴⁷⁰[Part D], need not be made.

(18) Other Information:

List of material contracts and inspection of documents for inspection:

- (1) Material contracts.
- (2) Material Documents
- (3) Time and place at which the contracts, together with documents, will be available for inspection from the date of the offer document until the date of closing of the subscription list.

⁴⁷¹[Provided that the material contracts and material documents shall also be made available for inspection through online means.]

⁴⁶⁹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "*fast track issue*".

⁴⁷⁰ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "*Part B*".

- (4) IPO grading reports for each of the grades obtained
- (5) The draft offer document/ draft letter of offer and offer document shall be approved by the Board of Directors of the issuer and shall be signed by all directors including the Managing Director within the meaning of the Companies Act, 2013 or Manager, within the meaning of the Companies Act, 2013 and the Chief Financial Officer or any other person heading the finance function and discharging that function. The signatories shall further certify that all disclosures are true and correct.

DECLARATION BY THE ISSUER: We hereby declare that all relevant provisions of the the Companies Act, 2013 and the guidelines/regulations issued by the Government of India or the guidelines/regulations issued by the Securities and Exchange Board of India, established under section 3 of the Securities and Exchange Board of India Act, 1992, as the case may be, have been complied with and no statement made in the Red Herring Prospectus is contrary to the provisions of the the Companies Act, 2013, the Securities and Exchange Board of India Act, 1992 or rules made or guidelines or regulations issued there under, as the case may be. We further certify that all statements are true and correct.

⁴⁷²**[Part B - Disclosures in a
letter of offer
[See regulation 70(2)]**

- (l) An issuer, satisfying the following conditions, shall make the disclosures as specified in clause (4) of this Part, in the draft letter of offer/letter of offer:
 - (a) The periodic reports, statements and information are being filed in compliance with the listing agreement or the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as applicable for the last one year immediately preceding the date of filing the letter of offer with the designated stock exchange in case of a fast track issue and in any other case, the date of filing the draft letter of offer with the Board;

⁴⁷¹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023.

⁴⁷² Substituted by the SEBI (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2020 w.e.f. 28.09.2020.

- (b) the reports, statements and information referred to in sub-clause (a) above are available on the website of any stock exchange;
 - (c) the issuer has investor grievance-handling mechanism which includes meeting of the Stakeholders' Relationship Committee at frequent intervals, appropriate delegation of power by the board of directors of the issuer as regards share transfer and clearly laid down systems and procedures for timely and satisfactory redressal of investor grievances.
- (2) If the issuer does not satisfy the conditions specified in clause (1), it shall make disclosures in the letter of offer as specified in Part B-1 of this Schedule.
- (3) Following issuers shall mandatorily make disclosures in the draft letter of offer/letter of offer as specified in Part B-1 of this Schedule:
- (a) an issuer whose management has undergone any change pursuant to acquisition of control in accordance with the provisions of Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 1997 or the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, as applicable and is making a rights issue of specified securities for the first time subsequent to such change and a period of three full years has not elapsed since such a change;
 - (b) an issuer whose specified securities have been listed consequent to the relaxation granted by the Board under sub-rule (7) of rule 19 of the Securities Contracts (Regulation) Rules, 1957 for listing of its specified securities pursuant to a scheme sanctioned by a High Court under sections 391 to 394 of the Companies Act, 1956 or approved by a tribunal under sections 230-234 of the Companies Act, 2013, as applicable, and is making a rights issue of specified securities for the first time subsequent to such listing and a period of three full years has not elapsed since such listing.
- (4) An issuer proposing a rights issue shall make the following disclosures, as far as possible, in the letter of offer in the order in which the disclosures are specified in

this clause:

- (I) Cover Pages:** The cover page paper shall be of adequate thickness (minimum hundred GSM quality).

(A) Front Cover Pages:

- i. Front inside cover page shall be kept blank.
- ii. Front outside cover page shall contain only the following details:
 - (a) Type of letter of offer ("Draft Letter of Offer" or "Letter of Offer").
 - (b) Date of the draft letter of offer / letter of offer.
 - (c) Name of the issuer, its logo, date and place of its incorporation, corporate identity number, telephone number, address of its registered and corporate offices, website address and e-mail address (mention if where there has been any change in the address of the registered office or the name of the issuer, reference to the page of the offer document where details thereof are given).
 - (d) Nature, number and price of specified securities offered and issue size, as may be applicable.
 - (e) Name of the promoter.
 - (f) Details of the issuer or any of its promoters or directors being a ⁴⁷³[wilful defaulter or a fraudulent borrower].
 - (g) The following clause on "General Risk" shall be incorporated in a box format:

"Investment in equity and equity related securities involve a degree of risk and investors should not invest any funds in this offer unless they can afford to take the risk with such investment. Investors are advised to read the risk factors carefully before taking an investment decision in this offering. For taking an investment decision, investors

⁴⁷³ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

shall rely on their own examination of the issuer and the offer including the risks involved. The securities have not been recommended or approved by the Securities and Exchange Board of India (SEBI) nor does SEBI guarantee the accuracy or adequacy of this document. Specific attention of investors is invited to the statement of 'Risk factors' given on page number under the section 'General Risks'."

- (h) The following clause on 'Issuer's Absolute Responsibility' shall be incorporated in a box format:

"The issuer, having made all reasonable inquiries, accepts responsibility for and confirms that this letter of offer contains all information with regard to the issuer and the issue, which is material in the context of the issue, and that the information contained in the letter of offer is true and correct in all material aspects and is not misleading in any material respect, that the opinions and intentions expressed herein are honestly held and that there are no other facts, the omission of which make this document as a whole or any of such information or the expression of any such opinions or intentions misleading in any material respect."

- (i) Names, logos and addresses of all the lead manager(s) with their titles who have signed the due diligence certificate and filed the letter of offer with the Board, along with their telephone numbers, website addresses and e-mail addresses. (Where any of the lead manager(s) is an associate of the issuer, it shall disclose itself as an associate of the issuer and that its role is limited to marketing of the issue.)
- (j) Name, logo and address of the registrar to the issue, along with its telephone number, website address and e-mail address.
- (k) Issue schedule:
- Date of opening of the issue

- Date of closing of the issue

- (l) Name(s) of the stock exchanges where the specified securities are listed and the details of their in-principle approval for listing obtained from these stock exchange(s).

(II) Back cover pages:

The back inside cover page and back outside cover page shall be kept blank.

(III) Table of contents: The table of contents shall appear immediately after the front inside cover page.

(IV) Definitions and abbreviations:

- (A) Conventional or general terms
- (B) Issue related terms
- (C) Issuer and industry related terms
- (D) Abbreviations

(V) Letter of offer summary: This section shall contain summary of the following information, as applicable:

- (A) Primary business of the Issuer in not more than 50 words;
- (B) Objects of the issue in a tabular format;
- (C) Intention and extent of participation by promoter/promoter group with respect to:
 - a. their rights entitlement
 - b. their intention to subscribe over and above their right entitlement
- (D) Summary table of outstanding litigations and a cross-reference to the section titled '*Outstanding Litigations and Defaults*';
- (E) Cross-reference to the section titled '*Risk Factors*'.
- (F) Cross-reference to contingent liabilities of the issuer as disclosed in audited financial statements.
- (G) Cross-reference to related part transactions (RPT) as disclosed in audited financial statements.

- (H) Any issuances of equity shares made in the last one year for consideration other than cash.

(VI) Risk factors:

- (A) Risk factors shall be printed in clear readable font (preferably of minimum point ten size).
- (B) Risk factors shall be in relation to the following:
 - (1) issue and objects of the issue;
 - (2) issuer and its ongoing business activities;
 - (3) summary of outstanding litigations as disclosed in the section on litigation in a tabular format along with amount involved, wherever quantifiable. Issuer shall also separately highlight any criminal and regulatory matters which may have any material adverse effect on the issuer.
- (C) Risk factors shall be determined on the basis of their materiality. In doing so, the following shall be considered:
 - (1) Some risks may not be material individually but may be found material collectively.
 - (2) Some risks may have an impact which is qualitative though not quantitative.
 - (3) Some risks may not be material at present but may have a material impact in the future.
- (D) Each risk factor shall appear in the following manner:
 - (1) Risk as envisaged by the issuer.
 - (2) Proposals, if any, to address the risk.
- (E) Proposals to address the risks shall not contain any speculative statement on the positive outcome to any matter or litigation, etc.
- (F) Proposals to address the risks shall not be given for any matter that is

sub-judice before any court or tribunal.

- (G) Risk factors shall be disclosed in the descending order of materiality. Wherever risks about material impact are stated, likely or potential implications, including any financial implication, on the Company for the same shall be disclosed.

(VII) Introduction:

(A) Summary:

- (1) Issue details in brief.

(B) General Information:

- (1) Name, addresses of the registered and corporate offices, corporate identity number and the registration number of the issuer, along with the address of the Registrar of Companies where the issuer is registered.
- (2) Names, addresses, telephone numbers and e-mail addresses of the Company Secretary and compliance officer of the issuer.
- (3) Name, address, telephone number and e-mail address of the Statutory Auditor(s) of the issuer.
- (4) Names, addresses, telephone numbers, contact person, website addresses and e-mail addresses of the bankers to the issue, self-certified syndicate bankers and legal advisors to the issue; URL of SEBI website listing out the details of self-certified syndicate banks, registrar to issue and share transfer agents, depository participants, etc.
- (5) Statement of inter-se allocation of responsibilities among lead manager(s),
- (6) Following details of credit rating in case of an issue of convertible debt instrument:
 - (a) The names of all the credit rating agencies from which credit rating including unaccepted rating has been obtained

for the issue of convertible debt instruments.

- (b) Details of all credit ratings, including unaccepted ratings, obtained for the issue of convertible debt instruments.
 - (c) All credit ratings obtained during the preceding three years for any of the issuer's listed convertible debt instruments at the time of accessing the market through a convertible debt instrument.
- (7) Name, address, telephone number, website address and e-mail address of the debenture trustee in case of an issue of convertible debt instruments.
- (8) Name, address, telephone number and e-mail address of the monitoring agency, if appointed, and disclosure as to whether such appointment is pursuant to these regulations.
- (9) Details of underwriting:
- (a) Names, address, telephone numbers, and e-mail address of the underwriters and the amount underwritten by each of them.
 - (b) Declaration by the board of directors of the issuer that the underwriters have sufficient resources to discharge their respective obligations.
 - (c) In case of partial underwriting of the issue, the extent of such underwriting.
 - (d) Details of the final underwriting arrangement, indicating actual number of specified securities underwritten, in the letter of offer filed with the designated stock exchange.
- (10) The fact of filing the letter of offer with the Board and the stock exchange(s) and the office of the Board where the letter of offer has been filed.

(C) Capital Structure: The capital structure in the following manner in

a tabular form:

- (1) Authorised, issued and subscribed capital, after suitable incorporation of the outstanding convertible securities (number of securities, description and aggregate nominal value).
- (2) Paid-up capital.
 - (a) After the issue.
 - (b) After conversion of convertible instruments (if applicable).
- (3) The following details of outstanding instruments:
 - (a) Details of options, if any.
 - (b) Details of convertible securities, if any
- (4) Details of specified securities held by the promoter and promoter group including the details of lock-in, pledge of and encumbrance on such specified securities. This information can be either incorporated by reference with specific website details of stock exchange(s) or by providing required details in the letter of offer.
- (5) Details of specified securities acquired by the promoter and promoter group in the last one year immediately preceding the date of filing of the letter of offer with the designated stock exchange in case of a fast track issue and in any other case, the date of filing of the draft letter of offer with the Board.
- (6) Intention and extent of participation by the promoter and promoter group in the issue with respect to:
 - (1) their rights entitlement.
 - (2) their intention to subscribe over and above their rights entitlement.

Provided that such participation shall not result in a breach of the minimum public shareholding requirement stipulated in the Securities and Exchange Board of India (Listing Obligations

and Disclosure Requirements) Regulations, 2015.

- (7) Ex-rights price as referred under clause of (b) of sub-regulation 4 of regulation 10 of Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulation, 2011.
- (8) Shareholding pattern as in the format prescribed in the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and as submitted to the stock exchanges. This information can be either incorporated by reference with specific website details of stock exchange(s) or by providing required details in the letter of offer.
- (9) Details of the shareholders holding more than one per cent. of the share capital of the issuer. This information can be either incorporated by reference with specific website details of stock exchange(s) or by providing required details in the letter of offer.

(VIII) Particulars of the Issue

(A) Objects of the Issue:

- (1) Objects of the issue for which funds are being raised
- (2) If the objects of the issue is repayment of loan or any other debt, then the following disclosures shall be made:
 - (a) details of loan proposed to be repaid such as name of the lender, tenure, brief terms and conditions and amount outstanding;
- (3) If one of the objects is investment in a joint venture or subsidiary or an acquisition, the following additional disclosures shall be made:
 - (a) details of the form of investment, i.e., equity, debt or any other instrument;
 - (b) if the form of investment has not been decided, a statement

to that effect;

- (c) if the investment is in debt instruments, complete details regarding the rate of interest, nature of security, terms of repayment, subordination, etc.;
 - (d) nature of benefit expected to accrue to the issuer as a result of the investment
- (4) If one of the objects of the issue is to grant a loan to an entity other than a subsidiary, details of the loan agreements including the rate of interest, whether secured or unsecured, duration, nature of security, terms of repayment, subordination, etc. and the nature of benefit expected to accrue to the issuer as a result of the investment. If such a loan is to be granted to any of the group companies, details of the same.
- (5) If one of the objects of the issue is utilisation of the issue proceeds for long term working capital, the following additional disclosures on a standalone basis:
- (a) Basis of estimation of working capital requirement, along with relevant assumptions.
 - (b) Reasons for raising additional working capital, substantiating the same with relevant facts and figures.
 - (c) Details of the projected working capital requirement including detailed assessment of working capital after implementation of the project or achievement of objects of the issue, as the case may be, capacity utilisation assumptions, break-up of expected current assets into raw materials, finished goods, work in progress, sundry debtors etc., along with the assumption about the holding norms for each type of current asset, total current liabilities, net current assets and envisaged sources of finance for net current assets, i.e., bank finance, institutional finance, own funds, etc.
 - (d) Total envisaged working capital requirement in a tabular

form, the margin money thereof and the portion to be financed by any bank(s) or otherwise.

- (e) Details of the existing working capital available with the issuer, along with a break-up of total current assets into raw materials, finished goods, work in progress, sundry debtors, etc., total current liabilities, net current assets and sources of finance for net current assets, i.e., bank finance, institutional finance, own funds, etc.
 - (f) If no working capital is shown as a part of the project for which the issue is being made, the reasons for the same.
- (6) If an object of the issue is to fund a project, the following details shall be given:
- (a) break-up of the cost of the project for which the money is being raised;
 - (b) means of financing for the project.
 - (c) location of the project
 - (d) plant and machinery, technology, process, etc.
 - (e) collaboration, performance guarantee if any, or assistance in marketing by the collaborators.
 - (f) infrastructure facilities for raw materials and utilities like water, electricity, etc.
- (7) If one of the objects of the issue is to purchase any plant, machinery, technology, process, etc., the following details shall be given:
- (a) Details shall be given in a tabular form, which shall include the details of the equipment required to be bought by the issuer, cost of the equipment, name of the suppliers, date of placement of order and the date or expected date of supply, etc.
 - (b) In case the order for the equipment is yet to be placed, the date of quotations relied upon for the cost estimates given shall also be

mentioned.

- (c) The percentage and value terms of the equipment for which orders are yet to be placed shall be stated.
 - (d) The details of the second hand equipment bought or proposed to be bought, if any, including the age of the machines, balance estimated life, etc. shall also be given.
- (8) If warrants or partly paid shares are proposed to be issued in a rights issue, disclosure of the objects towards which the funds from conversions of warrants/call money for partly paid shares is proposed to be used.

(B) Requirement of Funds:

- (1) Where the issuer proposes to undertake more than one activity or project, such as diversification, modernisation, expansion, etc., the total project cost activity-wise or project wise, as the case may be.
- (2) Where the issuer is implementing the project in a phased manner, the cost of each phase including the phase, if any, which has already been implemented.
- (3) Details of all material existing or anticipated transactions in relation to the utilisation of the issue proceeds or project cost with promoters, directors, key managerial personnel,⁴⁷⁴ [senior management,] associate companies (as defined under the Companies Act, 2013). The relevant documents shall be included in the list of material documents for inspection.
- (4) If any part of the proceeds of the issue is to be applied directly or indirectly:

⁴⁷⁴ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

- (A) in the purchase of any business; or
- (B) in the purchase of an interest in any business and by reason of that purchase, or anything to be done in consequence thereof, or in connection therewith; the issuer will become entitled to an interest in respect to either the capital or profits and losses or both, in such business exceeding fifty per cent. thereof;

a report made by accountants (who shall be named in the letter of offer) upon:

- (i) the profits or losses of the business of each of the five financial years immediately preceding the issue of the letter of offer; and
- (ii) the assets and liabilities of the business at the last date to which the accounts of the business were made, being a date not more than six months before the date of the issue of the letter of offer.

(5) If:

- (A) any part of the proceeds of the issue is to be applied directly or indirectly in any manner resulting in the acquisition by the issuer of shares in any other body corporate; and
- (B) by reason of that acquisition or anything to be done in consequence thereof or in connection therewith, that body corporate will become a subsidiary of the issuer;

a report made by accountants (who shall be named in the letter of offer) upon:

- (i) the profits or losses of the other body corporate for each of the five financial years immediately preceding the issue of the Letter of Offer; and
- (ii) the assets and liabilities of the other body corporate

at the last date to which its accounts were made.

(C) Strategic partners to the project or objects of the issue.

(D) Financial partners to the project or objects of the issue.

(E) Funding plan (Means of Finance):

- (1) An undertaking by the issuer confirming that firm arrangements of finance through verifiable means towards seventy-five per cent. of the stated means of finance, excluding the amount to be raised through the proposed issue and existing identifiable internal accruals, have been made.
- (2) Balance portion of the means of finance for which no firm arrangement has been made without specification.
- (3) Details of funds tied up and the avenues for deployment of excess proceeds, if any.

(F) Appraisal (if applicable):

- (1) Scope and purpose of the appraisal, if any, along with the date of appraisal.
- (2) Cost of the project and means of finance as per the appraisal report.
- (3) Explanation of revision, if any, in the project cost and the means of finance after the date of issue of the appraisal report.
- (4) Weaknesses, qualifications and threats given in the appraisal report, by way of risk factors.

(G) Schedule of implementation: The schedule of implementation of the project and the progress made so far, giving details of land acquisition, civil works, installation of plant and machinery, trial production, date of commercial production and reasons for delay, if any.

(H) Deployment of funds:

- (1) Details of the sources of funds and the deployment of these

funds on the project (where the issuer is raising capital for a project), up to a date not earlier than two months from the date of filing the letter of offer with the designated stock exchange, as certified by a Chartered Accountant, along with the name of the chartered accountant and the date of the certificate.

- (2) Where share application money brought in advance by the promoters is deployed in the project and the same is being adjusted towards their rights entitlement in the rights issue, the extent of deployment and utilisation of the funds brought in by the promoters.
- (I) **Sources of financing of funds already deployed:** Means and source of financing, including details of "bridge loan" or other financial arrangement, which may be repaid from the proceeds of the issue.
 - (J) **Details of balance fund deployment:** Year wise break-up of the expenditure proposed to be incurred on the said project.
 - (K) **Interim use of funds:** A statement that net issue proceeds pending utilization (for the stated objects) shall be deposited only in the scheduled commercial banks.
 - (L) **Expenses of the issue:** Expenses of the issue (in terms of amount, as a percentage of total issue expenses and as a percentage of total issue size) under the following heads:
 - (1) Lead manager(s) fees including underwriting commission
 - (2) Brokerage, selling commission and upload fees
 - (3) Registrars to the issue
 - (4) Legal Advisors
 - (5) Advertising and marketing expenses
 - (6) Regulators including stock exchanges
 - (7) Printing and distribution of issue stationary

(8) Others, if any (to be specified).

(M) Any special tax benefits for the issuer and its shareholders and its material subsidiaries identified in accordance with the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

(N) Key Industry Regulations for the proposed objects of the issue (if different from existing business of the issuer).

(O) Interest of promoters, promoter group and directors, as applicable to the project or objects of the issue.

(IX) Details of Business: Description of the industry and nature of the company's operations and its principal activities, including the main categories of products sold and/or services performed, end-users of the issuer's products and/or services, plant, machinery, technology, process, principal markets in which the issuer competes, approach to marketing, business strategy and productive capacity and extent of utilization of the issuer's facilities.

(X) Management (Board of Directors and Senior Management) and Organisational Structure:

(A) Name, date of birth, age, Director Identification Number, address, occupation and date of expiration of the current term of office of manager, managing director and other directors (including nominee directors and whole-time directors), period of directorships and directorships in other companies.

(1) For each person, details of current and past directorship(s) for a period of five years in listed companies whose shares have been/were suspended from being traded on any of the stock exchanges, during his/her tenure, as follows:

- Name of the Company:
- Listed on [give name of the stock exchange(s)]
- Date of suspension on the stock exchanges:

- If trading suspended for more than three months, reasons for suspension and period of suspension:
 - If the suspension of trading revoked, the date of revocation of suspension:
 - Term (along with relevant dates) of the director in the above company(ies). (The above details shall be given for the preceding five years. In case of offer documents for fast track issues filed under the provisions of these regulations, the period of five years shall be reckoned on the date of filing of the letter of offer.)
- (2) For each person, details of current and past directorship(s) in listed companies who have been/were delisted from the stock exchange(s) during his/her tenure in the past ten years, as follows:
- Name of the Company
 - Listed on [give name of the stock exchange(s)]
 - Date of delisting on the stock exchange(s)
 - Compulsory or voluntary delisting
 - Reasons for delisting
 - If relisted, date of relisting on [give name of the stock exchange(s)]
 - Term (along with relevant dates) of the director in the above company(ies).

(B) Details of senior management and ⁴⁷⁵[key managerial personnel].

(C) Current organisational structure.

(XI) Financial Information of the issuer:

One standard financial unit shall be used in the Letter of Offer.

(A) Consolidated financial statements of the issuer:

⁴⁷⁵ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words "key management".

The audited consolidated financial statements prepared in accordance with applicable accounting standards for the last financial year (with the comparative prior full year period). In addition, latest limited review financial statements disclosed to the stock exchange with the comparative prior year period (this information should not be earlier than six months prior to the date of the opening of the issue).

Issuers may voluntarily include additional financial statements, including three years of audited financial statements (but not more than three years), additional stub periods and audited standalone financial statements.

The following shall be included in the letter of offer:

- i. Report of statutory auditors on the financial statements.
- ii. Balance sheets
- iii. Statements of income
- iv. Schedules to accounts
- v. Statements of changes in stockholders' equity
- vi. Statements of cash flows
- vii. Statement of accounting policies
- viii. Notes to financial statements
- ix. Accounting Ratios
 - a) Earnings per share (Basic and Diluted)
 - b) Return on net worth
 - c) Net Asset Value per Share
 - d) EBITDA

(B) Proforma financial statements – The Issuer shall provide pro forma financial statements, as certified by the ⁴⁷⁶[statutory auditor or chartered accountants, who hold a valid certificate issued by the Peer

⁴⁷⁶ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words “statutory auditor”.

Review Board of the Institute of Chartered Accountants of India (ICAI)], of all the subsidiaries or businesses material to the consolidated financial statements where the issuer or its subsidiaries have made an acquisition or divestment including deemed disposal after the latest period for which financial information is disclosed in the letter of offer but before the date of filing of the letter of offer. For this purpose, the acquisition/divestment would be considered as material if acquired/ divested business or subsidiary in aggregate contributes 20% or more to turnover, net worth or profit before tax in the latest annual consolidated financial statements of the issuer. The pro forma financial statements shall be prepared for the last completed financial year and the stub period (if any). The pro forma financial statements shall be prepared in accordance with the Guidance Note issued by the ICAI from time to time and certified by the statutory auditor. The issuer company may voluntarily choose to provide pro forma financial statements of acquisitions even when they are below the above materiality threshold. In case of one or more acquisitions or divestments, one combined set of pro forma financial statements should be presented. Where the businesses acquired/ divested does not represent a separate entity, general purpose financial statement may not be available for such business. In such cases, combined/ carved-out financial statements for such businesses shall be prepared in accordance with the Guidance Note issued by the ICAI from time to time. Further, in case of non-material acquisitions/divestments, disclosures in relation to the fact of the acquisition/divestment, consideration paid/received and mode of financing shall be certified by the ⁴⁷⁷[statutory auditor of the issuer company or chartered accountants, who hold a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI).].

- (C) Audit Qualification.** If the auditors' report for the latest full year or limited review report for the latest stub period on the financial

⁴⁷⁷ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "*statutory auditor of the issuer company*".

statements is modified, the issuer shall comply with the requirements of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 in relation to audit report with modified opinion prior to issuing the final letter of offer, including issuing a Statement on Impact of Audit Qualifications in the format specified by the Board from time to time. The impact of any modification of auditors' opinion (where quantifiable), whether such modification is included in the audited report for the latest full year or limited review report for the latest stub period, shall be shown as adjustments in the line items specified by the Board from time to time to the extent possible for all the financial periods (full-year or stub) presented in the letter of offer, including any comparative prior year periods. Any type of audit modification (qualification, disclaimer or emphasis of matter) shall also be disclosed appropriately in the letter of offer, including as risk factor.

(XII) A statement to the effect that the price has been arrived at in consultation between the issuer and the lead manager(s).

(XIII) Management Discussion and Analysis of financial condition and results of operations.

(XIV) Disclosures pertaining to ⁴⁷⁸[wilful defaulters or fraudulent borrowers]: If the issuer or any of its promoter or director has been declared as a ⁴⁷⁹[wilful defaulter or a fraudulent borrower], it shall make the following disclosures with respect to each such person separately:

- (a) Name of the person declared as a ⁴⁸⁰[wilful defaulter or a fraudulent borrower];
- (b) Name of the bank declaring the person as a ⁴⁸¹[wilful defaulter or a fraudulent borrower];

⁴⁷⁸ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulters".

⁴⁷⁹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁴⁸⁰ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁴⁸¹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

- (c) Year in which the person was declared as a ⁴⁸²[wilful defaulter or a fraudulent borrower];
- (d) Outstanding amount when the person was declared as a ⁴⁸³[wilful defaulter or a fraudulent borrower];
- (e) Steps taken, if any, by the person for removal of its name from the list of ⁴⁸⁴[wilful defaulters or fraudulent borrowers];
- (f) Other disclosures, as deemed fit by the issuer, in order to enable investors to take an informed decision;
- (g) Any other disclosure as specified by the Board.

(XV) Outstanding Litigations and Defaults:

- (A)** Pending matters which, if they result in an adverse outcome, would materially and adversely affect the operations or the financial position of the issuer.
- (B)** Matters which are pending:
 - (1) Issues of moral turpitude or criminal liability on the part of the issuer,
 - (2) Material violations of the statutory regulations by the issuer.
 - (3) Economic offences where proceedings have been initiated against the issuer.
- (C)** For the purpose of determining materiality, the threshold shall be determined by the issuer as per requirements under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- (D)** These disclosures shall be made in respect of the issuer and the subsidiary companies of the issuer whose financial statements are

⁴⁸² Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁴⁸³ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁴⁸⁴ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulters".

included in the draft letter of offer or letter of offer, either separately or in a consolidated form.

(XVI) Government Approvals or Licensing Arrangements: All material pending government and regulatory approvals pertaining to the objects of the issue.

(XVII) Material Developments: Any material development after the date of the latest balance sheet and its impact on the performance and prospects of the issuer.

(XVIII) Other Regulatory and Statutory Disclosures:

- (A)** Authority for the issue and details of the resolution passed for the issue.
- (B)** A statement by the issuer that the issuer, promoters, promoter group, directors have not been or are not prohibited from accessing or operating in the capital markets or restrained from buying, selling or dealing in securities under any order or direction passed by the Board.
- (C)** A statement by the issuer if any of the directors of the issuer are associated with the securities market in any manner, and if yes, details of any outstanding action initiated by the Board against the said entities with the relevant details.
- (D)** A statement by the issuer that it is in compliance with the provisions specified in Clause (1) of this Schedule.
- (E)** For a fast track issue, details of compliance with the eligibility requirements.
- (F)** Disclaimer clauses:
 - (1)** The letter of offer shall contain the following disclaimer clause in bold capital letters:

"It is to be distinctly understood that submission of Letter of Offer to SEBI should not in any way be deemed or construed that the same has been cleared or approved by SEBI. SEBI does

not take any responsibility either for the financial soundness of any scheme or the project for which the issue is proposed to be made or for the correctness of the statements made or opinions expressed in the Letter of Offer. Lead manager(s), has certified that the disclosures made in the Letter of Offer are generally adequate and are in conformity with SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018 in force for the time being. This requirement is to facilitate investors to take an informed decision for making investment in the proposed issue.

It should also be clearly understood that while the issuer is primarily responsible for the correctness, adequacy and disclosure of all relevant information in the letter of offer, the lead manager(s) is expected to exercise due diligence to ensure that the issuer discharges its responsibility adequately in this behalf and towards this purpose, the lead manager(s)

..... has furnished to the Securities and Exchange Board of India (SEBI) a due diligence certificate datedwhich reads as follows:

(due diligence certificate submitted to the Board to be reproduced here)

The filing of the letter of offer does not, however, absolve the issuer from any liabilities under the Companies Act, 2013 or from the requirement of obtaining such statutory or other clearances as may be required for the purpose of the proposed issue. SEBI further reserves the right to take up, at any point of time, with the lead manager(s) any irregularities or lapses in letter of offer."

(2) Disclaimer statement from the issuer and lead manager(s):

A statement to the effect that the issuer and the lead manager(s) accept no responsibility for statements made otherwise than in the Letter of Offer or in the advertisement or any other material

issued by or at the instance of the issuer and that anyone placing reliance on any other source of information would be doing so at their own risk.

Investors who invest in the issue will be deemed to have been represented by the issuer and lead manager(s) and their respective directors, officers, agents, affiliates and representatives that they are eligible under all applicable laws, rules, regulations, guidelines and approvals to acquire equity shares of our company, and are relying on independent advice / evaluation as to their ability and quantum of investment in this issue.

- (3) Disclaimer in respect of jurisdiction: A brief paragraph mentioning the jurisdiction under which the provisions of law and the rules and regulations are applicable to the letter of offer.
 - (4) Disclaimer clause of the stock exchanges.
 - (5) Disclaimer clause of the Reserve Bank of India, the Insurance Regulatory and Development Authority of India and of any other regulatory authority (if applicable).
- (G) The fact of filing the letter of offer with the Board and the stock exchange(s) and the office of the Board where the letter of offer has been filed.
- (H) Arrangements or any mechanism evolved by the issuer for redressal of investor grievances and the time normally taken by it for disposal of various types of investor grievances.

(XIX) Offering Information:

- (1) Terms of payments and procedure and time schedule for allotment and demat credit of securities.
- (2) How to apply, availability of application forms and letter of offer and mode of payment, including the following:
 - (a) Applications by mutual funds:
 - 1. A statement under the heads "Procedure for applications

by mutual funds" and "Multiple Applications" to indicate that a separate application can be made in respect of each scheme of an Indian mutual fund registered with the Board and that such applications shall not be treated as multiple applications.

2. A statement that the application made by an asset management company or by custodian of a mutual fund shall clearly indicate the name of the concerned scheme for which the application is being made.

(b) Applications by non-resident Indians:

1. the name and address of at least one place in India from where individual non-resident Indian applicants can obtain the application forms.

(c) Application by ASBA investors: Details of Application Supported by Blocked Amount process including specific instructions for submitting Application Supported by Blocked Amount.

(d) A statement that the shareholders who have not received the application form can apply, along with the requisite application money, by making an application that is available on the website of registrar, stock exchanges, lead managers or on a plain paper with same details as per application form available online.

(e) The format to enable shareholders to make an application on a plain paper specifying therein necessary particulars such as name, address, ratio of rights issue, issue price, number of equity shares held, depository participant ID, client ID, number of equity shares applied for, amount to be blocked with SCSB for using ASBA facility. Application form available online on the website of registrar, stock exchanges, lead managers may be used for providing requisite details;

- (f) A statement that shareholders making an application on a plain paper cannot renounce their rights and shall not utilise the application form for any purpose including renunciation even if it is received subsequently.
- (3) Dealing with Fractional Entitlement: Manner of dealing with fractional entitlement viz. payment of the equivalent of the value, if any, of the fractional rights in cash etc.
- (4) Provisions of the Companies Act, 2013, as relating to punishment for fictitious applications, including the disclosures that any person who:
 - a) makes or abets making of an application in a fictitious name to a company for acquiring, or subscribing for, its securities; or
 - b) makes or abets making of multiple applications to a company in different names or in different combinations of his/her name or surname for acquiring or subscribing for its securities; or
 - c) otherwise induces directly or indirectly a company to allot, or register any transfer of, securities to such person, or to any other person in a fictitious name.

Provided that any penalty imposed pursuant to Companies Act, 2013 shall also be disclosed.

- (5) A statement that credit of specified securities to the demat account/ issuing instructions for un- blocking of ASBA shall be done within a period of fifteen days and interest shall be payable in case of delay in ⁹⁹ issuing instructions for un-blocking of ASBA at the prescribed rate. In cases where refunds are applicable, such refunds shall be made within a period of fifteen days and interest shall be payable in case of delay. Liability of issuer and its directors (who are officers in default) to issue instructions for unblocking/ make refunds along with specified rate of interest shall also be mentioned, in case refunds not made within the specified timeline.
- (6) Mode of making refunds:

- a) The mode in which the issuer shall make refunds to applicants in case of an oversubscription or failure to list or otherwise.
- b) If the issuer proposes to use more than one mode of making refunds to applicants, the respective cases where each such mode will be adopted shall be disclosed.
- c) The permissible modes of making refunds are as follows:
 - (i) Unblocking amounts blocked using ASBA facility;
 - (ii) In case of applicants residing in any of the centres specified by the Board: by crediting of refunds to the bank accounts of applicants through electronic transfer of funds by using Direct Credit, RTGS (Real Time Gross Settlement) or NEFT (National Electronic Funds Transfer) or NACH (National Automated Clearing House), as applicable, as is for the time being permitted by the Reserve Bank of India;
 - (iii) In case of other applicants: by despatch of refund orders by registered post, where the value is '1500/- or more, or under certificate of posting in other cases, (subject however to postal rules); and
 - (iv) In case of any category of applicants specified by the Board: crediting of refunds to the applicants in any electronic manner permissible by the Board.

(XX) Undertakings by the issuer in connection with the issue: The issuer shall undertake that:

- (a) complaints received in respect of the issue shall be attended to by the issuer expeditiously and satisfactorily.
- (b) steps for completion of the necessary formalities for listing and commencement of trading at all stock exchanges where the specified securities are to be listed are taken within the time limit specified by the Board.
- (c) funds required for making refunds to unsuccessful applicants as per the mode(s) disclosed shall be made available to the Registrar to the issue by the issuer.

- (d) where refunds are made through electronic transfer of funds, a suitable communication shall be sent to the applicant within 15 days of closure of the issue giving details of the bank where refunds shall be credited along with amount and expected date of electronic credit of refund.
- (e) where release of block on the application amount for unsuccessful bidders or part of the application amount in case of proportionate allotment, a suitable communication shall be sent to the applicants.
- (f) adequate arrangements shall be made to collect all ASBA applications
- (g) in case of convertible debt instruments, the issuer shall additionally undertake that:
 - (1) it shall forward the details of utilisation of the funds raised through the convertible debt instruments, duly certified by the statutory auditors of the issuer, to the debenture trustee at the end of each half-year.
 - (2) it shall disclose the name and address of the debenture trustee in the annual report.
 - (3) it shall provide a compliance certificate to the convertible debt instrument holders on a yearly basis in respect of compliance with the terms and conditions of issue of debentures as contained in the Letter of Offer, duly certified by the debenture trustee.
 - (4) it shall furnish a confirmation certificate that the security created by the issuer in favour of the convertible debt instrument holders is properly maintained and is adequate to meet the payment obligations towards the convertible debt instrument holders in the event of a default.
 - (5) it shall extend necessary cooperation to the credit rating agency(ies) in providing the requisite information in a true and adequate manner till the debt obligations in respect of the instrument are outstanding.

(XXI) Utilisation of Issue Proceeds: The letter of offer, other than for an issue made by a scheduled commercial bank or a public financial institution, shall contain a statement of the board of directors of the issuer to the effect that:

- (A) all monies received out of issue of shares or specified securities to the public shall be transferred to a separate bank account.
- (B) details of all monies utilised out of the issue referred to in clause (A) shall be disclosed under an appropriate separate head in the balance sheet of the issuer indicating the purpose for which such monies had been utilised; and
- (C) details of all unutilised monies out of the issue of specified securities referred to in clause (A) shall be disclosed under an appropriate separate head in the balance sheet of the issuer indicating the form in which such unutilised monies have been invested.

(XXII) Restrictions on foreign ownership of Indian securities, if any:

- (A) Investment by NRIs.
- (B) Investment by foreign portfolio investors and foreign venture capital investors.
- (C) Investment by other non-residents.

(XXIII) Statutory and other information:

- (A) Allotment of specified securities shall be in the dematerialised form.
- (B) Material contracts and time and place of inspection which shall include copies of the Annual Reports of the issuer for the last five years.
⁴⁸⁵[Provided that the material contracts shall also be made available for inspection through online means.]

(XXIV) Any other material disclosures, as deemed necessary.

⁴⁸⁵ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023.

(XXV) Declaration:

“No statement made in this letter of offer contravenes any of the provisions of the Companies Act, 2013 and the rules made thereunder. All the legal requirements connected with the issue as also the guidelines, instructions, etc., issued by SEBI, Government and any other competent authority in this behalf, have been duly complied with.”

The draft letter of offer (in case of issues other than fast track issues) and the letter of offer shall be approved by the Board of Directors of the issuer and shall be signed by all directors including the Managing Director within the meaning of the Companies Act, 2013 or Manager within the meaning of the Companies Act, 2013 and the Chief Financial Officer or any other person heading the finance function and discharging that function. The signatories shall further certify that all disclosures made in the letter of offer are true and correct.

- (5) An issuer shall make a copy of the offer document of the immediately preceding public issue or rights issue available to the public in the manner specified in these regulations and shall also make such document available as a material document for inspection.]

⁴⁸⁶[Part B-1 – Disclosures in letter of offer

[See regulation 70(2)]

All disclosures specified under this Part shall be made in the draft letter of offer and the letter of offer.

Instructions:

- (a) All information shall be relevant and updated. The source and basis of all statements and claims shall be disclosed. Terms such as “market leader”, “leading player”, etc. shall be used only if these can be substantiated by citing a proper source.
- (b) All blank spaces in the draft letter of offer shall be filled up with appropriate data before filing the letter of offer with the designated stock exchanges.

⁴⁸⁶ Inserted by the SEBI (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2020 w.e.f. 28.09.2020.

- (c) Simple English shall be used to enable easy understanding of the contents. Technical terms, if any, used in explaining the business of the issuer shall be clarified in simple terms.
- (d) Wherever it is mentioned that details are given elsewhere in the document, the same shall be adequately cross-referenced by indicating the paragraph heading and page number.
- (e) There shall be no forward-looking statements that cannot be substantiated.
- (f) Consistency shall be ensured in the style of disclosures. If first person is used, the same may be used throughout. Sentences that contain a combination of first and third persons may be avoided.
- (g) For currency of presentation, only one standard financial unit shall be used.

(I) Cover pages: The cover pages shall be of adequate thickness (minimum hundred GSM quality) and shall be white in colour with no patterns.

(A) Front cover pages:

- (1) Front inside cover page shall be kept blank.
- (2) Front outside cover page shall contain only the following issue details:
 - a) The type of letter of offer ("Draft Letter of Offer" or "Letter of Offer").
 - b) Date of the draft letter of offer / letter of offer.
 - c) Name of the issuer, its logo, date and place of its incorporation, corporate identity number, address of its registered and corporate offices, telephone number, website address and e-mail address (where there has been any change in the address of the registered office or the name of the issuer, reference to the page of the letter of offer where details thereof are given).
 - d) Names of the promoter(s) of the issuer.
 - e) Details of the company or any of its promoters or directors being a ⁴⁸⁷[wilful defaulter or a fraudulent borrower].
 - f) Nature, number and price of specified securities offered and issue size, as may be applicable.
 - g) The following clause on 'General Risk' shall be incorporated in a box format:

⁴⁸⁷ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

"Investment in equity and equity related securities involve a degree of risk and investors should not invest any funds in this offer unless they can afford to take the risk of losing their investment. Investors are advised to read the risk factors carefully before taking an investment decision in this offering. For taking an investment decision, investors must rely on their own examination of the issuer and the offer including the risks involved. The securities have not been recommended or approved by the Securities and Exchange Board of India (SEBI) nor does SEBI guarantee the accuracy or adequacy of this document. Specific attention of investors is invited to the statement of 'Risk factors' given on page number under the section 'General Risks'."

- h) The following clause on 'Issuer's Absolute Responsibility' shall be incorporated in a box format:

"The issuer, having made all reasonable inquiries, accepts responsibility for and confirms that this letter of offer contains all information with regard to the issuer and the issue which is material in the context of the issue, that the information contained in the letter of offer is true and correct in all material aspects and is not misleading in any material respect, that the opinions and intentions expressed herein are honestly held and that there are no other facts, the omission of which make this document as a whole or any of such information or the expression of any such opinions or intentions misleading in any material respect."

- i) Names, logos and addresses of all the lead manager(s) with their titles who have signed the due diligence certificate and filed the letter of offer with the Board, along with their telephone numbers, website addresses and e-mail addresses. (Where any of the lead manager(s) is an associate of the issuer, it shall disclose itself as an associate of the issuer and that its role is limited to marketing of the issue.)
- j) Name, logo and address of the registrar to the issue, along with its telephone number, website address and e-mail address.
- k) Issue schedule:
- (i) Date of opening of the issue
 - (ii) Date of closing of the issue
- l) Credit rating, if applicable.
- m) Name(s) of the stock exchanges where the specified securities are listed and the details of their in-principle approval for listing obtained from these stock exchange(s).

- (B) **Back cover pages:** The back inside cover page and back outside cover page shall be kept blank.
- (2) **Table of Contents:** The table of contents shall appear immediately after the front inside cover page.
- (3) **Definitions and abbreviations:**
- (A) Conventional or general terms
 - (B) Issue related terms
 - (C) Issuer and industry related terms
 - (D) Abbreviations
- (4) **Letter of offer summary:** This section shall contain summary of the following information, as applicable:
- (A) Primary business of the Issuer and the industry in which it operates, in not more than 100 words each;
 - (B) Names of the promoters;
 - (C) Objects of the issue in a tabular format;
 - (D) Following details as per the restated consolidated financial statements for past 3 years and limited review stub period in tabular format:
 - a. Share capital;
 - b. Net Worth;
 - c. Revenue;
 - d. Profit after tax;
 - e. Earnings per share;
 - f. Net Asset Value per equity share; and
 - g. Total borrowings (as per balance sheet).
 - (E) Summary table of outstanding litigations and a cross-reference to the section titled '*Outstanding Litigations and Material Developments*'.
 - (F) Cross-reference to the section titled '*Risk Factors*'.
 - (G) Cross-reference to the contingent liabilities of the issuer as disclosed in the financial statements included in the letter of offer.
 - (H) Cross-reference to related party transactions as disclosed in the financial statements included in the letter of offer.
 - (I) Any issuances of equity shares made in the last one year for consideration other than cash.
 - (J) Any split/consolidation of equity shares in the last one year.
- (5) **Risk factors:**

- (A) Risk factors shall be printed in a clear readable font (preferably of minimum point ten size).
- (B) Risk factors shall be classified as those which are specific to the project and internal to the issuer and those which are external and beyond the control of the issuer.
- (C) Risk factors shall be determined on the basis of their materiality. In doing so, the following shall be considered:
- (1) Some risks may not be material individually but may be material when considered collectively.
 - (2) Some risks may have an impact which is qualitative though not quantitative.
 - (3) Some risks may not be material at present but may have a material impact in the future.
- (D) Each risk factor shall appear in the following manner:
- (1) The risk as envisaged by the issuer.
 - (2) Proposals, if any, to address the risk.
- (E) Proposals to address the risks shall not contain any speculative statement on the positive outcome of any matter or litigation, etc. and shall not be given for any matter that is sub-judice before any court/tribunal.
- (F) Risk factors shall be disclosed in the descending order of materiality. Wherever risks about material impact are stated, likely or potential implications, including financial implication, wherever quantifiable shall be disclosed. If it cannot be quantified, a distinct statement about the fact that the implications cannot be quantified shall be made.
- (G) Risk factors covering the following subjects, shall necessarily be disclosed wherever applicable:
- (1) Material statutory clearances and approval that are yet to be received by the issuer.
 - (2) Seasonality of the business of the issuer.
 - (3) Where an object of the issue is to finance acquisitions and the acquisition targets have not been identified, details of interim use of funds and the probable date of completing the acquisitions.
 - (4) Risk associated with orders not having been placed for plant and machinery in relation to the objects of the issue, indicating the percentage and value terms of the plant and machinery for which orders are yet to be placed.
 - (5) Lack of significant experience of the issuer or its promoters in the industry segment for which the issue is being made.

- (6) If the issuer has incurred losses in the last three financial years.
- (7) Dependence of the issuer or any of its business segments upon a single customer or a few customers, the loss of any one or more may have a material adverse effect on the issuer.
- (8) Refusal of listing of any securities of the issuer or any of its subsidiaries during last ten years by any of the stock exchanges in India or abroad.
- (9) Failure of the issuer or any of its subsidiary to meet the listing requirements of any stock exchange in India or abroad and the details of penalty, if any, including suspension of trading, imposed by such stock exchanges.
- (10) Limited or sporadic trading of any specified securities of the issuer on the stock exchanges.
- (11) In case of outstanding debt instruments, any default in compliance with the material covenants such as creation of full security as per terms of issue, default in payment of interest, default in redemption, non-creation of debenture redemption reserve, default in payment of penal interest wherever applicable, non-availability or non-maintenance of asset cover, interest cover, debt-service cover, etc.
- (12) Unsecured loans, if any, taken by the issuer and its subsidiaries that can be recalled at any time.
- (13) Default in repayment of deposits or payment of interest thereon by the issuer and subsidiaries, and the roll-over of liability, if any.
- (14) Potential conflict of interest of the promoters or directors of the issuer if involved with one or more ventures which are in the same line of activity or business as that of the issuer.
- (15) Shortfall in performance vis-à-vis the objects stated in any of the issues made by the listed issuer or listed subsidiaries in the last five years, as disclosed under the heading "Performance vis-à-vis Objects" in the section "Other Regulatory and Statutory Disclosures", quantifying such shortfalls or delays.
- (16) Interests of the promoters, directors ⁴⁸⁸[, key managerial personnel or senior management] of the issuer, other than reimbursement of expenses incurred or normal remuneration or benefits. Any portion of the issue proceeds that is

⁴⁸⁸ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words "or key management personnel".

proposed to be paid by the issuer to the promoter, directors ⁴⁸⁹[, key managerial personnel or senior management] of the issuer.

- (17) Relationship of the promoter or directors of the issuer with the entities from whom the issuer has acquired or proposes to acquire land in the last 5 years, along with the relevant details.
- (18) Excessive dependence on any key managerial personnel ⁴⁹⁰[or senior management] for the project for which the issue is being made.
- (19) Any material investment in debt instruments by the issuer which are unsecured.
- (20) Non-provision for decline in the value of investments.
- (21) Summary of all outstanding litigations and other matters disclosed in the section titled '*Outstanding Litigations and Material Developments*' in a tabular format along with amount involved, where quantifiable. Issuer shall also separately highlight any criminal, regulatory or taxation matters which may have any material adverse effect on the issuer.
- (22) The delay, if any, in the schedule of the implementation of the project for which the funds are being raised in the issue.
- (23) If monitoring agency is not required to be appointed as per these Regulations, the statement that deployment of the issue proceeds is entirely at the discretion of the issuer.
- (24) Negative cash flow from operating activities in the last three financial years.
- (25) If the land proposed to be acquired from proceeds of the issue is not registered in the name of the issuer.
- (26) Any restrictive covenants as regards the interests of the equity shareholders in any shareholders' agreement, promoters' agreement or any other agreement for short term (secured and unsecured) and long term borrowings.
- (27) Existence of a large number of pending investor grievances against the issuer and listed subsidiaries.

⁴⁸⁹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words "or key managerial personnel".

⁴⁹⁰ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

- (28) In case of issue of secured convertible debt instruments, risks associated with second or residual charge or subordinated obligation created on the asset cover.

(6) Introduction:

- (A) Issue details in brief.

(7) General information:

- (A) Name and address of the registered and corporate offices, the registration number of the issuer, and the address of the Registrar of Companies where the issuer is registered.
- (B) Name, Age, designation, address and DIN of each member of the Board of directors of the issuer.
- (C) Names, addresses, telephone numbers and e-mail addresses of the Company Secretary, and legal advisor.
- (D) Name, address, telephone number and e-mail address of the compliance officer.
- (E) Names, addresses, telephone numbers, contact person, website addresses and e-mail addresses of the lead manager(s), registrars to the issue, bankers to the issue; URL of SEBI website listing out the details of self-certified syndicate banks, registrar to the issue and share transfer agents, etc.
- (F) Names, addresses, telephone numbers peer review number, firm registration number and e-mail addresses of the auditors of the issuer.
- (G) Statement of inter-se allocation of responsibilities among lead manager(s).
- (H) Following details of credit rating in case of an issue of convertible debt instruments/debt instruments:
- (a) The names of all the credit rating agencies from which credit rating including unaccepted rating has been obtained for the issue of convertible debt instruments.
 - (b) Details of all credit ratings, including unaccepted ratings, obtained for the issue of convertible debt instruments.
 - (c) All credit ratings obtained during the preceding three years prior to the filing the draft letter of offer /letter of offer for any of the issuer's listed debt instruments at the time of accessing the market.
- (I) Name, address, telephone number, website address and e-mail address of the debenture trustee, in case of issue of convertible debt instruments/debt instruments.
- (J) Name, address, telephone number and e-mail address of the monitoring agency, if appointed, and disclosure as to whether such appointment is pursuant to these

regulations. The fact of filing the letter of offer with the Board and the stock exchange(s) and the office of the Board where the letter of offer has been filed.

(K) Details of underwriting:

- (a) Names, addresses, telephone numbers, and e-mail addresses of the underwriters and the amount underwritten by each of them.
- (b) Declaration by the board of directors of the issuer that the underwriters have sufficient resources to discharge their respective obligations.
- (c) In case of partial underwriting of the issue, the extent of such underwriting.
- (d) Details of the final underwriting arrangement, indicating actual number of specified securities underwritten, in the letter of offer filed with the designated stock exchange.

(L) Changes in the auditors during the last three years along with name, address, email address, peer review number and firm registration number of auditors and reasons thereof.

(8) Capital structure:

(A) The capital structure in the following order in a tabular form:

- (a) Authorised, issued, subscribed and paid-up capital (number of securities, description and aggregate nominal value).
- (b) Paid-up capital:
 - (i) After the issue.
 - (ii) After conversion of convertible instruments (if applicable).
- (c) Intention and extent of participation by the promoter and promoter group in the issue with respect to:
 - (i) their rights entitlement.
 - (ii) the intention to subscribe over and above their rights entitlement: Provided that such participation shall not result in a breach of the minimum public shareholding requirement stipulated in the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- (d) Ex-rights price as referred under clause of (b) of sub-regulation 4 of regulation 10 of Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulation, 2011.
- (e) Shareholding pattern of the issuer in the format as prescribed under Regulation 33 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and as last submitted to the stock

exchanges. This information can either be incorporated by reference with specific website details of the stock exchange(s) or by providing the details in the letter of offer:

- (i) Details of shareholders of the issuer holding 1% or more of the paid-up capital of the issuer as last disclosed to the stock exchanges. Details of shares locked-in, pledged, encumbrance by promoters and promoter group. This information can either be incorporated by reference with specific website details of the stock exchange(s) or by providing the details in the letter of offer.

(9) Particulars of the issue:

(A) Objects of the issue:

- (1) Objects of the issue.
- (2) If one of the objects of the issue is loan repayment:
 - (a) details of loan proposed to be repaid such as name of the lender, brief terms and conditions and amount outstanding;
 - (b) certificate from the statutory auditor certifying the utilization of loan for the purposed availed.
 - (c) If one of the objects is investment in a joint venture or a subsidiary or an acquisition, following additional disclosures:
 - (d) details of the form of investment, i.e., equity, debt or any other instrument;
 - (e) If the form of investment has not been decided, a statement to that effect;
 - (f) If the investment is in debt instruments, complete details regarding rate of interest, nature of security, terms of repayment, subordination, etc.;
 - (g) Nature of benefit expected to accrue to the issuer as a result of the investment
- (3) If one of the objects of the issue is to grant a loan to an entity other than a subsidiary, details of the loan agreements, including the rate of interest, whether secured or unsecured, duration, nature of security, terms of repayment, subordination etc. and the nature of benefit expected to accrue to the issuer as a result of the investment.
- (4) If one of the objects of the issue is utilisation of the issue proceeds for long term working capital, the following additional disclosures on a basis:

- (a) Basis of estimation of working capital requirement along with the relevant assumptions.
- (b) Reasons for raising additional working capital substantiating the same with relevant facts and figures.
- (c) Details of the projected working capital requirement, including detailed assessment of working capital after implementation of the project or achievement of objects of the issue, as the case may be, capacity utilisation assumptions, break up of expected current assets into raw materials, finished goods, work in progress, sundry debtors etc., with assumption about the holding norms for each type of current asset, total current liabilities, net current assets and envisaged sources of finance for net current assets, i.e., bank finance, institutional finance, own funds, etc.
- (d) Total envisaged working capital requirement in a tabular form, the margin money thereof and the portion to be financed by any bank(s) or otherwise.
- (e) Details of the existing working capital available to the issuer with a break up for total current assets into raw materials, finished goods, work in progress, sundry debtors, etc., total current liabilities, net current assets and sources of finance for net current assets i.e. bank finance, institutional finance, own funds etc.
- (f) If no working capital is shown as a part of project for which the issue is being made, the reasons for the same.

(5) Land:

- (a) Names of the entities from whom land has been acquired/ proposed to be acquired along with the cost of acquisition, and the relationship, if any, of such entities to any promoter or director of the issuer, in case the proceeds of the issue are being utilised for acquisition of land.
- (b) Details of whether the land acquired by the issuer is free from all encumbrances and has a clear title and whether it is registered in the name of the issuer.
- (c) Details of whether the issuer has applied/ received all the approvals pertaining to land. If no such approvals are required to be taken by the issuer, then this fact may be indicated by way of an affirmative statement.

- (d) Figures appearing under this section shall be consistent with the figures appearing under the section "Cost of the Project".

(6) Project:

If one of the objects of the issue is to fund a project, details of:

- (a) location of the project;
- (b) plant and machinery, technology, process, etc.;
- i) Details shall be given in a tabular form, which shall include the details of the machines required to be bought by the issuer, cost of the machines, name of the suppliers, date of placement of order and the date or expected date of supply, etc.
- ii) In case machines are yet to be delivered, the date of quotations relied upon for the cost estimates given shall also be mentioned.
- iii) The percentage and value terms of the plant and machinery for which orders are yet to be placed shall be stated.
- (c) The details of the second hand machinery bought or proposed to be bought, if any, including the age of the machines, balance estimated life, etc. shall also be given.
- (d) Collaboration, performance guarantee if any, or assistance in marketing by the collaborators. The following information regarding persons or entities with whom technical and financial agreements have been entered into shall be given:
 - i) place of registration and year of incorporation.
 - ii) paid up share capital.
 - iii) turnover of the last financial year of operation.
 - iv) general information regarding such persons relevant to the issuer.
- (e) Infrastructure facilities for raw materials and utilities like water, electricity, etc.

(7) Property:

If one of the object of the issue is to purchase any property, where arrangements have been made, details of:

- (a) names address, descriptions and occupations of the vendors;
- (b) the amount paid or payable in cash, shares or debentures to the vendor and, where there is more than one separate vendor, or the issuer is a sub purchaser, the amount so paid or payable to each vendor, specifying separately the amount, if any, paid or payable for goodwill;

- (c) nature of the title or interest in such property acquired or to be acquired by the issuer;
- (d) short particulars of every transaction relating to the property completed within the two preceding years, in which any vendor of the property to the issuer or any person who is, or was at the time of the transaction, a promoter, or a director or proposed director of the issuer had any interest, direct or indirect, specifying the date of the transaction and the name of such promoter, director or proposed director and stating the amount payable by or to such vendor, promoter, director or proposed director in respect of the transaction;
- (e) The property to which sub-clause (a) applies is a property purchased or acquired by the issuer or proposed to be purchased or acquired, which is to be paid for wholly or partly out of the proceeds of the issue or the purchase or acquisition of which has not been completed as of the date of the draft letter of offer or letter of offer, as the case may be.

(8) Plant/ Equipment/ Technology/ Process:

If one of the objects of the issue is to purchase any plant, machinery, technology, process, etc.

- (i) Details in a tabular form, which shall include the details of the equipment required to be bought by the issuer, cost of the equipment, name of the suppliers, date of placement of order and the date or expected date of supply, etc.
 - (ii) In case the order for the equipment is yet to be placed, the date of quotations relied upon for the cost estimates given.
 - (iii) The percentage and value terms of the equipment for which orders are yet to be placed.
 - (iv) The details of the second hand equipment bought or proposed to be bought, if any, including the age of the machines, balance estimated life, etc.
- (9)** In case of issue of secured convertible debt instruments, description of the assets on which the security shall be created/asset cover, if required, shall be created, the basis for computation of the security cover, the valuation methods, the periodicity of such valuation and the ranking of the charge(s).
- (10)** If warrants are issued, the objects for which the funds from conversions of warrants are proposed to be used.

(B) Requirement of funds:

- (1) Where the issuer proposes to undertake more than one activity or project, such as diversification, modernisation, expansion, etc., the total project cost activity-wise or project wise, as the case may be.
- (2) Where the issuer is implementing the project in a phased manner, the cost of each phase, including the phase, if any, which has already been implemented, shall be separately given.
- (3) Details of all material existing or anticipated transactions in relation to utilisation of the issue proceeds or project cost with promoters, promoter group, directors⁴⁹¹ [key managerial personnel and senior management]. The relevant documents shall be included in the list of material documents for inspection.

(C) Funding plan (Means of Finance):

- (1) An undertaking by the issuer confirming that firm arrangements of finance through verifiable means towards seventy five per cent of the stated means of finance, excluding the amount to be raised through the proposed issue and existing identifiable internal accruals, have been made.
- (2) Balance portion of the means of finance for which no firm arrangement has been made without specification.
- (3) Details of funds tied up and the avenues for deployment of excess proceeds, if any.

(D) Appraisal (if applicable):

- (1) Scope and purpose of the appraisal, if any, along with the date of appraisal.
- (2) Cost of the project and means of finance as per the appraisal report.
- (3) Explanation of revision, if any, in the project cost and the means of finance after the date of issue of the appraisal report.
- (4) Weaknesses, qualifications and threats given in the appraisal report, by way of risk factors.

(E) Schedule of implementation: The schedule of implementation of the project and the progress made so far, giving details of land acquisition, civil works, installation of plant and machinery, trial production, date of commercial production and reasons for delay, if any.

⁴⁹¹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words "and key managerial personnel".

(F) Deployment of funds:

- (1) Details of the sources of funds and the deployment of these funds on the project (where the issuer is raising capital for a project), up to a date not earlier than two months from the date of filing the letter of offer with the designated stock exchange, as certified by a Chartered Accountant, along with the name of the chartered accountant and the date of the certificate.
- (2) Where share application money brought in advance by the promoters is deployed in the project and the same is being adjusted towards their rights entitlement in the rights issue, the extent of deployment and utilisation of the funds brought in by the promoters.

(G) Sources of financing of funds already deployed: Means and source of financing, including details of "bridge loan" or other financial arrangement, which may be repaid from the proceeds of the issue.

(H) Details of balance fund deployment: Year wise break-up of the expenditure proposed to be incurred on the said project.

(I) Interim Use of Funds: A statement that net issue proceeds pending utilization (for the stated objects) shall be deposited only in the scheduled commercial banks.

(J) Expenses of the Issue: Expenses of the issue along with a break up for each item of expense, including details of the fees payable to separately as under (in terms of amount, as a percentage of total issue expenses and as a percentage of total issue size):

- (1) Lead manager(s) fees including underwriting commission
- (2) Brokerage, selling commission and upload fees
- (3) Registrars to the issue
- (4) Legal Advisors
- (5) Advertising and marketing expenses
- (6) Regulators including stock exchanges
- (7) Printing and distribution of issue stationary
- (8) Others, if any (to be specified).

(K) Interest of promoters, promoter group and directors, as applicable to the project or objects of the issue.

(10) Tax Benefits: Any special tax benefits (under direct and indirect tax laws) for the issuer and its shareholders and its material subsidiaries identified in accordance with the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

(11) About the Issuer:

⁴⁹²[

(A) Industry Overview

If extract of any industry report is disclosed in the offer document, the complete industry report shall be provided as part of the material documents.]

(B) Business Overview

(1) Details of the business of the issuer:

- (a) Primary business of the Issuer;
- (b) Plant, machinery, technology, process, etc.
- (c) Description of subsisting collaborations, any performance guarantee or assistance in marketing by the collaborators, infrastructure facilities for raw materials and utilities like water, electricity, etc. Products or services of the issuer:
 - (i) Nature of the product(s)/services, and the end users.
 - (ii) Approach to marketing of products and services.

(2) Business Strategy: Description of the business strategy of the issuer, without any forecast of projections relating to the financial performance of the issuer.

(3) Capacity and Capacity Utilisation: A table shall be incorporated giving the existing installed capacities for each product, capacity utilisation for such products in the previous three years.

(4) Intellectual Property Rights:

- (a) If the issuer is entitled to certain intellectual property rights such as trademarks, brand names, etc. whether the same are legally held by the issuer and whether all formalities in this regard have been complied with.

⁴⁹² Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023 for the words and symbol “(A) Industry Overview”.

- (b) In case any of the material intellectual property rights are not registered in the name of the issuer, the name of the entity with which these are registered.
- (c) In case the intellectual property rights are registered in the name of an entity in which the promoters are interested, the salient features of the agreement entered into for the use of the intellectual property rights by the issuer.

(5) Property: Details of its material properties.

(C) Management:

(a) Board of Directors:

- (i) Name, Director Identification Number, date of birth, age, qualifications, experience, address, occupation and date of expiration of the current term of office of manager, managing director, and other directors (including nominee directors and, whole-time directors), period of directorship, and their directorships in other companies.
- (ii) For each person, details of current and past directorship(s) in listed companies whose shares have been/were suspended from being traded on any of the stock exchanges, during his/her tenure, as follows:
 - Name of the Company;
 - Listed on (give names of the stock exchange(s));
 - Date of suspension on the stock exchanges;
 - If trading suspended for more than three months, reasons for suspension and period of suspension.
 - If the suspension of trading revoked, the date of revocation of suspension.
 - Term (along with relevant dates) of the director in the above company (ies).

(The above details shall be given for the preceding five years. In case of fast track issues filed under the provisions of these regulations, the period of five years shall be reckoned on the date of filing of the offer document.)

(iii) For each person, details of current and past directorship(s) in listed companies which have been/were delisted from the stock exchange(s), during his/her tenure, as follows:

- Name of the Company;
- Listed on [give name of the stock exchange(s)];
- Date of delisting on the stock exchange(s);
- Compulsory or voluntary delisting;
- Reasons for delisting;
- If relisted, date of relisting on [give name of the stock exchange(s)]
- Term (along with relevant dates) of the director in the above company/companies.

(The above details shall be given for the preceding five years. In case of fast track issues filed under the provisions of these regulations, the period of five years shall be reckoned on the date of filing of the offer document.)

(b) Management Organisation Structure.

(c) Corporate Governance:

(i) A statement that the issuer has complied with the requirements of corporate governance relating to the composition of its board of directors, constitution of committees such as audit committee, nomination and remuneration committee, stakeholders relationship committee, etc., as provided under Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

(ii) Details relating to the issuer's audit committee, nomination and remuneration committee, stakeholders' relationship committee and risk management committee (if applicable) including the names of committee members and the terms of reference under which the committees operate.

(d) Key Managerial Personnel ⁴⁹³[and Senior Management]:

(i) Details of the key managerial personnel ⁴⁹⁴[and senior management] indicating name, date of joining, qualification, term of office with date of expiration of term

⁴⁹³Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴⁹⁴Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

and details of service contracts including termination/retirement benefits, if any, details of previous employment, etc.

(ii) Past business experience, and functions and areas of experience in the issuer. Nature of any family relationship between any of the key managerial personnel ⁴⁹⁵[and senior management].

(iii) Status of each key managerial personnel ⁴⁹⁶[and senior management], as a permanent employee or otherwise.

(12) **Promoters/ principal shareholders:** Brief profile of promoters including name and experience in the business, other directorships held in other companies. In case of corporate promoters' details including name, date of incorporation, brief financial details and market capitalization if such promoter is a listed entity. In case of AIF or venture capital fund is a promoter, name of the entity, date of incorporation, name of the fund manager and generic details of the fund.

(13) **Dividend policy:** Dividend policy and mode of payment of dividend, details of dividend paid in the last three financial years and the stub period, as applicable, and the period between last audited period and the date of the filing the draft letter of offer/ letter of offer.

(14) **Financial Statements:**

(A) Restated Consolidated financial statements of the issuer:

The audited and restated consolidated financial statements (CFS) prepared in accordance with applicable accounting standards for the last three financial years. In addition, latest limited review financial statements disclosed to the stock exchange with the comparative prior year period (this information should not be earlier than six months prior to the date of the opening of the issue).

The following shall be included in the letter of offer:

- i. Report of statutory auditors on the financial statements.
- ii. Balance sheets
- iii. Statements of income
- iv. Schedules to accounts
- v. Statements of changes in stockholders' equity

⁴⁹⁵Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

⁴⁹⁶Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023.

- vi. Statements of cash flows
- vii. Statement of accounting policies
- viii. Notes to financial statements
- ix. List of the related parties and all related party transactions of the consolidated entities (whether eliminated on consolidation or not), which require disclosure under Ind AS 24 and/ or covered under section 188(2) of the Companies Act, 2013 (as amended), as disclosed in the separate financial statement of the consolidated entities, should be disclosed in the restated financial information.

(B) Other Financial Information

- (i) The following information shall be computed as per the *Guidance Note* issued by the ICAI from time to time and disclosed in other financial information
 - Earnings per share (Basic and Diluted)
 - Return on net worth
 - Net Asset Value per share
 - EBITDA
- (ii) If the proceeds, fully or partly, directly or indirectly, is to be used for acquisition of one or more material businesses or entities, the audited statements of balance sheets, profit and loss, cash flow for the latest three financial years and stub period (if available) prepared as per framework applicable to the business or subsidiary proposed to be acquired shall be included in the draft letter of offer/letter of offer. For this purpose, the proposed acquisition (covering all businesses or subsidiaries proposed to be acquired) shall be considered material if it will make 20% or more contribution in aggregate to either turnover, or net worth or profit before tax in the latest annual CFS. The issuer may voluntarily choose to provide financial statements of above acquisitions out of the proceeds of the issue even if they are below the above materiality threshold. In cases where the general purpose financial statement of the businesses/entities to be acquired/divested are not available, combined/carved-out financial statements for that business/entity shall be prepared in accordance with *Guidance Note* issued by the ICAI from time to time. The combined/carved-out financials statements shall be audited by the auditor of the seller in accordance with applicable framework.

(iii)**Proforma financial statements** – The Issuer shall provide Proforma financial statements, as certified by the ⁴⁹⁷[statutory auditor or chartered accountants, who hold a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI)], of all the subsidiaries or businesses material to the consolidated financial statements where the issuer or its subsidiaries have made an acquisition or divestment including deemed disposal after the latest period for which financial information is disclosed in the letter of offer but before the date of filing of the letter of offer. For this purpose, the acquisition/divestment would be considered as material if acquired/ divested business or subsidiary in aggregate contributes 20% or more to turnover, net worth or profit before tax in the latest annual CFS of the issuer. The Proforma financial statements shall be prepared for the last completed financial year and the stub period (if any). The Proforma financial statements shall be prepared in accordance with Guidance Note issued by the ICAI from time to time and certified by the statutory auditor. The issuer Company may voluntarily choose to provide proforma financial statements of acquisitions even when they are below the above materiality threshold. In case of one or more acquisitions or divestments, one combined set of Proforma financial statements should be presented. Where the businesses acquired/ divested does not represent a separate entity, general purpose financial statement may not be available for such business. In such cases, combined/ carved-out financial statements for such businesses shall be prepared in accordance with *Guidance Note* issued by the ICAI from time to time. Further, in case of non-material acquisitions/divestments disclosures in relation to the fact of the acquisition/divestment, consideration paid/received and mode of financing shall be certified by the ⁴⁹⁸[statutory auditor of the issuer company or chartered accountants, who hold a valid certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India (ICAI).]

(iv)**Audit Qualification.** If the auditors' report for the last three full years or limited review report for the latest stub period on the financial statements is modified, the issuer shall comply with the requirements of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 in

⁴⁹⁷ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "statutory auditor".

⁴⁹⁸ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "statutory auditor of the issuer company".

relation to audit report with modified opinion prior to issuing the final letter of offer, including issuing a Statement on Impact of Audit Qualifications in the format specified by the Board from time to time. The impact of any modification of auditors' opinion (where quantifiable), whether such modification is included in the audited report for the last three full year or limited review report for the latest stub period, shall be shown as adjustments in the line items specified by the Board from time to time to the extent possible for all the financial periods (full-year or stub) presented in the letter of offer, including any comparative prior year periods. Any type of audit modification (qualification, disclaimer or emphasis of matter) shall also be disclosed appropriately in the letter of offer, including as risk factor.

(C) Management's Discussion and Analysis of Financial Position and Results of Operations as reflected in the CFS shall be provided in other financial information.

- (i) Significant developments subsequent to the last financial year or when applicable subsequent to the stub period: A statement by the directors whether in their opinion there have arisen any circumstances since the date of the last financial statements as disclosed in the letter of offer and which materially and adversely affect or is likely to affect within the next twelve months:
 - a. the trading or profitability of the issuer; or
 - b. the value of its assets; or
 - c. its ability to pay its liabilities.
- (ii) Factors that may affect the results of operations.
- (iii) Discussion on the results of operations: This information shall inter-alia contain the following:
 - a. A summary of the past financial results for the past three full financial years and the stub period (if any) containing significant items of income and expenditure shall be given.
 - b. A summary of major items of income and expenditure for the last three years and the stub period (if any).
 - c. The income and sales on account of major product/ main activities.
 - d. In case, the other income constitutes more than 10% of the total income, the break-up of the same along with the nature of the income, i.e., recurring or non-recurring shall be stated.
 - e. If a material part of the income is dependent upon a single customer/supplier or a few major customers/suppliers, disclosure of this

fact along with relevant data. Similarly, if any foreign customer/supplier constitutes a significant portion of the issuer's business, disclosure of the fact along with its impact on the business on account of exchange rate fluctuations.

f In case the issuer has deviated from applicable accounting standards for recording sales and revenues, its impact may be analysed and disclosed.

g The nature of miscellaneous income and miscellaneous expenditure for the interim period and preceding years.

(iv) Comparison of last three years and the stub period (if any) on the major heads of the profit and loss statement, including an analysis of reasons for the changes in significant items of income and expenditure shall also be given, *inter-alia*, containing the following:

- a. unusual or infrequent events or transactions including unusual trends on account of business activity, unusual items of income, change of accounting policies and discretionary reduction of expenses etc;
- b. significant economic changes that materially affected or are likely to affect income from continuing operations;
- c. known trends or uncertainties that have had or are expected to have a material adverse impact on sales, revenue or income from continuing operations;
- d. expected future changes in relationship between costs and revenues, in case of events such as future increase in labour or material costs or prices that will cause a material change are known;
- e. the extent to which material increases in net sales or revenue are due to increased sales volume, introduction of new products or services or increased sales prices;
- f. total turnover of each major industry segment in which the issuer operated;
- g. status of any publicly announced new products or business segment, if applicable;
- h. the extent to which business is seasonal;
- i. any significant dependence on a single or few suppliers or customers;
- j. competitive conditions.

(v) 'Management's Discussion and Analysis shall be based on the restated financial information for the last three years and the limited review financial information for the stub period (if any).

(D) Capitalisation statement

- (i) Capitalisation Statement showing total borrowings, total equity, and the borrowing/equity ratios before and after the issue is made shall be incorporated. It shall be prepared on the basis of the restated CFS for the latest financial year or when applicable at the end of the stub period.
- (ii) In case of any change in the share capital since the date as of which the financial information has been disclosed in the letter of offer, a note explaining the nature of the change shall be given.
- (iii) An illustrative format of the Capitalisation Statement is specified hereunder

Particulars	Pre-issue at	As adjusted for the proposed issue
(' in xxx)		
Total borrowings		
Current borrowings*		
Non-current borrowings (including current maturity)*		
Total equity		
Equity share capital*		
Other equity*		
Total Capital		
Ratio: Non-current borrowings/ Total equity		

*These terms shall carry the meaning as per Schedule III of the Companies Act, 2013 (as amended).

(15) Legal and Other Information:**(A) Outstanding Litigations and Material Developments:**

- (1) Pending Litigations involving the issuer/ its directors/ promoters/ subsidiaries:
- (i) All criminal proceedings;

- (ii) All actions by regulatory authorities and statutory authorities;
 - (iii) Disciplinary action including penalty imposed by SEBI or stock exchanges against the promoters in the last five financial years including outstanding action;
 - (iv) Claims related to direct and indirect taxes, in a consolidated manner, giving the number of cases and total amount;
 - (v) Other pending litigations - As per the policy of materiality defined by the board of directors of the issuer and disclosed in the letter of offer and/or in accordance with the materiality policy framed under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- (2) If any of the above mentioned litigations, material developments, dues to creditors etc., arise after the filing the draft letter of offer, the facts shall be incorporated appropriately in the letter of offer. In case there are no such cases, a distinct negative statement is required to be made in this regard in the letter of offer. Material developments since the date of the last balance sheet.
- (3) **Disclosures pertaining to ⁴⁹⁹[wilful defaulters or fraudulent borrowers] in case of a rights issue:** If the issuer or any of its promoter or director has been declared as a ⁵⁰⁰[wilful defaulter or a fraudulent borrower], it shall make the following disclosures with respect to each such person separately:
- (a) Name of the person declared as a ⁵⁰¹[wilful defaulter or a fraudulent borrower];
 - (b) Name of the Bank declaring the person as a ⁵⁰²[wilful defaulter or a fraudulent borrower];
 - (c) Year in which the person was declared as a ⁵⁰³[wilful defaulter or a fraudulent borrower];
 - (d) Outstanding amount when the person was declared as a ⁵⁰⁴[wilful defaulter or a fraudulent borrower];

⁴⁹⁹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulters".

⁵⁰⁰ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁵⁰¹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁵⁰² Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁵⁰³ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

- (e) Steps taken, if any, by the person for removal of its name from the list of ⁵⁰⁵[wilful defaulters or fraudulent borrowers];
- (f) Other disclosures, as deemed fit by the issuer, in order to enable investors to take an informed decision;
- (g) Any other disclosure as specified by the Board.

(16) Government approvals: All material pending government and regulatory approvals pertaining to the objects of the issue.

(17) Other Regulatory and Statutory Disclosures:

- (A) Authority for the issue and details of resolution(s) passed for the issue.
- (B) A statement by the issuer that the issuer, promoters, promoter group, directors, person(s) in control of the promoter or issuer, if applicable, are not prohibited from accessing the capital market or debarred from buying, selling or dealing in securities under any order or direction passed by the Board or any securities market regulator in any other jurisdiction or any other authority/court.
- (C) A confirmation that the issuer, its promoters, promoter group is in compliance with the Companies (Significant Beneficial Ownership) Rules, 2018.
- (D) A confirmation whether any of the directors of the issuer are associated with the securities market in any manner, and if yes, any outstanding action against them initiated by the Board in the past five years.
- (E) For a fast track issue, details of compliance with the eligibility requirements.
- (F) Disclaimer clauses:
 - (I) The letter of offer shall contain the following disclaimer clause in bold capital letters:

"It is to be distinctly understood that submission of the letter of offer to the Securities and Exchange Board of India (SEBI) should not in any way be deemed or construed that the same has been cleared or approved by SEBI. SEBI does not take any responsibility either for the financial soundness of any scheme or the project for which the issue is proposed to be made or for the correctness of the statements made or opinions expressed in the letter of offer. The lead manager(s),

⁵⁰⁴ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁵⁰⁵ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulters".

has certified that the disclosures made in the letter of offer are generally adequate and are in conformity with the Regulations. This requirement is to facilitate investors to take an informed decision for making investment in the proposed issue.

It should also be clearly understood that while the issuer is primarily responsible for the correctness, adequacy and disclosure of all relevant information in the letter of offer, the lead manager(s) is expected to exercise due diligence to ensure that the issuer discharges its responsibility adequately in this behalf and towards this purpose, the lead manager(s)_____has furnished to SEBI a due diligence certificate dated_____which reads as follows:

(due diligence certificate submitted to the Board to be reproduced here)

The filing of the letter of offer does not, however, absolve the issuer from any liabilities under the Companies Act, 2013 or from the requirement of obtaining such statutory or other clearances as may be required for the purpose of the proposed issue. SEBI further reserves the right to take up, at any point of time, with the lead manager(s) any irregularities or lapses in the letter of offer."

- (2) Disclaimer Statement from the issuer and lead manager(s): A statement to the effect that the issuer and the lead manager(s) accept no responsibility for statements made otherwise than in the letter of offer or in the advertisement or any other material issued by or at the instance of the issuer and that anyone placing reliance on any other source of information would be doing so at their own risk.
 - (3) Disclaimer in respect of jurisdiction: A brief paragraph mentioning the jurisdiction under which the provisions of law and the rules and regulations are applicable to the letter of offer.
 - (4) Disclaimer clause of the stock exchanges.
 - (5) Disclaimer clause of the Reserve Bank of India, the Insurance Regulatory and Development Authority of India or of any other relevant regulatory authority.
- (G) Listing: Names of the designated stock exchange and other stock exchanges to which application has been made for listing of the specified securities offered in the present issue.

(H) Consent of the directors, auditors, solicitors or advocates, lead manager(s), registrar to the issue, bankers to the issuer and experts.

(I) Expert opinion obtained, if any.

(J) Performance vis-à-vis objects:

i. Issuer:

(a) A list of all the public/rights issues made during the preceding five years, along with the year of issue.

(b) Details of non-achievement of objects, with quantification of shortfall and delays for such public/rights issues.

(K) Stock market data for equity shares of the issuer, if listed:

Particulars of:

- (1) high, low and average market prices of the equity shares of the issuer during the preceding three years;
- (2) monthly high and low prices for the six months preceding the date of filing the draft letter of offer with the Board which shall be updated till the time of filing the letter of offer with the designated stock exchange;
- (3) number of shares traded on the days when high and low prices were recorded in the relevant stock exchange(s) during the said period of (a) and (b) above and indicating the total number of days of trading during the preceding six months and the average volume of equity shares traded during that period and a statement if the equity shares were not actively traded;
- (4) stock market data referred to above shall be shown separately for periods marked by a change in capital structure, with such period commencing from the date the relevant stock exchange recognises the change in the capital structure (e.g. when the shares have become ex-rights or ex-bonus);
- (5) market price of equity shares immediately after the date on which the resolution of the board of directors approving the issue;
- (6) volume of securities traded in each month during the six months preceding the date on which the letter of offer with the designated stock exchange; and
- (7) volume of shares traded along with high, low and average prices of shares of the issuer shall also be stated for respective periods.

Explanation: If the equity shares of the issuer are listed on more than one stock exchange, the above information shall be provided for each stock exchange separately. Average market prices in point (1) above should be calculated on closing price on the stock exchange.

- (L) The fact of filing the letter of offer with the Board and the stock exchange(s) and the office of the Board where the letter of offer has been filed.
- (M) Arrangements or any mechanism evolved by the issuer for redressal of investor grievances and the time normally taken by it for disposal of various types of investor grievances.

(18) Offering Information:

- (1) Terms of payments and procedure and time schedule for allotment and demat credit of securities.
- (2) How to apply, availability of application forms and letter of offer and mode of payment, including the following:
 - (a) Applications by mutual funds:
 - 1. A statement under the heads "Procedure for applications by mutual funds" and "Multiple Applications" to indicate that a separate application can be made in respect of each scheme of an Indian mutual fund registered with the Board and that such applications shall not be treated as multiple applications.
 - 2. A statement that the application made by an asset management company or by custodian of a mutual fund shall clearly indicate the name of the concerned scheme for which the application is being made.
 - (b) Applications by non-resident Indians:
 - 1. the name and address of at least one place in India from where individual non-resident Indian applicants can obtain the application forms.
 - (c) Application by ASBA investors: Details of Application Supported by Blocked Amount process including specific instructions for submitting Application Supported by Blocked Amount.
 - (d) A statement that the shareholders who have not received the application form can apply, along with the requisite application money, by making an application that is available on the website of registrar, stock exchanges, lead managers or on a plain paper with same details as per application form available online.
 - (e) The format to enable shareholders to make an application on a plain paper specifying therein necessary particulars such as name, address, ratio of rights issue, issue price, number of equity shares held,

depository participant ID, client ID, number of equity shares applied for, amount to be blocked with SCSB for using ASBA facility. Application form available online on the website of registrar, stock exchanges, lead managers may be used for providing requisite details;

- (f) A statement that shareholders making an application on a plain paper cannot renounce their rights and shall not utilise the application form for any purpose including renunciation even if it is received subsequently.
- (3) Dealing with Fractional Entitlement: Manner of dealing with fractional entitlement viz. payment of the equivalent of the value, if any, of the fractional rights in cash etc.
- (4) Provisions of the Companies Act, 2013, as relating to punishment for fictitious applications, including the disclosures that any person who:
 - d) makes or abets making of an application in a fictitious name to a company for acquiring, or subscribing for, its securities; or
 - e) makes or abets making of multiple applications to a company in different names or in different combinations of his/her name or surname for acquiring or subscribing for its securities; or
 - f) otherwise induces directly or indirectly a company to allot, or register any transfer of, securities to such person, or to any other person in a fictitious name.

Provided that any penalty imposed pursuant to Companies Act, 2013 shall also be disclosed.

- (5) A statement that credit of specified securities to the demat account/ issuing instructions for un- blocking of ASBA shall be done within a period of fifteen days and interest shall be payable in case of delay in issuing instructions for un-blocking of ASBA at the prescribed rate. In cases where refunds are applicable, such refunds shall be made within a period of fifteen days and interest shall be payable in case of delay. Liability of issuer and its directors (who are officers in default) to issue instructions for unblocking/ make refunds along with specified rate of interest shall also be mentioned, in case refunds not made within the specified timeline.
- (6) Mode of making refunds:
 - a) The mode in which the issuer shall make refunds to applicants in case of an oversubscription or failure to list or otherwise.

- b) If the issuer proposes to use more than one mode of making refunds to applicants, the respective cases where each such mode will be adopted shall be disclosed.
- c) The permissible modes of making refunds are as follows:
 - (i) Unblocking amounts blocked using ASBA facility
 - (ii) In case of applicants residing in any of the centres specified by the Board: by crediting of refunds to the bank accounts of applicants through electronic transfer of funds by using Direct Credit, RTGS (Real Time Gross Settlement) or NEFT (National Electronic Funds Transfer) or NACH (National Automated Clearing House), as applicable, as is for the time being permitted by the Reserve Bank of India;
 - (iii) In case of other applicants: by dispatch of refund orders by registered post, where the value is `1500/- or more, or under certificate of posting in other cases, (subject however to postal rules); and
 - (iv) In case of any category of applicants specified by the Board: crediting of refunds to the applicants in any electronic manner permissible by the Board.

(19)

Undertaking by the issuer:

- a) The following undertaking by the issuer shall be disclosed:
 - (i) that the complaints received in respect of the issue shall be attended to by the issuer expeditiously and satisfactorily;
 - (ii) that all steps for completion of the necessary formalities for listing and commencement of trading at all stock exchanges where the securities are to be listed are taken within the period prescribed by the Board;
 - (iii) that the funds required for unblocking to unsuccessful applicants as per the mode(s) disclosed shall be made available to the registrar to the issue by the issuer;
 - (iv) that no further issue of securities shall be made till the securities offered through the letter of offer are listed or till the application monies are refunded on account of non-listing, under subscription, etc., other than as disclosed in accordance with Regulation 56;
 - (v) where refunds are made through electronic transfer of funds, a suitable communication shall be sent to the applicant within 15 days of closure of the issue giving details of the bank where

refunds shall be credited along with amount and expected date of electronic credit of refund.

- (vi) where release of block on the application amount for unsuccessful bidders or part of the application amount in case of proportionate allotment, a suitable communication shall be sent to the applicants.
- (vii) adequate arrangements shall be made to collect all ASBA applications.
- (viii) in case of convertible debt instruments, the issuer shall additionally undertake that:

- (A) it shall forward the details of utilisation of the funds raised through the convertible debt instruments, duly certified by the statutory auditors of the issuer, to the debenture trustee at the end of each half-year.
- (B) it shall disclose the name and address of the debenture trustee in the annual report.
- (C) it shall provide a compliance certificate to the convertible debt instrument holders on a yearly basis in respect of compliance with the terms and conditions of issue of debentures as contained in the Letter of Offer, duly certified by the debenture trustee.
- (D) it shall furnish a confirmation certificate that the security created by the issuer in favour of the convertible debt instrument holders is properly maintained and is adequate to meet the payment obligations towards the convertible debt instrument holders in the event of a default.
- (E) it shall extend necessary cooperation to the credit rating agency(ies) in providing the requisite information in a true and adequate manner till the debt obligations in respect of the instrument are outstanding.

(20) Utilisation of Issue Proceeds: The letter of offer, other than for an issue made by a scheduled commercial bank or a public financial institution, shall contain a statement of the board of directors of the issuer to the effect that:

- (A) all monies received out of issue of shares or specified securities to the public shall be transferred to a separate bank account.
- (B) details of all monies utilised out of the issue referred to in clause (A) shall be disclosed under an appropriate separate head in the balance sheet of the issuer indicating the purpose for which such monies had been utilised; and
- (C) details of all unutilised monies out of the issue of specified securities referred to in clause (A) shall be disclosed under an appropriate separate head in the balance

sheet of the issuer indicating the form in which such unutilised monies have been invested.

(21) Restrictions on foreign ownership of Indian securities, if any:

- (A) Investment by NRIs.
- (B) Investment by foreign portfolio investors and foreign venture capital investors.
- (C) Investment by other non-residents.

(22) Statutory and other information:

- (A) Allotment of specified securities shall be in the dematerialised form.
- (B) Material contracts and time and place of inspection which shall include copies of the Annual Reports of the issuer for the last five years.

⁵⁰⁶[Provided that the material contracts shall also be made available for inspection through online means.]

(23) Any other material disclosures, as deemed necessary.

(24) Other Information:

The draft letter of offer (in case of issues other than fast track issues) and the letter of offer shall be approved by the Board of Directors of the issuer and shall be signed by all directors including the Managing Director within the meaning of the Companies Act, 2013 or Manager, within the meaning of the Companies Act, 2013 and the Chief Financial Officer or any other person heading the finance function and discharging that function. The signatories shall further certify that all disclosures are true and correct.

An issuer shall make a copy of the offer document of the immediately preceding public issue or rights issue available to the public in the manner specified in these regulations and shall also make such document available as a material document for inspection.

DECLARATION BY THE ISSUER: We hereby declare that all relevant provisions of the Companies Act, 2013 and the guidelines/regulations issued by the Government of India or the guidelines/regulations issued by the Securities and Exchange Board of India, established under section 3 of the Securities and Exchange Board of India Act, 1992, as the case may be, have been complied with and no statement made in the letter of offer is contrary to the provisions of the Companies Act, 2013, the Securities and Exchange Board of India Act,

⁵⁰⁶ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023.

1992 or rules made or guidelines or regulations issued there under, as the case may be. We further certify that all statements are true and correct.]

Part C - Certain disclosures not mandatory in case of a further public offer

[See regulation 123(2)(d), 186(3)(d), 218(2), 220(1)]

- (1) An issuer making a further public offer of specified securities may not make the disclosures indicated hereunder and specified in Part A of this Schedule, subject to fulfilment of the conditions specified in para 2:
 - (i) Para (a) of sub-item (B) of item (8) under capital structure section;
 - (ii) Para (f) of sub-item (B) of item (8) under capital structure section;
 - (iii) Para (h) of sub-item (F) of item (10) under management section;
- (2) The conditions referred to in para (1) above are as follows:
 - (a) The issuer has been filing periodic statements in regard to financial results and shareholding pattern with the designated stock exchange and also with the Registrar of Companies (in case of a public issue), for the last three years and such statements are available on the website of the designated stock exchange or on a common e-filing platform;
 - (b) The issuer has in place an investor grievance handling mechanism, which includes meeting of the Shareholders/Investors' Grievance Committee at frequent intervals, appropriate delegation of power by the board of directors of the issuer with regard to share transfer and clearly laid out systems and procedures for timely and satisfactory redressal of investor grievances;
 - (c) The lead manager(s) has certified that the conditions specified at (a) and (b) above have been complied with;
 - (d) The issuer has furnished to the Board the following undertaking along with the draft offer document, which shall also be incorporated in the offer document:

"We confirm that other than the disclosures made in this offer document, nothing material has changed in respect of disclosures made by us at the time of our previous issue made on"
 - (e) The issuer has made the offer document of its immediately preceding public or rights issue public in the manner specified in sub-regulation (4) of regulation 26 and/or sub-regulation (4) of regulation 72, as applicable, and has also kept this document for public

inspection in the manner specified in para (e) of sub-item (E) of Item (10) of Part A of this Schedule.

Part D - Certain disclosures not mandatory in case of a fast track public issue

An issuer making a fast track public issue of specified securities may not make the disclosures indicated hereunder and specified in Part A of this Schedule:

- (1) Para (a) of sub-item (B) of item (8) under capital structure section;
- (2) Para (f) of sub-item (B) of item (8) under capital structure section;
- (3) Para (h) of sub-item (F) of item (10) under management section;
- (4) Sub-para (ii) of para (a) of sub-item (G) of item (10) under promoter/ principle shareholder section;
- (5) Sub-para (iv) of para (b) of sub-item (G) of item (10) under promoter/ principle shareholder section

Part E - Disclosures in an abridged prospectus

[See regulation 34(1) ⁵⁰⁷[*] and 131(1)]**

An abridged prospectus shall contain information as is material and appropriate to enable investors to make an informed decision, and shall be as per the format and order specified by the Board in Annexure I.

General Instructions:

- (I) A copy of the abridged prospectus shall be submitted to the Board.
- (II) Information which is of a generic nature and not specific to the issuer shall be provided in the form of a General Information Document (GID) as specified by the Board and which shall be available separately and not be included in the draft offer document and offer document.
- (III) The abridged prospectus shall be printed in a booklet form of A4 size paper and, along with the application form and revision form, shall not exceed five sheets, printed both sides. Additional sheets may be appended for bidding centres.
- (IV) The abridged prospectus shall be printed in a font size which shall not be visually smaller than Times New Roman size 11 (or equivalent) with 1.0 line spacing.

⁵⁰⁷ Omitted by the SEBI (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2020 w.e.f. 28.09.2020. Prior to omission it read as “, 71(2)(d)”.

- (V) The application form shall be so positioned that on the tearing-off of the application form, no part of the abridged prospectus is mutilated.

Annexure I

This is an abridged prospectus containing salient features of the Red Herring Prospectus (RHP). You are encouraged to read greater details available in the RHP.

THIS ABRIDGED PROSPECTUS CONTAINS 'XYZ' PAGES. PLEASE ENSURE THAT YOU HAVE RECEIVED ALL THE PAGES.

You may obtain a physical copy of the Bid-cum-Application form and the RHP from stock exchange/s, syndicate members, registrar to issue, share transfer agents, depository participants, stock brokers, underwriters, bankers to the issue, investors' associations or Self Certified Syndicate Banks. You may also download the RHP from the websites of SEBI, Book Running Lead Managers and Stock Exchanges that is www.sebi.gov.in; www.nseindia.com; www.bseindia.com; websites of BRLM's (to be specified).

NAME OF THE ISSUER COMPANY

Registered Office and Corporate Office:

Contact Person:

Telephone:

E-mail:

Website:

CIN:

NAMES OF PROMOTER OF THE COMPANY

ISSUE DETAILS, LISTING AND PROCEDURE

This is an **initial public offering (IPO)** of equity shares or convertible securities of face value Rs. [.] each of the company and we plan to raise (amount to be specified) by issuing equity shares or convertible securities at offer price of Rs. [.] each including a premium of Rs. [.] each. **These equity shares are proposed to be listed on (to be specified) (designated stock exchange) and (to be specified).**

The price band and the minimum Bid lot size for the IPO shall be advertised at least five (5) working days prior to bid/issue opening date in English national daily (to be specified), Hindi national daily (to be specified) and regional daily (to be specified). Details about the basis for the Issue Price will be available on the websites of BSE and NSE.

Procedure:

If you wish to know about processes and procedures applicable to public issues, you may request for a copy of the General Information Document from Book Running Lead Managers (BRLMs) or download it from the websites of (stock exchanges to be specified along with website address) and the BRLMs (websites to be specified).

ELIGIBILITY FOR THE ISSUE

Whether the company is compulsorily required to allot at least 75% of the net offer to public, to qualified institutional buyers - **Yes / No**

INDICATIVE TIMETABLE

Bid Opening Date		Initiation of Refunds	
Bid Closing Date		Credit of Equity Shares to demat accounts of Allottees	
Finalisation of basis of allotment with the Designated Stock Exchange		Commencement of trading of Equity Shares on the Stock Exchanges	

* The company may consider participation by Anchor Investors. The Anchor Investors shall Bid during the Anchor Investor Bidding Period, i.e., one Working Day prior to the Bid Opening Date.

GENERAL RISKS

Investments in equity and equity-related securities involve a degree of risk and investors should not invest any funds in this Issue unless they can afford to take the risk of losing their investment. Investors are advised to read the risk factors carefully before taking an investment decision in this Issue. For taking an investment decision, investors must rely on their own examination of the Issuer and this Issue, including the risks involved. The Equity Shares have not been recommended or approved by the Securities and Exchange Board of India ("SEBI"), nor does SEBI guarantee the accuracy or adequacy of the contents of the Red Herring Prospectus. Specific attention of the investors is invited to the section titled "Risk Factors" at page XXX of the Red Herring Prospectus and on page XX of this Abridged Prospectus.

PRICE INFORMATION OF BRLM'S*

Issue Name	Name of Merchant Banker	+/- % change in closing price, (+/- % change in closing benchmark)- 30th calendar days from listing	+/- % change in closing price, (+/- % change in closing benchmark)- 90th calendar days from listing	+/- % change in closing price, (+/- % change in closing benchmark)- 180th calendar days from listing
		+1% (+5%)	-2% (-5%)	

* Disclosures subject to recent 7 issues (initial public offerings) in current financial year and two preceding financial years managed by each Merchant Banker with common issues disclosed once.

Names of Book Running Lead Manager/s and contact details (telephone and email id) of each BRLM	
Names of Syndicate Members	

In case of issues by Small and Medium Enterprises under Chapter IX, details of the market maker to be included

Name of Registrar to the Issue and contact details (telephone and email id)	
Name of Statutory Auditor	
Name of Credit Rating Agency and the rating or grading obtained, if any	
Name of Debenture trustee, if any	
Self Certified Syndicate Banks	The list of banks is available on http://www.sebi.gov.in/sebiweb/home/list/5/33/0/0 Recognised-Intermediaries
Non Syndicate Registered Brokers	You can submit Bid cum Application Forms in the Issue to Non Syndicate Registered Brokers at the Non Syndicate Broker Centres. For further details, see section titled "Issue Procedure" beginning at page XXX of the Red Herring Prospectus
Details regarding website address(es)/link(s) from which the investor can obtain list of registrar to issue and share transfer agents, depository participants and stock brokers who can accept application from investor (as applicable)	

PROMOTERS OF ISSUER COMPANY

Details of promoter/s in not exceeding 1000 words explaining their experience

BUSINESS MODEL / BUSINESS OVERVIEW AND STRATEGY

500 word limit in total.

BOARD OF DIRECTORS

Sr. No.	Name	Designation (Independent / Whole time / Executive / Nominee)	Experience including current / past position held in other firms (20 - 40 words for each Director)
1			
2			
3			
4			
5			
6			
7			
8			
9			
10			

OBJECTS OF THE ISSUE

Details of means of finance -

The fund requirements for each of the objects of the Issue are stated as follows: (Rs in crores)

Sr. No.	Objects of the Issue	Total estimated cost	Amount deployed till	Amount to be financed from Net Proceeds	Estimated Net Proceeds Utilization	
					Fiscal 20__	Fiscal 20__
1						
2						
3						
4						
5	General corporate purposes					
	Total					

Details and reasons for non-deployment or delay in deployment of proceeds or changes in utilization of issue proceeds of past public issues/rights issues, if any, of the Company in the preceding 10 years.

Name of monitoring agency, if any

Terms of Issuance Of Convertible Security, if any

Convertible securities being offered by the Company	
Face Value/ Issue Price per Convertible securities	
Issue Size	
Interest on Convertible securities	
Conversion Period of Convertible securities	
Conversion Price for Convertible securities	
Conversion Date for Convertible securities	
Details of security created for CCD	

Shareholding Pattern

Sr. No.	Particulars	Pre Issue number of shares	% Holding of Pre issue
1.	Promoter & Promoter Group		
2.	Public		
	Total		100%

Number / amount of equity shares proposed to be sold by selling shareholders - if any

RESTATED AUDITED FINANCIALS**Standalone⁵⁰⁸**

	Latest Stub period	FY 3 (Last audited financial year prior to issue opening)	FY 2	FY 1
Total income from operations (net)				
Net Profit / (Loss) before tax and extraordinary items				
Net Profit / (Loss) after tax and extraordinary items				
Equity Share Capital				
Reserves and Surplus				
Net worth				
Basic earnings per share (Rs.)				
Diluted earnings per share (Rs.)				
Return on net worth (%)				
Net asset value per share (Rs.)				

Consolidated⁵⁰⁹

	Latest Stub period	FY 3 (Last audited financial year prior to issue opening)	FY 2	FY 1
Total income from operations (Net)				
Net Profit/(Loss) before tax and extraordinary items				
Net Profit / (Loss) after tax and extraordinary items				
Equity Share Capital				
Reserves and Surplus				
Net worth				
Basic earnings per share (Rs.)				
Diluted earnings per share (Rs.)				

⁵⁰⁸ The columns for "FY4" and "FY5 (Last audited financial year prior to issue opening)" omitted and column for "FY3" substituted for "FY3 (Last audited financial year prior to issue opening)" by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

⁵⁰⁹ The columns for "FY4" and "FY5 (Last audited financial year prior to issue opening)" omitted and column for "FY3" substituted for "FY3 (Last audited financial year prior to issue opening)" by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

Return on net worth (%)				
Net asset value per share (Rs.)				

INTERNAL RISK FACTORS

(Minimum 5 and maximum 10 risk factors to be specified)

The below mentioned risks are top 5 or 10 risk factors as per the RHP. (500 word limit in total)

SUMMARY OF OUTSTANDING LITIGATIONS, CLAIMS AND REGULATORY ACTION

A. Total number of outstanding litigations against the company and amount involved

B. Brief details of top 5 material outstanding litigations against the company and amount involved

Sr. No.	Particulars	Litigation filed by	Current status	Amount involved

C. Regulatory Action, if any - disciplinary action taken by SEBI or stock exchanges against the Promoters in last 5 financial years including outstanding action, if any (200 - 300 word limit in total)

D. Brief details of outstanding criminal proceedings against Promoters (200 - 300 word limit in total)

ANY OTHER IMPORTANT INFORMATION AS PER BRLM /ISSUER COMPANY

DECLARATION BY THE COMPANY

We hereby declare that all relevant provisions of the Companies Act, 1956, the Companies Act, 2013 and the guidelines/regulations issued by the Government of India or the guidelines/regulations issued by the Securities and Exchange Board of India, established under section 3 of the Securities and Exchange Board of India Act, 1992, as the case may be, have been complied with and no statement made in the Red Herring Prospectus is contrary to the provisions of the Companies Act, 1956, the Companies Act, 2013, the Securities and Exchange Board of India Act, 1992 or rules made or guidelines or regulations issued there under, as the case may be. We further certify that all statements in the Red Herring Prospectus are true and correct.

⁵¹⁰[Part F - Disclosures in an abridged letter of offer

[See regulation [71(2)(d) and 75]

An abridged letter of offer (“ALOF”) shall contain information as is material and appropriate to enable investors to make an informed decision. This Part F shall apply to issuers making rights issues with disclosures in the letter of offer specified under Part B or Part B-1 of this Schedule.

⁵¹⁰ Substituted by the SEBI (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2020 w.e.f. 28.09.2020.

General Instructions:

- (I) ALOF shall be printed in a booklet form of A4 size paper and, along with the application form.
- (II) The ALOF shall be printed in a font size which shall not be visually smaller than Times New Roman size 11 (or equivalent) with 1.0 line spacing.
- (III) The application form shall be so positioned that on the tearing-off of the application form, no part of the ALOF is mutilated.

FOR THE ELIGIBLE EQUITY SHAREHOLDERS OF THE COMPANY ONLY
This is an Abridged Letter of Offer containing salient features of the Letter of Offer dated XXX ("Letter of Offer") which is available on the websites of the Registrar, our Company, the Lead Managers and the stock exchanges where the Equity Shares of our Company are listed, <i>i.e.</i> , BSE Limited ("BSE") and National Stock Exchange of India Limited ("NSE", and together with BSE, the "Stock Exchanges"). You are encouraged to read greater details available in the Letter of Offer. Capitalized terms not specifically defined herein shall have the meaning ascribed to them in the Letter of Offer.
THIS ABRIDGED LETTER OF OFFER CONTAINS XXX PAGES. PLEASE ENSURE THAT YOU HAVE RECEIVED ALL THE PAGES
Our Company has made available on the Registrar's website at xxx and the Company's website at xxx, this Abridged Letter of Offer and the Application Form for the Eligible Equity Shareholders. You may also download the Letter of Offer from the websites of the Securities and Exchange Board of India ("SEBI"), the Stock Exchanges and the Lead Managers, <i>i.e.</i> , at xxx, respectively.]

Logo and Name of the Company
Registered and Corporate Office Address, telephone number
Contact Person name, designation, email address
Company website address
CIN number of the Issuer Company

Promoter(s) of the Company:
Issue details to be provided including ratio of rights offering.

Listing and details of in-principle approval from stock exchanges.			
Eligibility for the Issue: State whether company is eligible for rights issue under Part B or Part B-1 of Schedule VI and Fast Track.			
Minimum Subscription: If applicable provide details of the same.			
INDICATIVE TIMETABLE			
Issue Opening Date		Date of Allotment / Initiation of Refunds (on or about)	
Last Date for On Market Renunciation		Date of credit of Equity Shares to demat account of Allottees (on or about)	
Issue Closing Date		Date of listing / Commencement of trading of Equity Shares on the Stock Exchanges (on or about)	
Finalisation of basis of Allotment (on or about)			

GENERAL RISKS			
Investment in equity and equity related securities involve a degree of risk and investors should not invest any funds in the Issue unless they can afford to take the risk of losing their investment. Investors are advised to read the risk factors carefully before taking an investment decision in this Issue. For taking an investment decision, investors must rely on their own examination of our Company and this Issue including the risks involved. The Equity Shares have neither been recommended nor approved by the SEBI, nor does SEBI guarantee the accuracy or adequacy of the Letter of Offer. Specific attention of the Investors is invited to the section " <i>Risk Factors</i> " on page xxx of the Letter of Offer and " <i>Internal Risk factors</i> " on page xxx of this Abridged Letter of Offer before making an investment in the Issue.			
Names of Lead Managers and Contact Details			
Registrar and Contact			

Details	
Statutory Auditor(s) name	
Self-Certified Syndicate Bank	Details of SEBI website providing requisite details
Banker to the Issue	

Following information shall be provided

1. Summary of business.
2. Summary of Objects of the Issue and Means of Finance.
3. Name of Monitoring Agency.
4. Equity shareholding pattern: Shareholding pattern as included in Letter of Offer in summarised form giving details for categories such as Promoter and Promoter Group, Public, Non promoter-non Public and number of shares held and % holding in tabular form.
5. Board of Directors of the Issuer: Name, designation and other directorships of the members of the Board.
6. Details of the Issuer or any of its promoters or directors being a ⁵¹¹[wilful defaulter or a fraudulent borrower].
7. Financial Statement Summary: For last audited full year and latest limited reviewed stub period as disclosed in the Letter of Offer prepared under Part B. In case of companies who have used Part B- 1 disclosure framework financial summary for periods included in Letter of Offer shall be disclosed.

Particulars	Latest stub period	Latest full year period
Total Income from Operations (net)		
Net Profit/(Loss) before Tax and extraordinary items		
Profit/(Loss) after Tax and extraordinary items		
Equity Share Capital		

⁵¹¹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

Reserves and Surplus		
Net Worth		
Basic earnings per share		
Diluted earnings per share		
Net asset value per share		
Return on Net Worth (RONW)		

Note: Particulars mentioned above are indicative and may be suitably modified. Ratios cannot be annualised except RONW.

8. Internal Risk Factors: (Minimum of top 5 but not exceeding top 10 internal risk factors to be provided. Word limit 500)
9. Summary table of Outstanding Litigations as disclosed in the Letter of Offer.
10. Terms of the Issue: The abridged letter of offer shall also include the particulars of the issue including the procedure for application and renunciation as applicable for a rights issue and the following disclosures:
 - (a) Provisions pertaining to applications referred to in sub-regulations (1), (2) and (3) of regulation 78;
 - (b) Rights entitlement ratio;
 - (c) Fractional entitlements;
 - (d) Renunciation;
 - (e) Application for additional equity shares;
 - (f) Intention of promoters to subscribe to their rights entitlement;
 - (g) Statement that a copy of the offer document of the immediately preceding public or rights issue is available in the manner specified in the regulations and also as a material document for inspection.
11. Any other important information as per Lead Managers and the Issuer.
12. Declaration: As included in Letter of Offer, with date and place mentioned.]

SCHEDULE VII - DISCLOSURES IN A PLACEMENT DOCUMENT

[See regulations 175(2)]

- (1) Disclaimer

"The preliminary placement document and placement document relates to an issue made to qualified institutional buyers under Chapter VI of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 and that no offer is being made to the public or any other class of investors."

- (2) Glossary of terms/abbreviations
- (3) Lead manager(s) and other advisors
- (4) Summary of the issue and the eligible security
- (5) Risk factors
- (6) Market prices:
 - (a) high, low and average market prices of the equity shares of the issuer during the preceding three years;
 - (b) monthly high and low prices for the six-month period preceding the date of filing of the preliminary placement document/placement document;
 - (c) number of equity shares traded on the days when high and low prices were recorded in the relevant stock exchange during period of (a) and (b) above, and total volume traded on those dates; (stock market data referred to above shall be shown separately for periods marked by a change in capital structure, with such period commencing from the date the concerned stock exchange recognizes the change in the capital structure (e.g., when the equity shares have become ex-rights or ex-bonus)
 - (d) market price immediately after the date on which the resolution of the board of directors approving the issue was approved
 - (e) volume of securities traded in each month during the six-month period preceding the date on which the preliminary placement document / placement document is filed with Registrar of Companies; (along with high, low and average prices of shares of the issuer, details relating to volume of business transacted should also be stated for respective periods.)
- (7) Use of proceeds:
 - (a) purpose of the placement;
 - (b) break-up of the cost of the project for which the money is being raised;
 - (c) means of financing for the project;
 - (d) proposed deployment status of the proceeds at each stage of the project.
- (8) Capitalization statement
- (9) Dividends in the preceding three years prior to the date of the placement document.
- (10) Selected financial and other information

- (11) The audited consolidated or unconsolidated financial statements, as applicable prepared in accordance with applicable accounting standards for the last three financial years. In addition, latest reviewed financials disclosed to the stock exchange.
 - a) Report of statutory auditor's on the financial statements included in the preliminary placement document/placement document.
 - b) Balance sheets
 - c) Statements of income
 - d) Schedules to accounts
 - e) Statements of changes in stockholders' equity
 - f) Statements of cash flows
 - g) Statement of accounting policies
 - h) Notes to financial statements
 - i) Statement relating to subsidiary companies (in case of unconsolidated financial statements)
- (12) Management's discussion and analysis of financial condition and results of operations
- (13) Industry description
- (14) Business description
- (15) Organizational structure
- (16) Board of directors and senior management
- (17) Latest shareholding pattern as submitted to the stock exchange(s)
- (18) Taxation aspects relating to the eligible securities
- (19) Legal proceedings to be disclosed in accordance with the materiality policy framed under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015
- (20) Auditors
- (21) General information
- (22) Such other information as is material and appropriate to enable investors to make an informed investment decision.
- (23) Disclosures pertaining to ⁵¹²[wilful defaulters or fraudulent borrowers]: If the issuer or any of its promoter or director has been declared as a ⁵¹³[wilful defaulter or a fraudulent

⁵¹² Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulters".

⁵¹³ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

borrower] ⁵¹⁴[***], it shall make the following disclosures with respect to each such person separately;

- (a) Name of the person declared as a ⁵¹⁵[wilful defaulter or a fraudulent borrower];
- (b) Name of the bank declaring the person as a ⁵¹⁶[wilful defaulter or a fraudulent borrower];
- (c) Year in which the person was declared as a ⁵¹⁷[wilful defaulter or a fraudulent borrower];
- (d) Outstanding amount when the person was declared as a ⁵¹⁸[wilful defaulter or a fraudulent borrower];
- (e) Steps taken, if any, by the person for removal of its name from the list of ⁵¹⁹[wilful defaulters or fraudulent borrowers];
- (f) Other disclosures, as deemed fit by the issuer, in order to enable investors to take an informed decision;
- (g) Any other disclosure as specified by the Board.

SCHEDULE VIII - DISCLOSURES IN OFFER DOCUMENT AND ABRIDGED PROSPECTUS AND LETTER OF OFFER FOR ISSUE OF INDIAN DEPOSITORY RECEIPTS

[See regulations 185(2)(b), 193(1), 200(1), 218(2) and 222(1)]

Part A - Disclosures in offer document for issue of Indian depository receipts

[See regulation 185(2)(b) and 200(1)]

A prospectus for issue of Indian Depository Receipts (IDR) shall contain details as specified herein.

⁵¹⁴ The words "in the last ten years" omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

⁵¹⁵ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁵¹⁶ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁵¹⁷ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁵¹⁸ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulter".

⁵¹⁹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "wilful defaulters".

(1) General instructions with respect to contents of the offer document:

- (a) The lead manager(s) has the option to file the draft prospectus as a public filing or as a confidential filing, accompanied with fees as prescribed in Rule 5(1)(ii) of the Companies (Issue of Indian Depository Receipts) Rules, 2004.
- (b) Where the lead manager(s) opts for confidential filing of the draft prospectus, it shall subsequently file an updated draft prospectus with the Board (without payment of any additional fees), after incorporating therein changes, if any, specified by the Board. The updated draft prospectus shall be made public for a period of twenty one days from the date of its filing with the Board.
- (c) The contents of the prospectus including the financial statements of the issuing company, its subsidiaries and associates shall be in simple English.
- (d) The term "associate" for the purpose of this Schedule would mean "associate" as defined in Indian Accounting Standards, or IFRS or US GAAP in which the financial statements of the issuing company are disclosed.
- (e) The prospectus shall contain all material information which shall be true and adequate so as to enable the investors to make an informed decision.
- (f) The prospectus shall contain all information and statements specified herein.
- (g) The issuing company shall, through a lead manager(s), file a prospectus certified by two authorized signatories of the issuing company, one of whom shall be a whole-time director and other the Chief Accounts Officer or the Chief Financial Officer, stating the particulars of the resolution of the Board or the shareholders by which it was approved, with the Board and Registrar of Companies, New Delhi, before such issue. They shall also certify that all the disclosures made in the prospectus are correct and adequate.
- (h) The agreement made with the domestic depository shall be furnished along with the prospectus.
- (i) The lead manager(s) who is responsible for conducting due diligence exercise with respect to contents of the draft offer documents/offer document, as per inter-se allocation of responsibilities, shall sign the due diligence certificate.
- (j) A statement shall be made by the lead manager(s) in the prospectus (including a due diligence certificate) in the format as specified in these regulations.
- (k) A statement shall be made by the issuing company, disclaiming responsibility for statements made otherwise than in the prospectus, as follows:

“The issuing company, its directors and the lead manager(s) accept no responsibility for statements made otherwise than in the prospectus or in the advertisements or any other material issued by at our instance and anyone placing reliance on any other source of information including our website shall be doing so at their own risk.”

(2) The issue:

Summary of the terms of the offer, including:

- (a) Offer and listing details
- (b) Plan of distribution
- (c) Markets
- (d) Selling shareholders, if any
- (e) Dilution
- (f) Expenses of the Issue

(3) Forward-looking statements:

A paragraph on the statements that are forward-looking and not matters of historical facts shall be incorporated. A statement on the sources of data used in the prospectus and their accuracy shall also be incorporated. A declaration shall also be incorporated on whether these have been independently verified.

(4) General information:

- (a) Definitions/terms used in the offer document;
- (b) Name, address and contact information of the registered office of the issuing company;
- (c) Name, address and contact information of the domestic depository, the overseas custodian bank with the address of its office in India, the lead manager(s), the underwriter to the issue, advisors to the issue and any other intermediary which may be appointed in connection with the issue of IDR;
- (d) Names, addresses and contact information of experts and counsel;
- (e) Name, address and contact information of the compliance officer in relation to the issue of IDR;
- (f) Name, address and contact information of stock exchanges where applications are made or proposed to be made for listing of the IDR;
- (g) Disclosure about provisions relating to punishment for fictitious applications;

- (h) Statement/declaration for refund of excess subscription;
- (i) Statement that an interest of 15 per cent. p.a. shall be paid to the investors if the allotment letters/refund orders are not despatched within fifteen days of the closure of the public issue;
- (j) Declaration about issue of allotment letters/certificates/IDR within the stipulated period;
- (k) Date of opening of issue;
- (l) Date of earliest closing of the issue;
- (m) Date of closing of issue;
- (n) Method and expected timetable of the issue;
- (o) A statement that subscription to the issue shall be kept open for at least three working days and not more than ten working days;
- (p) Declaration by the lead manager(s) with regard to adequacy of resources of underwriters to discharge their respective obligations, in case of being required to do so;
- (q) A statement by the issuing company that all monies received out of issue of IDR shall be transferred to a separate domestic bank account, name and address of the bank and the nature and number of the account to which the amount shall be credited;
- (r) Details of availability of prospectus and forms, i.e., period, time, place etc.;
- (s) Amount and mode of payment seeking issue of IDR;
- (t) Disclosure on Investor Grievances and Redressal System:
 - (i) The arrangements or any mechanism evolved by the issuing company for redressal of investor grievances.
 - (ii) The past record (for a minimum period of three years before the date of the prospectus) of investor grievance redressal of the issuing company and its listed subsidiaries/associates including details as to the time normally taken by it for disposal of various types of investor grievances.
 - (iii) The company undertakes to subject itself to the jurisdiction of Indian courts having jurisdiction over the place where the stock exchange is situated regarding grievances of the IDR applicants and IDR holders.

(5) Risk factors:

- (a) Risk factors shall be in relation to the following:
 - (i) Risk factors associated with the issuing company's business

- (ii) Risk factors associated with the country of the issuing company proposing to issue IDR
 - (iii) Risk factors associated with the IDR/underlying shares
- (b) Risk factors shall be classified as those which are specific to the project and internal to the issuing company and those which are external and beyond the control of the issuing company.
- (c) Risk factors shall be determined on the basis of their materiality. In doing so, the following shall be considered:
 - (i) Some risks may not be material individually but may be found material collectively.
 - (ii) Some risks may have a material impact which is qualitative though not quantitative.
 - (iii) Some risks may not be material at present but may have a material impact in the future.
- (d) Each risk factor shall appear in the following manner:
 - (i) Risk as envisaged by the issuer
 - (ii) Proposals, if any, to address the risks.

Any 'notes' required to be given prominence shall appear immediately after the risk factors.

(6) Recent developments:

Important events in the recent past (two financial years preceding the issue) providing details of important developments on three key areas: Operations & Management, Shareholding Patterns and Business Environment.

(7) Exchange-wise market price information and other information concerning the shares in the domestic market of the issuing company:

This information should be updated as on the last available date before the date of the prospectus.

- (a) Market price of shares for each quarter of the last three calendar years preceding the calendar year preceding the year of the issue of the prospectus (High, Low, Average Daily Trading Volume)
- (b) Market price of shares for each month of the calendar year preceding the year of the issue of the prospectus (High, Low, Average Daily Trading Volume)

- (c) Market price of shares for the month preceding the date of the prospectus (High, Low, Average Daily Trading Volume)
- (d) The opening and closing price on the last day of the month preceding the date of the prospectus along with the volume

(8) Dividends:

- (a) Dividend policy of the issuing company
- (b) Rate of dividend and amount of dividend paid for the last five financial years
- (c) Regulatory framework in the country of incorporation/share listed concerning dividends
- (d) Details of arrangement with the depositories for payment of dividend to the IDR holders
- (e) Changes, if any, in dividends announced and dividends paid and time gap between the dividends announced and dividends paid
- (f) Dividend yield
- (g) Taxation aspects of dividend distribution

(9) Exchange rates:

- (a) Brief history of the pattern of the exchange rates between the country of incorporation/where shares are listed and India
- (b) High, Low and Average exchange rates for the last five years
- (c) High, Low and Average exchange rates for the last twelve months

(10) Foreign investment and exchange controls of the country of incorporation/ where the shares are listed:

Information relating to the relevant foreign investment laws and exchange control regulations of the country of incorporation or country where the underlying equity shares are listed.

(11) Objects of the issue/use of proceeds:

- (a) Purpose of the issue
- (b) Break-up of the cost of the project for which the money is raised through the IDR issue
- (c) Means of financing of the project
- (d) Proposed deployment of the proceeds at each stage of the project.

(12) Interim use of funds:

The issuer company shall keep funds in a bank having a credit rating of 'A' or above by an international credit rating agency.

(13) Capitalisation statement:

Particulars	Pre-issue as at (Rupees in crores)
Short-Term Debt	
Long Term Debt	
Shareholders' Funds	
– Share Capital	
– Reserves	
Total Shareholders' Funds	
Long Term Debt/Equity	

(14) Capital structure:

- (a) Authorised, issued, subscribed and paid-up capital (number of instruments, description, aggregate nominal value)
- (b) Size of the present issue
- (c) Paid-up Capital:
 - (i) before the issue;
 - (ii) after the issue (if the IDR issue involves issue of fresh equity shares); and
 - (iii) share premium account (before and after the issue)
- (d) Detailed notes to the capital structure
- (e) Details regarding holdings of major shareholders i.e., the person or persons who are in over-all control of the company
- (f) Different classes of shares based on different criteria, if any.

(15) Financial information:

General Instructions:

- (1) The format of disclosure of financial results may be as per the disclosure requirements of the issuing company in the home country where the issuer is listed.

(2) The issuing company shall mention the type of disclosures that it will follow i.e. whether as per Indian Accounting Standards, IFRS or US GAAP and any change in such format shall be informed to the IDR holders by way of notices to the stock exchanges.

(a) The audited consolidated or unconsolidated financial statements, prepared in accordance with the Indian Accounting Standards (including all Accounting Standards issued by the Institute of Chartered Accountants of India) or with the International Financial Reporting Standards (IFRS) or US GAAP, for a period of three financial years immediately preceding the date of the prospectus shall contain the following:

- (i) Report of Auditors on the Financial Statements
- (ii) Balance Sheets
- (iii) Statements of Income
- (iv) Schedules to Accounts
- (v) Statements of Changes in Stockholders' Equity
- (vi) Statements of Cash Flows
- (vii) Statement of Accounting Policies
- (viii) Notes to the Financial Statements
- (ix) Statement Relating to Subsidiary Companies (in case of unconsolidated financial statements)
- (x) Related Party Transactions
- (xi) Liquidity and Capital Resources

(b) The financial information in the prospectus shall be disclosed in the issuing company's functional currency/reporting currency/national currency and the reporting currency shall be restricted to Sterling Pound/Euro/Yen/US Dollar.

(c) In case the financial results are prepared as per IFRS or US GAAP, the financial results shall be audited by a professional accountant or certified public accountant or equivalent (by whatever name called in the home country in accordance with the International Standards on Auditing (ISA)).

(d) Where the law of the home country requires annual statutory audit of the accounts of the issuing company, a report of the statutory auditor on the audited financial statements of the issuing company for each of the three financial years immediately preceding the date of the prospectus including the profits or losses, assets, liabilities and cash-flow statement of the issuing company at the last date to which the accounts of the issuing company were made in the specified form:

Provided the gap between date of opening of issue and date of report shall not exceed 120 days.

- (e) The report prepared by the statutory auditors of the issuing company should disclose financial statements (as per relevant period in the annual report) in Indian Rupees (at the closing rate of exchange, as at the date on which the financial information is presented), compiled in a tabular form and include the consolidated or unconsolidated income statement, consolidated or unconsolidated cash flow statements, consolidated or unconsolidated balance sheet and the capitalisation statement required under item (12).
- (f) The interim audited financial statements in respect of the period ending on a date which is less than 180 days prior to the date of opening of the issue have to be included in the report, if the gap between the ending date of the latest audited financial statements disclosed as above and the date of the opening of the issue is more than 180 days:

Provided that if the gap between such date of latest audited financial statements and the date of opening of issue is 180 days or less, the requirement above shall be deemed to be complied with, if disclosures in respect of material changes in the financial position of issuing company for such gap are disclosed in the prospectus:

Provided further that in case of an issuing company which is a foreign bank incorporated outside India and which is regulated by a member of the Bank for International Settlements or a member of the International Organization of Securities Commissions which is a signatory to a Multilateral Memorandum of Understanding, the requirement above, in respect of period beginning with last date of period for which the latest audited financial statements are made and the date of opening of the issue shall be satisfied, if the relevant financial statements are based on limited review report of such statutory auditor.

- (g) In case the issuing company opts to prepare and disclose the financial results as per US GAAP, a reconciliation statement vis-a-vis Indian Accounting Standards and summary of significant differences between the Indian Accounting Standards and US GAAP has to be annexed with the report. If financial results are prepared in accordance with IFRS, issuing company shall annex the summary of significant differences between the Indian Accounting Standards and IFRS.
- (h) Where the law of the home country does not require annual statutory audit of the accounts of the issuing company, a report, prepared in accordance with Indian accounting standards certified by Chartered Accountant in practice within the terms

and meaning of the Chartered Accountants Act, 1949 on the financial statements/ results of the issuing company for each of the three financial years immediately preceding the date of prospectus including the profits or losses, assets, liabilities and cash-flow statement of the issuing company at the last date to which the accounts of the issuing company were made in the specified form:

Provided that the gap between date of opening of issue and date of report shall not exceed 120 days.

- (i) The report prepared by the Chartered Accountants should disclose financial statements in Indian Rupees (at the closing rate of exchange, as at the date on which the financial information is presented), compiled in a tabular form and include the consolidated or unconsolidated income statement, consolidated or unconsolidated cash flow statements, consolidated or unconsolidated balance sheet and the capitalisation statement required under item (13).
- (j) The interim financial statements in respect of the period ending on a date which is less than 180 days prior to the date of opening of the issue have to be included in report, if the gap between the ending date of the latest financial statements disclosed above and the date of the opening of the issue is more than 180 days:

Provided that if the gap between such date of latest audited financial statements and the date of opening of issue is 180 days or less, the requirement above shall be deemed to be complied with if disclosures in respect of material changes in the financial position of issuing company for such gap are disclosed in the prospectus.

- (k) If the proceeds of the IDR issue are used for investing in other body(ies) corporate, following details of such body(ies) corporate shall be given:
 - (i) Names and address of the body(ies) corporate;
 - (ii) The reports as stated above in respect of those body(ies) corporate also.

(16) Statement on material developments subsequent to the date of the last financial statements as disclosed in the offer document:

A statement by the directors of the issuing company whether in their opinion there have arisen any circumstances since the date of the last financial statements as disclosed in the prospectus any which materially and adversely affect or is likely to affect the trading or profitability of the issuing company, or the value of its assets, or its ability to pay its liabilities within the next twelve months, and if so, an outline of such circumstances and an assessment of their likely impact.

(17) Management discussion and analysis of the financial statements (by comparing the recent financial year with the previous three financial years):

- (a) A summary of the past financial results after adjustments as given in the auditors report for the past three years containing significant items of income and expenditure shall be given
- (b) Overview of the business of the issuing company
- (c) Factors that may affect the results of the operations
- (d) An analysis of reasons for the changes in significant items of income and expenditure , *inter alia*, containing the following:
 - (i) unusual or infrequent events or transaction
 - (ii) significant economic changes that materially affected or are likely to effect income from continuing operations
 - (iii) known trends or uncertainties that have had or are expected to have a material adverse impact on sales, revenue or income from continuing operations
 - (iv) future changes in relationship between costs and revenues, in case of events such as future increase in labour or material costs or prices that will cause a material change are known
 - (v) extent to which material increases in net sales or revenue are due to increased sales volume, introduction of new products or services or increased sales prices
 - (vi) total turnover of each major industry segment in which the issuing company operated
 - (vii) status of any publicly announced new products or business segment
 - (viii) extent to which business is seasonal
 - (ix) any significant dependence on a single or few suppliers or customers
 - (x) competitive conditions

(18) Industry and business overview:

Market including details of the competition, past production numbers for the industry, existing industry capacity, past trends and future prospects regarding exports (if applicable), demand and supply forecasts (if given, should be essentially with assumptions unless sourced from a market research agency of repute), etc. Source of data shall be mentioned.

(19) Details of the issuing company:

- (a) Main object, history and present business of the issuing company
- (b) Location of the project, if any

- (c) Installed capacity and the details of plant and machinery, infrastructure facilities, technology etc., where applicable
- (d) Schedule of implementation of the project and progress made so far, if applicable
- (e) Nature of product(s)/ services, consumer(s), industrial user(s)
- (f) Research and development, patents and licenses, etc.
- (g) Property, plants and equipment
- (h) Financial and other defaults, if any
- (i) Underwriting
- (j) Experts
- (k) Where you can find additional information
- (l) Enforcement of civil liabilities against foreign persons

(20) Subsidiaries and associates of the issuing company:

- (a) The following information for the last three years based on the audited statements in respect of subsidiaries and associates of the issuing company:
 - (i) Date of incorporation
 - (ii) Nature of activities
 - (iii) Equity capital
 - (iv) Reserves (excluding revaluation reserve)
 - (v) Sales
 - (vi) Profit After Tax (PAT)
 - (vii) Earnings Per Share (EPS) and
 - (viii) Net Asset Value (NAV)
- (b) If the subsidiaries and associates are not required to prepare such audited statements as per the laws prevailing in those countries, the same may be certified as true and correct by the Board of Directors and the management of such companies, provided a certificate from a certified public accountant or equivalent practicing in the concerned country is submitted to the Board.

(21) Management:

- (a) Details with respect to the promoters and their background. If there are no identifiable promoters, the details and background of all persons who hold 5 per cent. or more equity share capital of the issuer.

- (b) Details of the board of directors ⁵²⁰[, the key managerial personnel and senior management] (i.e. name, address of directors, manager, managing director or other principal officers of the issuing company, date of birth, age, qualifications, industry experience, other directorships).
- (c) Remuneration of the Directors ⁵²¹[, the key managerial personnel and senior management] with detailed breakup, sitting fees, their relation with promoters/controlling shareholder(s), if any, their equity holding in the issuing company, duration of their association with the issuing company.
- (d) Organisation structure.
- (e) Practices of the Board of Directors
- (f) Employees

(22) Securities market of the country of incorporation where the shares are listed:

- (a) Brief history
- (b) Stock exchange regulations
- (c) Listing regulations
- (d) Details of the securities market regulator of the country of the issuing company
- (e) Whether the securities market regulator of the country of the issuing company has signed any MoU with the Board/IOSCO
- (f) Disclosure under the Companies Act and Securities Regulations (or equivalent thereof)
- (g) Stock exchanges
- (h) Takeover Code/Buy back Code
- (i) Reforms in some key sectors of the economy
- (j) Restriction on foreign ownership of securities
- (k) Overview of the financial sector
- (l) Nature of the securities trading market in that country
- (m) A statement of how the enforcement of Indian securities laws would be affected by the fact that the issuing company is located outside India

⁵²⁰ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words "and the key managerial personnel".

⁵²¹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2023 w.e.f. 31.01.2023 for the words "and the key managerial personnel".

- (n) A comparative analysis of the corporate governance provisions that would be followed by the issuing company vis-à-vis that is applicable to Indian listed companies

(23) Description of the IDR and rights of IDR holders:

- (a) Brief description of the IDR
- (b) Dividends, other distributions and rights of IDR holders
- (c) Voting rights if any and the manner of their exercise by IDR holders, if any
- (d) Record dates and how the same will be disclosed.
- (e) Reports and other communication to which the IDR holders will be entitled.
- (f) Procedure of conversion of IDR into shares
- (g) Governing law regarding various aspects of IDR and transactions therein

(24) Provisions regarding transfer of shares and depository receipts:

- (a) Provisions regarding transfer of IDR
- (b) Outline of provisions regarding transfer of underlying shares after conversion

(25) Information relating to the depository - Indian and international:

Brief details of the domestic depository, overseas custodian bank and depository agreement.

(26) Approvals of the government/regulatory authorities:

Information relating to statutory and regulatory approvals required in home country for the issue and the related aspects and their status, and approvals from Indian regulatory authorities

(27) Taxation framework in India and the country of incorporation/ where shares are listed:

Information relating to relevant provisions of taxation law, tax treaties and their impact for IDR holders

(28) Outstanding litigations and defaults:

- (a) Material litigation/liabilities/defaults including arrears/potential liabilities of the issuing company, its promoters/controllers/shareholders/directors and its subsidiaries and associates.

- (b) Materiality shall be determined on the basis of factors which are specific to the project and to the issuing company, its promoters/controlling shareholders/directors, its subsidiaries and associates, which may have a bearing on the performance of the issuing company.
- (c) Materiality shall be decided taking the following factors into account:
 - (i) Some litigation/defaults may not be material individually but may be material when considered collectively.
 - (ii) Some litigation/defaults may have material impact which is qualitative though not quantitative.
 - (iii) Some litigation/defaults may not be material at present but may have a material impact in the future.

(29) Basis of issue price:

- (a) Earnings Per Share (EPS) pre-issue for the last three years (as adjusted for changes in capital)
- (b) P/E pre-issue
- (c) Average return on net worth in the last three years
- (d) Minimum return on increased net worth required to maintain pre-issue EPS
- (e) Net Asset Value per share based on last balance sheet
- (f) Net Asset Value per share after issue and comparison thereof with the issue price
- (g) Comparison of all the accounting ratios of the issuing company as mentioned above with the industry average and with the accounting ratios of the peer group (i.e. companies of shares and of the IDR). The aggregate face value of the total equity shares underlying a single comparable size in the same industry. *[The source from which industry average and accounting ratios of the peer group has been taken should be indicated]*.
- (h) The face value of the IDR shall also be given.

Provided that the projected earnings shall not be used as a justification for the issue price in the prospectus.

Provided further that the accounting ratios disclosed in the prospectus in support of basis of the issue price shall be calculated after giving effect to the consequent increase in capital on account of compulsory conversions outstanding, as well as on the assumption that the options outstanding, if any, to subscribe for additional capital will be exercised.

(30) Main provisions of articles of association/main charter of the issuing company

(31) Material contracts and documents for inspection:

Place at which inspection of the documents specified under rule 7 of the Companies (Issue of Indian Depository Receipts) Rules, 2004, the prospectus, the financial statements and auditor's report thereof will be allowed during the normal business hours.

(32) Other information:

- (a) Disclosure of mandatory vetting of the prospectus by the legal counsel to the issuing company operating at the place where the registered office of the Issuing company is situated.
- (b) Consent of the lead manager(s), overseas custodian bank, the domestic depository and all other intermediaries associated with the issue of IDRs.
- (c) Fees and expenses payable to the intermediaries involved in the issue of IDRs.

Part B - Disclosures in an abridged prospectus for Indian depository receipts

[See regulation 193(1)]

General Instructions:

- (I) A copy of the abridged prospectus shall be submitted to the Board.
- (II) The abridged prospectus shall be printed in a booklet form of A4 size paper and, along with the application form and revision form, shall not exceed five sheets, printed both sides. Additional sheets may be appended for bidding centres.
- (III) The abridged prospectus shall be printed in a font size which shall not be visually smaller than Times New Roman size 11 (or equivalent) with 1.0 line spacing.
- (IV) The application form shall be so positioned that on the tearing-off of the application form, no part of the abridged prospectus is mutilated.
- (V) The format of the abridged prospectus should include the following:

The abridged prospectus for the issue of Indian Depository Receipts (IDR) shall contain the following disclosures:

(1) General Information:

- (a) The name of the issuing company and address of the registered office of the issuing company, along with telephone number, e-mail address and website address, and if

there has been a change in the address of the registered office or name of the issuing company, details thereof.

- (b) Name, address and contact information of the registered office of the issuing company;
- (c) Name, address and contact information of the domestic depository, the overseas custodian bank with the address of its office in India, the lead manager(s), the underwriter to the issue, the advisors to the issue and any other intermediary which has been appointed in connection with the issue of IDRs;
- (d) Name, address and contact information of the compliance officer in relation to the issue of IDRs. The compliance officer should be based in India
- (e) Name, address and contact information of the stock exchanges where applications have been made or are proposed to be made for listing of the IDRs;
- (f) Date of opening of issue;
- (g) Date of closing of issue;
- (h) Method and expected timetable of the issue;
- (i) Date of earliest closing of the issue;
- (j) Details of availability of prospectus and forms, i.e., date, time, place etc.;
- (k) Amount and mode of payment seeking issue of IDRs;
- (l) Disclosure on Investor Grievances and Redressal System;
- (m) Undertaking that the issuing company shall subject itself to the jurisdiction of the Indian Courts having jurisdiction over the place where the stock exchange is situated regarding grievances of the IDR applicants and IDR holders.

(2) Capital Structure of the Issuing Company:

Sr. No.	Particulars	Pre Issue number of shares	% Holding of Pre Issue
1.	Promoter & Promoter Group		
2.	Public		
	Total		

Note: Information required for each class of shares

(3) Terms of the Present Issue:

- Issue details, including issue size
- Names of stock exchanges where IDRs are proposed to be listed
- Designated stock exchange
- Procedure
- Indicative timeline

(4) Instructions for Applicants:

- (a) How to apply, availability of prospectus, abridged prospectus and application forms, mode of payment and book building procedure, if relevant.
- (b) In the application form, the declaration relating to nationality and residency shall be shown prominently as under:
 "Nationality and Residency (Tick whichever is applicable)
 (i) I am/We are Indian National(s) resident in India and I am/We are not applying for the said equity shares as nominee(s) of any person resident outside India or Foreign National(s).
 (ii) I am/We are Indian National(s) resident in India and I am/We are applying for the said equity shares as Power of Attorney holder(s) of Non- Resident Indian(s) mentioned below on non-repatriation basis.
 (iii) I am/We are Indian National(s) resident outside India and I am/We are applying for the said equity shares on my/our own behalf on non-repatriation basis."
- (c) The application form should contain necessary instructions/provisions for the following:
 - (i) Instructions to applicants to mention the number of application form on the reverse of the instruments to avoid misuse of instruments submitted along with the applications for shares/debentures in public issues.
 - (ii) Provision in the application form for inserting particulars relating to bank account number and the name of the bank with whom such account is held, to enable printing of the said details in the refund orders or for refunds through Electronic Clearing System.
 - (iii) Instruction to applicants to disclose Permanent Account Number in the application form, irrespective of the amount for which application/bid is made, along with the instruction that applications without Permanent Account Number would be rejected.
 - (iv) PAN/GIR number.

- (v) Details of options, if any, to receive securities subscribed for and a statement that trading in securities on the stock exchanges in physical form will be available only subject to limits prescribed by the Board.
- (d) Any special tax benefits for issuing company and its shareholders (Only section numbers of the Income Tax Act and their substance should be mentioned, without reproducing the text of the sections).
- (e) Restrictions on investments in IDRs/fungibility of IDRs.

(5) Particulars of the Issue:

- (a) Objects of the issue
- (b) Project cost
- (c) Means of financing
- (d) Name of the Appraising Agency, if any
- (e) Name of the Monitoring Agency, if any

(6) Description of the IDRs and Rights of IDR Holders:

- (a) Brief description of the IDRs
- (b) Dividends, other distributions and rights of IDR holders
- (c) Voting rights and their manner of exercise by IDR holders, if any
- (d) Record dates and how the same will be disclosed
- (e) Reports and other communication to which the IDR holders will be entitled
- (f) Conversion procedure of IDRs into shares
- (g) Governing law regarding various aspects of IDRs and transactions therein.

(7) Business Model/ Business Overview and Strategy (500 word limit in total)

(8) Exchange-wise stock market data:

This information should be updated as on the last available date before the date of the prospectus

- (a) Market price of shares for each quarter of the last three calendar years preceding the calendar year preceding the year of the issue of the prospectus (High, Low, Average Daily Trading Volume)
- (b) Market price of shares for each month of the calendar year preceding the year of the issue of the prospectus (High, Low, Average Daily Trading Volume)

- (c) Market price of shares for the month preceding the date of the prospectus (High, Low, Average Daily Trading Volume)
- (d) The Opening and Closing price on the last day of the preceding month of the date of the prospectus along with the volume

(9) **Internal Risk Factors:** Minimum 5 and maximum 10 risk factors to be specified (500 word limit in total)

(10) **Outstanding Material Litigations and Defaults**

- A. Total number of outstanding litigations against the company and amount involved
- B. Brief details of top 5 material outstanding litigations against the company and amount involved

Sr. No.	Particulars	Litigation filed by	Current status	Amount involved

(11) **Material Developments:** Any material development after the date of the latest balance sheet and its impact on performance and prospects of the company.

(12) **Board of Directors**

Sr. No.	Name	Designation (Independent/ Whole time / Executive / Nominee)	Experience including current / past position held in other firms (20 - 40 words for each Director)

(13) **Financial Performance of the Issuing company for the last three years** (Figures to be taken from the audited annual accounts in a tabular form):

- (a) Balance Sheet Data: Equity Capital, Reserves (State Revaluation Reserve, the year of revaluation and its monetary effect on assets) and borrowings

- (b) Profit and Loss data: Sales, Gross profit, Net profit, dividend paid, if any
 - (c) Any change in accounting policies during the last three years and their effect on the profits and the reserves of the issuing company
 - (d) Following information as extracted from the report of the auditors reproduced in the main prospectus:
 - (i) net profit before accounting for extra ordinary items
 - (ii) extra ordinary items
 - (iii) net profit after accounting for extra ordinary items
- (14) Disclosure on Investor Grievances and Redressal System
- (15) Information relating to relevant provisions of taxation law, tax treaties and their impact for IDR holders.
- (16) Brief details of the domestic depository, overseas custodian bank and depository agreement.
- (17) Signatories to the Prospectus.

Part C - Disclosures in the addendum to an offer document for rights issue of Indian depository receipts
[See regulation 218 (2)]

- (1) A listed issuer making a rights issue of IDRs shall make the disclosures as specified in this Part in the form of an addendum to the offer document.
- (2) Notwithstanding the above, where disclosures of matters similar or equivalent to those set out in this Schedule are required by home country regulations to be made in a particular form or by reference to particular requirements of such regulations, the same shall prevail over the requirements of this Schedule and shall be deemed to be complied with by disclosures made in the offer document on the basis of the home country regulations, but a reference shall be made in the addendum, to the concerned page numbers of the offer document where such disclosures are made.

(i) Cover page:

(A) Front cover page:

- (1) The front outside cover page of the addendum for a rights offering shall contain the following details:
- (a) The name of the issuer, its logo, address of its registered office, principal office in India, its telephone number, fax number, contact person, website address and e-mail address.
 - (b) The number and price of IDRs offered and issue size, as may be applicable.
 - (c) The following disclaimer and advisory on general risk:

"Investment in IDRs involves a degree of risk and investors should not invest any funds in this offer unless they can afford to take the risk of losing their investment. Investors are advised to read the risk factors carefully before taking an investment decision in this offering. For taking an investment decision, investors must rely on their own examination of the issuer and the offer including the risks involved. The securities being offered in the issue have not been recommended or approved by Securities and Exchange Board of India (SEBI) nor does SEBI guarantee the accuracy or adequacy of this document."
 - (d) Specific attention of investors shall be invited to the statement of "Risk factors" given on page number(s) under the section "General Risks".
 - (e) Save where a form of responsibility statement is required in the offer document in accordance with the home country regulations, the following clause on 'Issuer's Absolute Responsibility' shall be incorporated in a box format:

"The issuer, having made all reasonable inquiries, accepts responsibility for and confirms that the offer document and the addendum contains all information with regard to the issuer and the issue, which is material in the context of the issue, that the information contained in the offer document and the addendum is true and correct in all material respects and is not misleading in any material respect, that the opinions and intentions expressed herein are honestly held and that there are no other facts, the omission of which make these documents as a whole or any of such information or the expression of any such opinions or intentions misleading in any material respect."
 - (f) The name, logo and address of the lead manager(s) and the designation of the officers/employees who have signed the due diligence certificate and filed

the offer document and the addendum with the Board, along with their telephone numbers, fax numbers, website addresses and e-mail addresses.

(g) The name, logo and address of the registrar to the issue, along with its telephone number, fax number, website address and e-mail address.

(h) Issue schedule:

(i) Date of opening of the issue.

(ii) Date of closing of the issue.

(iii) Last date for request for split.

(iv) The names of the stock exchanges where the IDRs of the issuer are listed and the details of in-principle approval for listing of the IDRs proposed to be offered in the rights issue.

(B) **Back cover pages:** The back inside cover page and back outside cover page of the addendum shall be in white.

(II) Instructions for applicants:

(A) Disclosure in relation to the process for announcement of record date, terms of payments and procedure and time schedule for allotment and issue of certificates, credit of IDRs to the investors' demat account.

(B) How to apply, availability of application forms and offer document for rights offering and mode of payment for all category of investors.

(C) A statement that the IDR holders who have not received the application form may, along with the requisite application money, apply in writing on a plain paper.

(D) The format to enable the IDR holders to make the application on plain paper specifying therein necessary particulars such as name, address, ratio of rights issue, issue price, number of IDRs held, ledger folio numbers, depository participant ID, client ID, number of IDRs entitled and applied for, additional IDRs if any, amount to be paid along with application, and particulars of cheque, etc. to be drawn in favour of the issuer's account.

(E) A statement that the IDR holders making the application otherwise than on the application form shall not renounce their rights and shall not utilise the application form for any purpose including renunciation even if it is received subsequently.

(F) Provisions relating to punishment for fictitious applications, including the disclosures that any person who:

- (a) makes in a fictitious name an application to a company for acquiring, or subscribing for, any IDRs therein, or
 - (b) otherwise induces a company to allot, or register any transfer of, IDRs therein to such person, or any other person in a fictitious name, shall be punishable in accordance with the provisions of law.
- (G) Mode of making refunds:
- (1) The mode in which the issuer shall make refunds to applicants in case of oversubscription or failure to list.
 - (2) If the issuer proposes to use more than one mode of making refunds to applicants, the respective cases where each such mode will be adopted shall be disclosed.

(III) General information:

- (A) Name, address and contact information including telephone numbers, fax numbers, contact person, website addresses and e-mail addresses of the domestic depository, the overseas custodian bank with the address of its office in India, the merchant banker, the underwriter to the issue, syndicate member(s), bankers to the issue, self certified syndicate banks, auditors of the issuer, legal advisors to the issue and any other intermediary which may be appointed in connection with the issue of IDRs.
- (B) Names, addresses and contact information of experts and counsel.
- (C) The names, addresses, telephone numbers, fax numbers and e-mail addresses of the Company Secretary and compliance officer of the issuer in India.
- (D) The statement of inter-se allocation of responsibilities among lead manager(s), where more than one merchant banker is associated with the issue.
- (E) The details of underwriting of the IDRs, if any:
 - (1) The names, address, telephone numbers, fax numbers and e-mail address of the underwriters and the amount underwritten by them.
 - (2) A declaration by the board of directors of the issuer that, as far as the directors are aware, the underwriters of IDRs have sufficient resources to discharge their respective obligations.
- (F) In case of partial underwriting of the issue, the extent of underwriting.
- (G) The details of final underwriting arrangement in the addendum for rights offering filed with the designated stock exchange, indicating actual number of IDRs underwritten.
- (H) Method and expected timetable of the issue.

- (I) A statement by the issuing company that all monies received out of issue of IDR shall be transferred to a separate domestic bank account, name and address of the bank and the nature and number of the account to which the amount shall be credited.
- (J) Details of availability of the offer document along with the addendum and forms, i.e., date, time, place etc.
- (K) Amount and mode of payment seeking issue of IDRs.
- (L) A brief statement about the history, corporate structure and business overview of the issuer and major events in the past.
- (M) A brief status or statement on the compliance status of the issuer of its obligations under Depositary Agreement and the provisions of the listing agreement entered between the issuer and the stock exchanges, wherever its securities are listed, including the listing agreement entered with stock exchanges in India.

(IV) Management (Board of Directors):

- (A) Name, date of birth, age, qualifications, experience, address, occupation and date of expiration of the current term of office of executive or whole time directors, giving their directorships in other companies, as the case may be.
- (B) The nature of any family relationship between any of the directors.
- (C) Any arrangement or understanding with major shareholders, customers, suppliers or others, pursuant to which of the directors was selected as a director or member of senior management.
- (D) Details of service contracts entered into by the directors with the issuer providing for benefits upon termination of employment and a distinct negative statement in the absence of any such contract.

(V) Financial information of the issuer:

- (A) Convenience translation of the latest annual audited statements of consolidated profit and losses, assets and liabilities and cash flows, in Indian Rupees at the closing rate of exchange, as at the date on which the financial information is presented, as filed with the stock exchanges, pursuant to relevant provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- (B) Convenience translation of the latest periodical financial results, in Indian Rupees (at the closing rate of exchange as at the date on which the financial information is presented), as filed with the stock exchanges, pursuant to relevant provisions of the

Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

- (C) One standard financial unit shall be used in the Letter of Offer.
- (D) Link from where the investors can download the soft copy of detailed Annual Report of the issuer and their periodical filings.

(VI) Risk factors:

- (A) Risk factors shall be disclosed as follows:
 - (1) Risk factors associated with the issuing company's business
 - (2) Risk factors associated with the country of the issuing company proposing to issue IDR
 - (3) Risk factors associated with the IDR / underlying shares
- (B) Risk factors shall be classified as those which are specific to the project and internal to the issuing company and those which are external and beyond the control of the issuing company.
- (C) Risk factors shall be determined on the basis of their materiality. Materiality shall be decided taking the following factors into account:
 - (1) Some events may not be material individually but may be found material collectively
 - (2) Some events may have material impact qualitatively instead of quantitatively
 - (3) Some events may not be material at present but may be having material impacts in future.

(VII) Capital structure:

- (A) The authorised, issued and subscribed capital after suitable incorporation of the outstanding convertible securities (number of securities, description and aggregate nominal value).
- (B) Paid-up capital.(segregating IDRs).
- (C) The following details of outstanding instruments:
 - (1) Details of options, if any.
 - (2) Details of convertible securities, if any.
- (D) The shareholding pattern and IDR holding pattern as per the latest filing with the stock exchange(s).

- (E) The details of the shareholders holding more than three per cent. of the share capital of the issuer.
- (F) The details of IDRs lock-in, pledge of and encumbrance on such IDRs held by promoters, if applicable.
- (G) The details of IDRs acquired by promoters and promoter group, if applicable in the last six months immediately preceding the date of filing of the offer document along with addendum for rights offering with the designated stock exchange, in case of a fast track issue and in any other case, the date of filing draft offer document along with addendum for rights offering with the Board.

(VIII) Particulars of the issue:

- (A) Objects of the Issue:
 - (1) The purpose of the issue.
 - (2) Break-up of the cost of project for which the money is raised through the IDR issue.
 - (3) The means of financing such project.
 - (4) The proposed deployment status of the proceeds at each stage of the project.
 - (5) Interest of promoters (if any) and directors, as applicable to the project or objects of the issue.
- (B) Interim Use of Funds: The issuer company shall keep funds in a bank having a credit rating of 'A' or above by an international credit rating agency.
- (C) Any special tax benefits to the IDR holders.

(IX) Market price information and other information concerning the shares/ IDRs:

Following information should be provided exchange-wise, if the securities are listed in more than one exchange. This information should be updated as on last practicable date before the date of the offer document.

- (A) Week-end prices for the last four weeks and highest and lowest prices of equity shares during the period with the relative dates.
- (B) Stock market quotation of shares of the company (high/low price in each of the last three years and monthly high/low price during the last six months).
- (C) The same details shall be provided for IDRs listed in stock exchange.

(X) Exchange rates:

- (A) Brief history of the pattern of exchange rates between the country of incorporation/where shares are listed and India.
- (B) High, Low, Average Rates for the last twelve months.

(XI) Material litigations and defaults:

- (A) Material litigation/liabilities/defaults including arrears/potential liabilities of the issuing company, its promoters/controlling shareholders/directors and its subsidiaries and associates.
- (B) Materiality shall be determined on the basis of factors which are specific to the project and to the issuing company, its promoters/controlling shareholders/directors, its subsidiaries and associates, which may have a bearing on the performance of the issuing company.
- (C) Materiality shall be decided taking the following factors into account:
 - (1) Some litigation/defaults may not be material individually but may be found material collectively.
 - (2) Some litigation/defaults may have material impact qualitatively instead of quantitatively.
 - (3) Some litigation/defaults may not be material at present but may be having a material impact in future.

(XII) Material development:

Any material development after the date of the latest balance sheet and its impact on performance and prospects of the issuer in accordance with the home country regulations.

(XIII) Material contracts and documents for inspection:

Place at which inspection of the documents specified under rule 7 of the Companies (Issue of Indian Depository Receipts) Rules, 2004, the offer document along with the addendum, the financial statements and auditor's report thereof will be allowed during the normal business hours.

(XIV) Other regulatory and statutory disclosures:

- (A) Authority for the issue and details of resolution passed for the issue.

- (B) A statement by the issuer that the issuer, promoters, directors or person(s) in control of the promoter or the issuer, if applicable, have not been prohibited from accessing or operating in the capital markets or restrained from buying, selling or dealing in securities under any order or direction passed by the Board or the securities regulator of its home country.
- (C) It may be disclosed whether the issuer, promoters, the relatives of promoters, group companies, if applicable, are identified as wilful defaulters in India or in its home country.
- (D) Disclaimer clauses:

The addendum for rights offering shall contain the following disclaimer clauses in bold capital letters:

- (1) Disclaimer Statement with respect to SEBI:

(To be written in bold capital letter)

"It is to be distinctly understood that submission of the offer document and the addendum to SEBI should not in any way be deemed or construed that the same has been cleared or approved by SEBI. SEBI does not take any responsibility either for the financial soundness of any scheme or the project for which the issue is proposed to be made or for the correctness of the statements made or opinions expressed in the offer document and the addendum. Lead manager(s), has certified that the disclosures made in the addendum are generally adequate and are in conformity with SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018 in force for the time being. This requirement is to facilitate investors to take an informed decision for making investment in the proposed issue.

It should also be clearly understood that while the issuer is primarily responsible for the correctness, adequacy and disclosure of all relevant information in the addendum, the lead manager(s) is expected to exercise due diligence to ensure that the issuer discharges its responsibility adequately in this behalf and towards this purpose, the lead manager(s) has furnished to the Securities and Exchange Board of India (SEBI) a due diligence certificate datedwhich reads as follows: *(due diligence certificate submitted to the Board to be reproduced here)*

The filing of the offer document along with the addendum does not, however, absolve the issuer from any liabilities under the Companies (Issue of Indian

Depository Receipts) Rules, 2004 or from the requirement of obtaining such statutory or other clearances as may be required for the purpose of the proposed issue. SEBI further reserves the right to take up, at any point of time, with the lead manager(s) any irregularities or lapses in the offer document and the addendum."

(2) Disclaimer Statement from the issuer and lead manager(s):

A statement to the effect that the issuer and the lead manager(s) accept no responsibility for statements made otherwise than in the offer document for the rights offering or in the advertisement or any other material issued by or at the instance of the issuer and that anyone placing reliance on any other source of information would be doing so at their own risk.

Investors who invest in the issue will be deemed to have been represented by the issuer and lead manager and their respective directors, officers, agents, affiliates and representatives that they are eligible under all applicable laws, rules, regulations, guidelines and approvals to acquire IDRs of the Company, and are relying on independent advice / evaluation as to their ability and quantum of investment in this issue.

(3) Disclaimer in respect of jurisdiction: A brief paragraph mentioning the jurisdiction under which provisions of law and the rules and regulations are applicable to the offer document for rights offering.

(4) Disclaimer statement of the stock exchanges, if any.

(5) Disclaimer statement of the Reserve Bank of India (if applicable).

(E) Broad details of fees payable to various intermediaries involved in the IDR rights offering.

(F) Arrangements or any mechanism evolved by the issuer for redressal of investor grievances in respect of IDRs and the time normally taken by it for disposal of various types of investor grievances.

(XV) Undertakings by the issuer in connection with the issue:

The issuer shall undertake that:

- (1) the complaints received in respect of the issue shall be attended to by the issuer expeditiously and satisfactorily.
- (2) that steps for completion of the necessary formalities for listing and commencement of trading at all stock exchanges where the IDRs are to be listed are taken within seven working days of closing of the issue.
- (3) funds required for making refunds to unsuccessful applicants as per the mode(s) disclosed shall be made available to the registrar to the issue by the issuer.
- (4) that where refunds are made through electronic transfer of funds, a suitable communication shall be sent to the applicant within 15 days of closure of the issue giving details of the bank where refunds shall be credited along with amount and expected date of electronic credit of refund.
- (5) that adequate arrangements shall be made to collect all applications.
- (6) that adequate arrangements shall be made to collect all ASBA applications and to consider them similar to non-ASBA applications while finalizing the basis of allotment.
- (7) that the IDRs shall be credited to the demat account / refunds made within a period of fifteen days and interest in case of delay in refund at the prescribed rate.

(xvi) Utilisation of issue proceeds: The addendum for the rights offering shall contain a statement of the board of directors of the issuer in relation to the use of issue proceeds.

(xvii) Restrictions on foreign ownership of Indian securities, if any:

- (A) Investment by NRIs.
- (B) Investment by [foreign portfolio investors].

(xviii) Any other material disclosures (as deemed necessary):

(xix) Declaration:

- (A) The addendum for the rights offering shall be approved by the Board of Directors of the issuer and shall be signed by all directors, the Chief Executive Officer, i.e., the Managing Director or Manager within the meaning of the respective applicable corporate laws of the home country and the Chief Financial Officer, i.e., the whole-time finance director or any other person heading the finance function and discharging that function.

- (B) The following statement shall be disclosed:
- “No statement made in this addendum contravenes any of the provisions of the applicable corporate laws in the home country or of provisions of Companies (Issue of Indian Depository Receipts) Rules, 2004. All the legal requirements connected with the issue as also the Regulations, guidelines, instructions, etc., issued by SEBI, Government and any other competent authority in this behalf, have been duly complied with.”
- (C) The signatories shall further certify that all disclosures made in the offer document and the addendum for rights offering are true and correct.

Part D - Disclosures in an abridged letter of offer for rights issue of Indian depository receipts

[See regulation 222(1)]

- (1) A listed issuer making a rights issue of IDRs shall make disclosures, as required under its home country regulations, if any, and as specified in Part B of this Schedule, in the abridged letter of offer for rights offering.
- (2) Notwithstanding the above, where disclosures of matters similar or equivalent to those set out in this Schedule are required to be made in a particular form or by reference to particular requirements of home country regulations, the same shall prevail over the requirements of this Schedule and shall be deemed to be complied with by such disclosures made in the offer document on the basis of the home country regulations.
- (3) The order in which items shall appear in the abridged letter of offer for rights offering shall correspond, wherever applicable, to the order in which items appear in the offer document and the addendum for rights offering.
- (4) The abridged letter of offer for rights offering shall also include the following disclosures:
 - (a) Provisions pertaining to applications forms;
 - (b) Rights entitlement ratio;
 - (c) Fractional entitlements;
 - (d) Renunciation;
 - (e) Application for Additional IDRs;
 - (f) Intention of promoters to subscribe to their rights entitlement, if any.
- (5) General Instructions:
 1. The information to be provided under each of the heads specified below shall be as per the requirement of Part A of this Schedule except when specified otherwise.
 2. The abridged prospectus shall be printed in a font size which shall not be visually smaller than Times New Roman size 11 (or equivalent) with 1.0 line spacing.
 3. The application form shall be so positioned that on the tearing-off of the application form, no part of the information given in the abridged letter of offer is mutilated.

The abridged letter of offer for the issue of Indian Depository Receipts (IDR) shall contain the following disclosures:

I. Instructions for applicants:

How to apply, availability of letter of offer, abridged letter of offer and application forms, mode of payment and how to apply through white sheet, if relevant.

II. General information:

- (A) The name of the issuing company and address of the registered office of the issuing company, along with telephone number, fax number, e-mail address and website address, and where there has been a change in the address of the registered office or name of the issuing company, details thereof.
- (B) Name, address and contact information of the principal office of the issuing company in India.
- (C) Name, address and contact information of the domestic depository, the overseas custodian bank with the address of its office in India, the merchant banker, the underwriter to the issue, advisors to the issue and any other intermediary which may be appointed in connection with the issue of IDRs.
- (D) Names, addresses and contact information of experts and counsel.
- (E) Name, address and contact information of the compliance officer in relation to the issue of IDRs. The compliance officer should be placed in India.
- (F) Name, address and contact information of stock exchanges where applications are made or proposed to be made for listing of the IDRs.
- (G) Disclosure about provisions relating to punishment for fictitious applications.
- (H) Statement/declaration for refund of excess subscription.
- (I) Statement that an interest of 15 per cent. p.a. would be paid to the investors if the allotments letters / refund orders are not despatched within 15 days of the closure of the rights issue, as the case may be.
- (J) Declaration about issue of allotment letters/certificates/ IDR within the stipulated period.
- (K) Date of opening of issue.
- (L) Date of closing of issue.
- (M) Last date for request for split.
- (N) Method and Expected Timetable of the issue.
- (O) Date of earliest closing of the issue.
- (P) Declaration by the merchant banker with regard to adequacy of resources of underwriters to discharge their respective obligations, in case of being required to do so.

- (Q) A statement by the issuing company that all monies received out of issue of IDR shall be transferred to a separate domestic bank account, name and address of the bank and the nature and number of the account to which the amount shall be credited.
- (R) Details of availability of letter of offer and forms, i.e., date, time, place etc.
- (S) Amount and mode of payment seeking issue of IDRs.
- (T) Disclosure on Investor Grievances and Redressal System.
- (U) That the issuing company undertakes to subject itself to the jurisdiction of Indian Courts having jurisdiction over the place where the stock exchange is situated regarding grievances of the IDR applicants and IDR holders.

III. Capital structure of the issuing company:

- (A) Authorised, issued, subscribed and paid-up capital (Number of instruments, description, aggregate nominal value).
- (B) Size of present issue.(Segregating issue of IDRs)
- (C) Paid-up Capital:
 - (1) before the issue;
 - (2) after the issue (if the IDR issue involves issue of fresh equity shares); and
 - (3) share premium account (before and after the issue).

IV. Terms of the present Issue:

- (A) Authority for the issue, terms of payment and procedure and time schedule for allotment and issue of certificates/ refund orders.
- (B) The clause "Interest in Case of Delay in Despatch of Allotment Letters/ Refund Orders" shall appear.

V. Particulars of the issue:

- (A) Objects of the issue.
- (B) Project cost.
- (C) Means of financing.

VI. Company, management and project:

- (A) History and present business of the company.
- (B) Details of major shareholders disclosed in Letter of Offer.

- (C) Names, address and occupation of manager, managing director, and other Directors (including nominee-directors and whole-time directors) giving their directorships in other companies.

VII. Outstanding material litigations and defaults (in a summarised tabular form)

VIII. Material development: Any material development after the date of the latest balance sheet and its impact on performance and prospects of the company.

IX. Time and Place of Inspection of material contracts. (List of material contracts not required)

X. Financial Performance of the Issuing company as per last completed accounting year for which audit has been completed and for the latest stub period for which audit/limited review has been completed.

XI. Disclosure on Investor Grievances and Redressal System.

XII. Brief details of the Domestic Depository, Overseas Custodian Bank and Depository Agreement.

XIII. Signatories to the Letter of offer.

SCHEDULE IX – PUBLIC COMMUNICATIONS AND PUBLICITY MATERIALS

[See regulation 42 ⁵²²{59C (8), 59C (9), 59C (13)}, 83, 138, 199 and 264]

(1) Any public communication including advertisements, publicity material and research reports (referred to as public communication) issued or made by the issuer or its associate company, or by the lead manager(s) or their associates or any other intermediary connected with the issue or their associates, shall contain only such information as contained in the draft offer document/offer document and shall comply with the following:

⁵²² Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2022, w-e-f 21.11.2022.

- (a) it shall be truthful, fair and shall not be manipulative or deceptive or distorted and it shall not contain any statement, promise or forecast which is untrue or misleading;
- (b) if it reproduces or purports to reproduce any information contained in the draft offer document or draft letter of offer or offer document, as the case may be, it shall reproduce such information in full and disclose all relevant facts not to be restricted to select extracts relating to that information;
- (c) it shall be set forth in a clear, concise and understandable language;
- (d) it shall not include any issue slogans or brand names for the issue except the normal commercial name of the issuer or commercial brand names of its products already in use or disclosed in the draft offer document or draft letter of offer or offer document, as the case may be;
- (e) it shall not contain slogans, expletives or non-factual and unsubstantiated titles;
- (f) if it presents any financial data, data for the past three years shall also be included alongwith particulars relating to revenue, net profit, share capital, reserves / other equity (as the case may be), earnings per share, dividends and the book values, to the extent applicable;
- (g) issue advertisements shall not use technical, legal or complex language and excessive details which may distract the investor;
- (h) issue advertisements shall not contain statements which promise or guarantee rapid increase in revenue or profits;
- (i) issue advertisements shall not display models, celebrities, fictional characters, landmarks, caricatures or the likes;
- (j) issue advertisements on television shall not appear in the form of crawlers (advertisements which run simultaneously with the programme in a narrow strip at the bottom of the television screen) on television;
- (k) issue advertisements on television shall advise the viewers to refer to the draft offer document or offer document, as the case may be, for the risk factors;
- (l) an advertisement or research report containing highlights, shall advise the readers to refer to the risk factors and other disclosures in the draft offer document or the offer document, as the case may be, for details in not less than point seven size;
- (m) an issue advertisement displayed on a billboard/banners shall contain information as specified in Part D of Schedule X;
- (n) an issue advertisement which contains highlights or information other than the details contained in the formats as specified in Schedule X shall prominently advise the viewers to refer to the draft offer document and offer document for details and risk factors.

(2) All public communications issued or published in any media during the period commencing from the date of the meeting of the board of directors of the issuer in which the public issue is approved till the date of filing draft offer document with the Board shall be consistent with its past practices:

Provided that where such public communication is not consistent with the past practices of the issuer, it shall be prominently displayed or announced in such public communication that the issuer is proposing to make a public issue of specified securities in the near future and is in the process of filing a draft offer document.

(3) All public communications issued or published in any media during the period commencing from the date of filing draft offer document or draft letter of offer till the date of allotment of securities offered in the issue, shall prominently disclose that the issuer is proposing to make a public issue or rights issue of the specified securities and has filed the draft offer document or the draft letter of offer or has filed the offer document or letter of offer, as the case may be, and that it is available on the websites of the Board, lead manager(s) and stock exchanges.

Provided that requirements of this sub-regulation shall not be applicable in case of advertisements of products or services of the issuer.

(4) The issuer shall make a prompt, true and fair disclosure of all material developments which take place between the date of filing offer document and the date of allotment of specified securities, which may have a material effect on the issuer, by issuing public notices in all the newspapers in which the issuer had released pre-issue advertisement under applicable provisions of these regulations;

(5) The issuer shall not, directly or indirectly, release, during any conference or at any other time, any material or information which is not contained in the offer document.

(6) For all issue advertisements and public communications, the issuer shall obtain the approval from the lead manager(s) responsible for marketing the issue and shall also provide copies of all issue related materials to all lead manager(s).

(7) Any advertisement or research report issued/ made by the issuer/cause to be issued by the issuer or its associate company (as defined under the Companies Act, 2013), or by the lead manager(s) or their associates (as defined in the Securities and Exchange Board of India (Merchant Bankers) Regulations, 1992) or any other intermediary connected with the issue or their associates (as

defined under Securities and Exchange Board of India (Intermediaries) Regulations, 2008) shall comply with the following:

- a) it shall be truthful, fair and shall not be manipulative or deceptive or distorted and it shall not contain any statement, promise or forecast which is untrue or misleading;
- b) if it reproduces or purports to reproduce any information contained in the draft an offer document or draft letter of offer or offer document, as the case may be, it shall reproduce such information in full and disclose all relevant facts not to be restricted to select extracts relating to that information;
- c) it shall be set forth in a clear, concise and understandable language;
- d) it shall not include any issue slogans or brand names for the issue except the normal commercial name of the issuer or commercial brand names of its products already in use or and disclosed in the draft offer document or draft letter of offer or offer document, as the case may be;
- e) if it presents any financial data, data for the past three years shall also be included along with particulars relating to sales, gross profit, net profit, share capital, reserves, earnings per share, dividends and the book values, to the extent applicable;
- f) no advertisement shall use extensive technical, legal terminology or complex language and excessive details which may distract the investor;
- g) no issue advertisement shall contain statements which promise or guarantee rapid increase in profits;
- h) no issue advertisement shall display models, celebrities, fictional characters, landmarks or caricatures or the likes;
- i) no issue advertisement shall appear in the form of crawlers (the advertisements which run simultaneously with the programme in a narrow strip at the bottom of the television screen) on television;
- j) in any issue advertisement on television screen, the risk factors shall not be scrolled on the television screen and the advertisement shall advise the viewers to refer to draft offer document or draft letter of offer or offer document, as the case may be, or other documents, the red herring prospectus or other offer document for details;
- k) no issue advertisement shall contain slogans, expletives or non-factual and unsubstantiated titles;
- l) if an advertisement or research report contains highlights, the advertisement or research report, as applicable, shall prominently advise the viewers to refer to the draft offer document or draft letter of offer or offer document, as the case may be, for details contains highlights, it shall also

contain risk factors with equal importance in all respects including print size of not less than point seven size;

- m) an issue advertisement displayed on a billboard shall not contain information other than that specified in Part D of Schedule X;
- n) an issue advertisement which contains highlights or information other than the details contained in the format as specified in Schedule X shall prominently advise the viewers to refer to the offer document for details and risk factors.

(8) No public information with respect to the issue shall contain any offer of incentives, to the investors whether direct or indirect, in any manner, whether in cash or kind or services or otherwise.

(9) No advertisement relating to product or service provided by the issuer shall contain any reference, directly or indirectly, to the performance of the issuer during the period commencing from the date of the resolution of the board of directors of the issuer approving the public issue till the date of allotment of specified securities offered in such issue.

(10) No information which is extraneous to the information disclosed in the draft offer document or offer document, as the case may be, or otherwise, shall be given by the issuer or any member of the issue management team or syndicate to any particular section of the investors or to any research analyst in any manner whatsoever, including at road shows, presentations, in research or sales reports or at bidding centres.

(11) The lead manager(s) shall submit a compliance certificate in the format specified in Part E of Schedule X for the period between the date of filing the draft offer document ⁵²³[/ draft letter of offer] and the date of closure of the issue, in respect of news reports appearing in any of the following media:

- a) newspapers mentioned in these regulations;
- b) print and electronic media controlled by a media group where the media group has a private treaty or shareholders' agreement with the issuer or promoters of the issuer.

Explanation: For the purpose of this schedule:

- (I) "public communication or publicity material" includes corporate, issue advertisements of the issuer, interviews by its promoters, directors, duly authorized employees or representatives

⁵²³ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

of the issuer, documentaries about the issuer or its promoters, periodical reports and press releases.

- (II) Any advertisement issued by the issuer shall be considered to be misleading, if it contains:
- Statements made about the performance or activities of the issuer without necessary explanatory or qualifying statements, which may give an exaggerated picture of such performance or activities.
 - An inaccurate portrayal of past performance or its portrayal in a manner which implies that past gains or income will be repeated in the future.

SCHEDULE X - FORMATS OF ADVERTISEMENTS FOR A PUBLIC ISSUE

Part A - Format of pre-issue advertisement for a public issue

[See regulations 43(2), 29(4), 127(4), 139(2), 189(4), 264(2) and 250(3)]

This is only an advertisement for information purposes and is not a prospectus announcement.

ABC LTD. *(name of the issuer)*

(Incorporated on _____ under the _____ Act as
_____ and subsequently renamed as _____ (applicable only when
the name of issuer has changed in the last three years except if there is a change in status from
private limited company to limited company) _____ on _____)

Registered Office: _____

Tel: _____

Corporate Office: _____

Tel: _____ e-mail: _____ Website: _____ CIN: _____

PROMOTERS

[_XYZ_]

THE ISSUE

Public issue of _____ (nature of the specified securities) of _____ each at a price of _____

(In the case of book building issues, disclosure about the details of allocation shall be given in the following manner, as percentage of offer size/ net offer:

QIB Category: _____%

Retail Category: ____%

Non institutional investor category: ____%

Reserved categories: ____Equity Shares or ____%

PROPOSED LISTING

Names of the stock exchanges (Cross reference to the disclaimer clause of the stock exchanges as provided in their in-principle listing approval)

DISCLAIMER CLAUSE OF THE SECURITIES AND EXCHANGE BOARD OF INDIA

“SEBI only gives its observations on the draft offer document and this does not constitute approval of either the issue or the specified securities stated in the offer document.”

LEAD MANAGER(S)

Name, address, telephone numbers, email ID, website address and contact person

COMPLIANCE OFFICER OF THE ISSUER

Name, address, telephone numbers, email ID, website address

CREDIT RATING (if applicable)

DEBENTURE TRUSTEES (if applicable)

IPO GRADING (if obtained)

AVAILABILITY OF APPLICATION FORMS

Names of the issuer, lead manager(s), syndicate member(s), stock brokers self certified syndicate banks, registrar and share transfer agents and depository participants with the website link of where the detailed information is available (addresses optional).

AVAILABILITY OF RED HERRING PROSPECTUS

Investors are advised to refer to the prospectus and the risk factors contained therein before applying in the issue. Full copy of the prospectus is available at www.sebi.gov.in and websites of lead manager(s) / stock exchange/s at www.....

ISSUE/BID OPENS ON:

ISSUE/BID CLOSES ON:

FLOOR PRICE/ PRICE BAND

(Floor price or price band or as the case may be in case of book built issue) for cash aggregating _____ (appropriate disclosure for book built issue) including face value

MINIMUM LOT SIZE

DISCOUNT (IF ANY)

RISK TO INVESTORS

(As specified by the Board) (In the same font size as the floor price/ price band)

BASIS FOR ISSUE PRICE

(Relevant financial ratios on the floor price and cap price (based on the financials disclosed in the offer document) in case of a price band, as per the basis for issue price disclosures in the offer document)

Investor should read the offer document carefully, including the Risk Factors on page _____ of the offer document before making any investment decision.

**Issued by
Authorized personnel of the issuer**

Part B - Format of issue opening advertisement for a public issue

[See regulations 43(3), 200(1) and 264(3)]

This is only an advertisement for information purposes and is not a prospectus announcement.

ABC LTD. (name of the issuer)

(Incorporated on _____ under the _____ Act as _____ and subsequently renamed as _____ (applicable only when the name of issuer has changed in the last three years except if there is a change in status from private limited company to limited company) _____ on _____)

Registered Office: _____

Tel: _____

Corporate Office: _____

Tel: _____ e-mail: _____ Website:: _____ CIN: _____

PROMOTERS

[_XYZ_]

FLOOR PRICE/ PRICE BAND

(Floor price or price band or as the case may be in case of book built issue) for cash aggregating
' _____ (appropriate disclosure for book built issue), including face value

MINIMUM LOT SIZE

DISCOUNT (IF ANY)

RISK TO INVESTORS

(As specified by the Board) (In the same font size as the floor price/ price band)

THE ISSUE

Public issue of _____ (nature of the specified securities) of ' _____ each at a price of
' _____

*(In the case of book building issues, disclosure about the details of allocation shall be given in the
following manner, as percentage of offer size/ net offer:*

QIB Category: _____%

Retail Category: _____%

Non institutional investor category: _____%

Reserved categories: _____Equity Shares or _____%

PROMOTERS

[_XYZ_]

PROPOSED LISTING

Names of the stock exchanges (Cross reference to the disclaimer clause of the stock exchanges as provided in their in-principle listing approval)

DISCLAIMER CLAUSE OF SECURITIES AND EXCHANGE BOARD OF INDIA

"SEBI only gives its observations on the draft offer document and this does not constitute approval of either the issue or the specified securities stated in the offer document."

LEAD MANAGER(S)

Name, address, telephone numbers, e-mail ID, website address and contact person

COMPLIANCE OFFICER OF THE ISSUER

Name, address, telephone numbers, e-mail ID, website address

CREDIT RATING (if applicable)

DEBENTURE TRUSTEES (if applicable)

IPO GRADING (if obtained)

AVAILABILITY OF APPLICATION FORMS

Names of the issuer, lead manager(s), bankers to the issue, self certified syndicate banks, stock brokers, registrar to the issue and share transfer agents and depository participants (addresses optional)

AVAILABILITY OF PROSPECTUS

Investors are advised to refer to the prospectus and the risk factors contained therein before applying in the issue. Full copy of the prospectus is available at www.sebi.gov.in and websites of issuer / lead manager(s) / Stock Exchange/s at www.....

ISSUE / BID OPENS TODAY:

ISSUE/BID CLOSES ON:

Investor should read the offer document carefully, including the Risk Factors on page _____ of the offer document before making any investment decision.

Issued by

Authorized personnel of the issuer

Part C - Format of issue closing advertisement for a public issue

[See regulation 43(3), 200(1) and 264(3)]

This is only an advertisement for information purposes and is not a prospectus announcement.

ABC LTD. *(name of the issuer)*

(Incorporated on _____ under the _____ Act as
_____ and subsequently renamed as _____ (applicable only when
the name of issuer has changed in the last three years except if there is a change in status from
private limited company to limited company) _____ on _____)

Registered Office: _____

Tel: _____

Corporate Office: _____

Tel: _____ e-mail: _____ Website: _____ CIN: _____

PROMOTERS

[_XYZ_]

FLOOR PRICE/ PRICE BAND

(Floor price or price band or as the case may be in case of book built issue) for cash aggregating
' _____ (appropriate disclosure for book built issue), including Face Value

MINIMUM LOT SIZE

DISCOUNT (IF ANY)

RISK TO INVESTORS

(As specified by the Board) (In the same font size as the floor price/ price band)

THE ISSUE

Public issue of _____ (nature of the specified securities) of ' _____ each at a price of
' _____

(In the case of book building issues, disclosure about the details of allocation shall be given in the following manner, as percentage of offer size/ net offer:

QIB Category: ____%

Retail Category: ____%

Non institutional investor category: ____%

Reserved categories: ____Equity Shares or ____%

PROMOTERS

[_XYZ_]

PROPOSED LISTING

Names of the stock exchanges (Cross reference to the disclaimer clause of the stock exchanges as provided in their in-principle listing approval)

DISCLAIMER CLAUSE OF SECURITIES AND EXCHANGE BOARD OF INDIA

“SEBI only gives its observations on the draft offer document and this does not constitute approval of either the issue or the specified securities stated in the offer document.”

LEAD MANAGER(S)

Name, address, telephone numbers, e-mail ID, website address and contact person

COMPLIANCE OFFICER OF THE ISSUER

Name, address, telephone numbers, e-mail ID, website address

CREDIT RATING (if applicable)

DEBENTURE TRUSTEES (if applicable)

IPO GRADING (if obtained)

AVAILABILITY OF APPLICATION FORMS

Names of the issuer, lead manager(s), bankers to the issue, self certified syndicate banks, stock brokers, registrar to the issue and share transfer agents and depository participants (addresses optional)

AVAILABILITY OF PROSPECTUS

Investors are advised to refer to the prospectus and the risk factors contained therein before applying in the issue. Full copy of the prospectus is available at www.sebi.gov.in and websites of issuer / lead manager(s) / Stock Exchange/s at www.....

ISSUE / BID CLOSES TODAY

Investor should read the offer document carefully, including the Risk Factors on page _____ of the offer document before making any investment decision.

**Issued by
Authorized personnel of the issuer**

Part D - Format of billboards and banners [Schedule IX]

This is only an advertisement for information purposes and is not a prospectus announcement.

ABC LTD. (name of the issuer)

Registered Office: _____

Corporate Office: _____

Tel: _____ e-mail: _____ Website: _____ CIN: _____

FLOOR PRICE/ PRICE BAND

(Floor price or price band or as the case may be in case of book built issue) for cash aggregating
' _____ (appropriate disclosure for book built issue), including face value

RISK TO INVESTORS

(As specified by the Board) (In the same font size as the floor price/ price band)

PROMOTERS

[XYZ]

PROPOSED LISTING

Names of the stock exchanges

Cross reference to the disclaimer clause of Securities and Exchange Board of India and Stock
Exchange(s)

NAMES, TELEPHONE NUMBERS AND EMAIL ADDRESSES OF THE LEAD MANAGER(S), REGISTRAR TO THE ISSUE

CREDIT RATING AND NAME OF THE CREDIT RATING AGENCY (if applicable)

NAMES AND TELEPHONE NUMBER OF THE DEBENTURE TRUSTEE (if applicable)

IPO GRADING (if obtained)

ISSUE / BID OPENS ON _____

ISSUE / BID CLOSING ON _____

**The following disclosure shall be included in the billboard/banner in such manner that it is
prominent and covers at least 10% of the size of the billboard/banner:**

Investor should read the offer document carefully, including the Risk Factors on page _____ of
the offer document, before making any investment decision.

Issued by
Authorized personnel of the
issuer

Part E - Compliance certificate in respect of news reports

[See Schedule IX]

Sl. No.	Newspaper, edition, date	Subject matter	Whether contents of the news report are supported by disclosures in the	If yes, page numbers in the draft offer document where the disclosures are made	If no, action taken by the lead
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offer document or advertisements made pursuant to these Regulations or information available on the website of the stock exchanges	manager(s)
Yes/No	

**SCHEDULE XI - FORMAT OF REPORT TO BE SUBMITTED BY THE MONITORING
AGENCY**

[See regulation 82(2) and 82(3)]

Front Page

Report of the Monitoring Agency

Name of the issuer:

For quarter ended:

Name of the Monitoring Agency:

(a) Deviation from the objects:

- Utilization different from Objects stated in the offer document but in line with change of objects approved by shareholders' resolution;

or

- Utilization neither in line with Objects stated in the offer document nor approved by shareholders' resolution

- In case there is no deviation, the same shall be stated.

(b) *Range of Deviation**:

Indicate the range of percentage deviation from the amount of issue proceeds earmarked for the objects. For example, up to 10%, 10- 25%, 25-50%, 50-75%, 75-100%, not ascertainable etc.

** The range of deviation may be computed by taking weighted average of financial deviation of each object in the ratio of issue proceeds allocated for it. Non-financial deviation may be indicated separately by way of notes.*

Declaration:

We declare that this report is based on the format prescribed by the SEBI (ICDR) Regulations, 2018. We further declare that this report provides a true and fair view of the utilization of the issue proceeds.

We declare that we do not have any direct/indirect interest in or relationship with the issuer/promoters/directors/management and also confirm that we do not perceive any conflict of interest in such relationship/interest while monitoring and reporting the utilization of the issue proceeds by the issuer.

Signature:

Name and designation of the Authorized Signatory:

Designation of Authorized person/Signing Authority:

Subsequent Pages:

1) Issuer Details:

Name of the issuer :

Names of the promoter :

Industry/sector to which it belongs:

2) Issue Details

Issue Period

Type of issue (public/rights)

Type of specified securities :

IPO Grading, if any

Issue size (in ` crore):

3) Details of the arrangement made to ensure the monitoring of issue proceeds:

⁵²⁴[(Give item by item description for all the objects, as well as for the sub-heads (if any) given under objects, stated in the offer document separately in following format)]

Particulars	Reply	⁵²⁵ [Source of information / certifications considered by Monitoring Agency for preparation of report]	Comments of the Monitoring Agency	Comments the Board of Directors
Whether all utilization is as per the disclosures in the Offer Document?	Yes/ No			
Whether shareholder approval has been obtained in case of material deviations# from expenditures disclosed in the Offer Document?	Yes/ No			
Whether the means of finance for the disclosed objects of the issue has changed?	Yes/ No			
Is there any major deviation observed over the earlier monitoring agency reports?	Yes/ No			
Whether all Government/statutory approvals related to the object(s) have been obtained?	Yes/ No			
Whether all arrangements pertaining to technical assistance/collaboration are in operation?	Yes/ No			
Are there any favorable events improving the viability of these object(s)?	Yes/ No			
Are there any unfavorable events affecting the viability of the object(s)?	Yes/ No			
Is there any other relevant information that may materially affect the decision making of the investors?	Yes/ No			

**Where material deviation may be defined to mean:*

(a) Deviation in the objects or purposes for which the funds have been raised

(b) Deviation in the amount of funds actually utilized by more than 10% of the amount projected in the offer documents.

⁵²⁴ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words and symbols "(Give Item by Item Description for all the Objects Stated in Offer Document separately in following format)".

⁵²⁵ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

4) Details of object(s) to be monitored:

(i) Cost of object(s)-

⁵²⁶[(Give item by item description for all the objects, as well as for the sub-heads (if any) given under objects, stated in the offer document separately in following format)]

Sr. No.	Item Head	⁵²⁷ [Source of information / certifications considered by Monitoring Agency for preparation of report]	Original cost (as per the Offer Document)	Revised Cost	Comments of the Monitoring Agency	Comments of the Board of Directors		
						Reason of Cost revision	Proposed financing option	Particulars of firm arrangements made

(ii) Progress in the object(s) -

(Give item by item description for all the Objects stated in the Offer Document in the following format)

Sr. No.	Item Head ⁵²⁸	[Source of information / certifications considered by Monitoring Agency for preparation of report]	Amount as proposed in the Offer Document	Amount utilized			Total unutilized amount	Comments of the Monitoring Agency	Comments of the Board of Directors	
				As at beginning of the quarter	During the quarter	At the end of the quarter			Reasons for idle funds	Proposed course of action

⁵²⁹Provide following details under Item Head:

(a) Name of the object(s):

(b) Brief description of the object(s):

(c) Location of the object(s) (if applicable):

(iii) Deployment of unutilised IPO proceeds:

Sr. No.	Type of instrument and name of the entity invested in	Amount invested	Maturity date	Earning	Return on Investment (%)	Market Value as at the end of quarter*

⁵²⁶ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words and symbols "(Give Item by Item Description for all the Objects Stated in Offer Document separately in following format)".

⁵²⁷ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

⁵²⁸ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

** Where the market value is not feasible, provide NAV/NRV/Book Value of the same*

(iv) Delay in implementation of the object(s)

Object(s)	Completion Date		Delay (no. of days/ months)	Comments of the Board of Directors	
	As per the Offer Document	Actual*		Reason of delay	Proposed course of action

** In case of continuing object(s), please specify latest/revised estimate of the completion date.*

⁵²⁹[5] Details of utilization of proceeds stated as General Corporate Purpose (GCP) amount in the offer document:]

⁵²⁹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

SCHEDULE XII – MANDATORY COLLECTION CENTRES

[See regulation 23(6), 69(6), 121(6), 184(6) and 244(6)]

- (1) The issuer shall designate collection centre(s) at the four metropolitan centres situated at Mumbai, Delhi, Kolkata and Chennai.
- (2) All such places where recognised stock exchanges are located.
- (3) In addition, all designated branches of the self-certified syndicate banks, as displayed on the websites of such banks and of the Board, shall be deemed to be mandatory collection centres.
- (4) The issuer may appoint other collection centres as it may deem fit.

SCHEDULE XIII - BOOK BUILDING PROCESS

[See regulation 28(2), 30(1)(c), 32(2), 126(2), 128(1)(d), 129(3), 188(2), 190(1)(b), 250(2), 252(1)(c) and 291(4)]

Part A – Book building process

An issuer proposing to issue specified securities through the book building process shall comply with the requirements of this Schedule.

(1) Lead Manager(s)

- (a) The issuer shall appoint one or more merchant banker(s) as lead manager(s) and their name(s) shall be disclosed in the draft offer document and the offer document(s).
- (b) In case there is more than one lead manager(s), the rights, obligations and responsibilities of each shall be delineated in the inter-se allocation of responsibility as specified in **Schedule I**.
- (c) Co-ordination of various activities may be allocated to more than one lead manager.

(2) Syndicate Member(s)

The issuer may appoint syndicate member(s).

(3) Underwriting

- (a) The lead manager(s) shall compulsorily underwrite the issue and the syndicate member(s) shall sub-underwrite with the lead manager(s).
- (b) The lead manager(s) / syndicate member(s) shall enter into underwriting/ sub underwriting agreement on a date prior to filing of the prospectus ⁵³⁰[or the red herring prospectus, as the case may be].
- (c) The details of the final underwriting arrangement indicating actual numbers of shares underwritten shall be disclosed and printed in the prospectus ⁵³¹[or the red herring prospectus, as the case may be] before it is filed with the Registrar of Companies.
- (d) In case of an under-subscription in an issue, the shortfall shall be made good by the lead manager(s) and the same shall be incorporated in the inter-se allocation of responsibility as specified in **Schedule I**.

(4) Agreement with the stock exchanges

- (a) The issuer shall enter into an agreement with one or more stock exchange(s) which have the facility of book building through the electronic bidding system.
- (b) The agreement shall specify inter-alia, the rights, duties, responsibilities and obligations of the issuer and the stock exchange(s) inter se.
- (c) The agreement may also provide for a dispute resolution mechanism between the issuer and the stock exchange.

(5) Appointment of stock brokers as bidding/collection centres

- (a) The lead manager(s)/syndicate member(s) shall appoint stock brokers who are members of the stock exchange(s) and registered with the Board, for the purpose of accepting bids and placing orders with the issuer and ensure that the stock brokers so appointed are financially capable of honouring their commitments arising out of defaults of their clients/investors, if any;
Provided that in case of Application Supported by Blocked Amount, the self certified syndicate banks, registrar and share transfer agents, depository participants and stock brokers shall also be authorised to accept and upload the requisite details in the electronic bidding system of the stock exchange(s).

⁵³⁰ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023.

⁵³¹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023.

- (b) The self certified syndicate banks, registrar and share transfer agents, depository participants and stock brokers accepting applications and application monies shall be deemed as 'bidding/collection centres'.
- (c) The issuer shall pay to the SEBI registered intermediaries involved in the above activities a reasonable commission/fee for the services rendered by them. These intermediaries shall not levy service fee on their clients/investors in lieu of their services.
- (d) The stock exchanges shall ensure that no stock broker levies a service fee on their clients/investors in lieu of their services.

(6) Price not to be disclosed in the draft red herring prospectus

The draft red herring prospectus shall contain the total issue size which may be expressed either in terms of the total amount to be raised or the total number of specified securities to be issued, and shall not contain the price of the specified securities.

In case the offer has an offer for sale and/or a fresh issue, each component of the issue may be expressed in either value terms or number of specified securities.

(7) Floor price and price band

Subject to applicable provisions of these regulations and the provisions of this clause, the issuer may mention the floor price or price band in the red herring prospectus.

- (a) where the issuer opts not to make the disclosure of the price band or floor price in the red-herring prospectus, the following shall also be disclosed in the red-herring prospectus:
 - (i) a statement that the floor price or price band, as the case may be, shall be disclosed at least two working days (in case of an initial public offer) and at least one working day (in case of a further public offer) before the opening of the issue;
 - (ii) a statement that the investors may be guided by the secondary market prices (in case of a further public offer);
 - (iii) names and editions of the newspapers where the announcement of the floor price or price band would be made;
 - (iv) website addresses where the announcement is available.
- (b) where the issuer decides to opt for a price band instead of a floor price, the issuer shall also ensure compliance with the following conditions:

- (i) The cap of the price band should not be higher by more than 20 per cent. of the floor of the band; i.e. cap of the price band shall be less than or equal to 120 per cent. of the floor of the price band;
⁵³²[Provided that the cap of the price band shall be at least one hundred and five per cent of the floor price.]
 - (ii) The price band can be revised during the bidding period, provided the maximum revision on either side shall not exceed 20 per cent. i.e. floor of price band can move up or down to the extent of 20 per cent. of floor of the price band disclosed in the red herring prospectus and the cap of the revised price band will be fixed in accordance with clause (i) above;
 - (iii) Any revision in the price band shall be widely disseminated by informing the stock exchanges, by issuing public notice and also indicating the change on the relevant website and the terminals of the syndicate member(s).
 - (iv) In case the price band is revised, the bidding period will be extended as per the provisions of these regulations.
 - (v) The manner in which the shortfall, if any, in the project financing will be met, arising on account of lowering of the price band shall be disclosed in the red herring prospectus or the public notice and that the allotment shall not be made unless the financing is tied up.
- (8) The manner and contents of the bid-cum-application form and revision form (accompanied with abridged prospectus) shall be as specified by the Board.
- (9) **Extension of issue period**

- (i) In case of a revision in the price band, the issuer shall extend the bidding (issue) period disclosed in the red herring prospectus, for a minimum period of three working days, subject to the total bidding (issue) period not exceeding ten working days.
- (ii) in case of force majeure, banking strike or similar⁵³³[unforeseen] circumstances, the issuer may, for reasons to be recorded in writing, extend

⁵³² Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022.

the bidding/issue period for a minimum period of ⁵³⁴[one working day], subject to the total bidding/issue period not exceeding ten working days.

(10) **Anchor Investors**

- a) An anchor investor shall make an application of a value of at least ten crore rupees in a public issue on the main board made through the book building process or an application for a value of at least two crore rupees in case of a public issue on the SME exchange made in accordance with **Chapter IX** of these regulations.
- b) Up to sixty per cent. of the portion available for allocation to qualified institutional buyers shall be available for allocation/allotment (“anchor investor portion”) to the anchor investor(s).
- c) Allocation to the anchor investors shall be on a discretionary basis, subject to the following:
 - (I) In case of public issue on the main board, through the book building process:
 - (i) maximum of 2 such investors shall be permitted for allocation up to ten crore rupees
 - (ii) minimum of 2 and maximum of 15 such investors shall be permitted for allocation above ten crore rupees and up to two fifty crore rupees, subject to minimum allotment of five crore rupees per such investor;
 - (i) in case of allocation above two fifty crore rupees; a minimum of 5 such investors and a maximum of 15 such investors for allocation up to two fifty crore rupees and an additional 10 such investors for every additional two fifty crore rupees or part thereof, shall be permitted, subject to a minimum allotment of five crore rupees per such investor.
 - (II) In case of public issue on the SME exchange, through the book building process:
 - (i) maximum of 2 such investors shall be permitted for allocation up to two crore rupees
 - (ii) minimum of 2 and maximum of 15 such investors shall be permitted for allocation above two crore rupees and up to twenty five crore rupees, subject to minimum allotment of one crore rupees per such investor;

⁵³³ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2024 w.e.f. 18.05.2024.

⁵³⁴ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2024 w.e.f. 18.05.2024 for the words “three working days”

- (iii) in case of allocation above twenty five crore rupees; a minimum of 5 such investors and a maximum of 15 such investors for allocation up to twenty five crore rupees and an additional 10 such investors for every additional twenty five crore rupees or part thereof, shall be permitted, subject to a minimum allotment of one crore rupees per such investor.
- d) One-third of the anchor investor portion shall be reserved for domestic mutual funds.
- e) The bidding for anchor investors shall open one day before the issue opening date.
- f) The anchor investors shall pay on application the same margin which is payable by other categories of investors and the balance, if any, shall be paid within two days of the date of closure of the issue.
- g) The allocation to anchor investors shall be completed on the day of the bidding by the anchor investors.
- h) If the price fixed as a result of book building is higher than the price at which the allocation is made to the anchor investors, the anchor investors shall pay the additional amount. However, if the price fixed as a result of book building is lower than the price at which the allocation is made to the anchor investors, the excess amount shall not be refunded to the anchor investors and the anchor investor shall be allotted the securities at the same price at which the allocation was made to it.
- i) The number of shares allocated to the anchor investors and the price at which the allocation is made, shall be made available to the stock exchange(s) by the lead manager(s) for dissemination on the website of the stock exchange(s) before opening of the issue.
- j) ⁵³⁵[*There shall be a lock-in of 90 days on fifty per cent of the shares allotted to the anchor investors from the date of allotment, and a lock-in of 30 days on the remaining fifty per cent of the shares allotted to the anchor investors from the date of allotment.*]
- k) Neither the (i) lead manager(s) or any associate of the lead managers (other than mutual funds sponsored by entities which are associate of the lead managers or insurance companies promoted by entities which are associate of the lead managers or Alternate Investment Funds (AIFs) sponsored by the entities which are associate of the

⁵³⁵ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 1.4.2022 for issues opening on or after 1.4.2022. Prior to the substitution, the sub-clause read as follows:

"There shall be a lock-in of 30 days on the shares allotted to the anchor investors from the date of allotment."

Vide SEBI (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2022, for public issues of a size equal to or more than ₹10,000 crore and opening on or after April 1, 2022, the amendment has been made effective from 1.7.2022.

lead manager or [a foreign portfolio investor other than individuals, corporate bodies and family offices]⁵³⁶ ⁵³⁷***] which are associate of the lead manager ⁵³⁸[or pension funds sponsored by entities which are associate of the lead manager]) nor (ii) any person related to the promoter/promoter group/ shall apply under the Anchor Investors category.

Explanation: For the purpose of clause (k) above, a qualified institutional buyer who has any of the following rights shall be deemed to be a person related to the promoters or promoter group of the issuer:

- (I) rights under a shareholders' agreement or voting agreement entered into with promoters or promoter group of the issuer;
- (II) veto rights; or
- (III) right to appoint any nominee director on the board of the issuer.

Further, for the purposes of this regulation, an anchor investor shall be deemed to be an "associate of the lead manager" if: (i) either of them controls, directly or indirectly through its subsidiary or holding company, not less than fifteen per cent. of the voting rights in the other; or (ii) either of them, directly or indirectly, by itself or in combination with other persons, exercises control over the other; or (iii) there is a common director, excluding nominee director, amongst the anchor investor and the lead manager.

- l) Applications made by a qualified institutional buyer under the anchor investor category and under the non anchor Investor category shall not be considered as multiple applications.

(11) Margin money

- (a) The entire application money shall be payable as margin money by all the applicants.
- (b) Payment accompanied with any revision of bid, shall be adjusted against the payment made at the time of the original bid or the previously revised bid.

⁵³⁶ Substituted by the SEBI (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2019 w.e.f.23.09.2019. Prior to its substitution, it read as "FPIs other than Category III".

⁵³⁷ Omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023.

⁵³⁸ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2023 w.e.f. 23.5.2023.

(12) Bidding process

- (a) The bidding process shall only be through an electronically linked transparent bidding facility provided by the stock exchange (s).
- (b) The lead manager(s) shall ensure the availability of adequate infrastructure with the syndicate member(s) for data entry of the bids in a timely manner.
- (c) At each of the bidding centres, at least one electronically linked computer terminal shall be available for the purpose of bidding.
- (d) During the period the issue is open to the public for bidding, the applicants may approach the stock brokers of the stock exchange/s through which the securities are offered under on-line system, self-certified syndicate bank(s), registrar and share transfer agents or depository participants, as the case may be, to place their bids.
- (e) Every stock broker, self-certified syndicate bank, registrar and share transfer agent and depository participant shall accept applications supported by blocked amount.
- (f) The qualified institutional buyers shall place their bids only through the stock broker(s) who shall have the right to vet the bids;
- (g) At the end of each day of the bidding period, the demand, shall be shown graphically on the bidding terminals of the syndicate member(s) and websites of the stock exchanges for information of the public (details in relation to allocation made to anchor investors shall also be disclosed).
- (h) The retail individual investors may either withdraw or revise their bids until the closure of the issue.
- (i) The qualified institutional buyers and the non-institutional investors shall not be permitted to withdraw or lower the size of their bids at any stage of the issue.
- (m) The issuer may decide to close the bidding by the qualified institutional buyers one day prior to the closure of the issue, subject to the following conditions:
 - (i) the bidding period shall be minimum of three days for all categories of applicants;
 - (ii) necessary disclosures are made in the red herring prospectus regarding the issuer's intent to close the bidding by the qualified institutional buyers one day prior to the closure of the issue.
- (n) The names of the qualified institutional buyers making the bids shall not be made public.
- (o) The retail individual investors may bid at the "cut off" price instead of a specific bid price.

- (p) The stock exchanges shall continue to display on their website, the book building data in a uniform format, *inter alia*, giving category-wise details of the bids received, for a period of at least three days after the closure of the issue. Such display shall be as per the format specified in Part B of this Schedule.

(13) Determination of price

- (a) The issuer shall, in consultation with the lead manager(s), determine the final issue price based on the bids received, and on determination of the same, the number of specified securities to be offered or issue size shall be determined.
- (b) Once the final issue price is determined, all bidders whose bids have been at and above the final price shall be considered for allotment of specified securities.

(14) Filing of prospectus with the Registrar of Companies

A copy of the prospectus, which shall include the price and the number of specified securities, shall be filed by the issuer with the Registrar of Companies.

(15) Manner of allotment/ allocation

- (a) The issuer shall make allotments only if the minimum subscription has been received.
- (b) The allotment/allocation to qualified institutional buyers ⁵³⁹[***], other than the anchor investors, shall be made on a proportionate basis as illustrated in this Schedule. The allotment to retail individual investors ⁵⁴⁰[, *non-institutional investors*] and allotment to employees shall be made in accordance with applicable provisions of these regulations.
- (c) In case of under-subscription in any category, the undersubscribed portion in that category shall be allocated to such bidders as described in the red herring prospectus; **Provided that** the unsubscribed portion in the qualified institutional buyer category shall not be available for subscription to other categories in the case of issues made under sub-regulation (2) of regulation 6 of these regulations.

⁵³⁹ The words and symbol "and non-institutional investors" omitted by the SEBI (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 1.4.2022 for issues opening on or after 1.4.2022. Vide SEBI (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2022, for public issues of a size equal to or more than ₹10,000 crore and opening on or after April 1, 2022, the amendment has been made effective from 1.7.2022.

⁵⁴⁰ Inserted by the SEBI (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 1.4.2022 for issues opening on or after 1.4.2022. Vide SEBI (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2022, for public issues of a size equal to or more than ₹10,000 crore and opening on or after April 1, 2022, the amendment has been made effective from 1.7.2022.

(16) Maintenance of records

- (a) The final book of the demand showing the result of the allocation process shall be maintained by the lead manager and the registrar to the issue.
- (b) The lead manager(s) and other intermediaries associated in the book building process shall maintain records of the book building prices.
- (c) The Board shall have the right to inspect the records, books and documents relating to the book building process and such person shall extend full co-operation.

(17) Applicability to Fast Track Issues

Unless the context otherwise requires, in relation to the fast track issues, all references in this Schedule to 'draft prospectus' shall be deemed to have been made to the 'red herring prospectus'.

Part B - Format of bid data displayed on stock exchange

<NAME OF THE ISSUER> - BID DETAILS

The total demand shall be aggregated by all the stock exchanges on an hourly basis and be displayed on their websites

(1) Details of Allocation to the Anchor Investors

S. No.	Name of the Anchor Investor	No. of securities available under the Anchor Investor portion	Details of Allocation	
			No. of securities	No. of securities allocated as a percentage of securities under the Anchor Investor portion
	AI 1 AI 2			
	Total (a) + (b)			

(2) Details of Allocation to Investors other than Anchor Investors

S. No.	Category of Investor	No. of securities offered/ reserved	No. of securities bid for/allocated	No. of times of the total meant for the category
1.	QIBs			
(a)	Foreign Portfolio Investors			
	Domestic Financial Institutions (Banks/FIs/Insurance Companies, etc.)			
(b)	Mutual Funds			
(c)	Others			
2.	Non Institutional Investors			
(a)	Corporates			
(b)	Individuals (other than RIIs)			
(c)	Others			
3.	Retail Individual Investors (RIIs)			
(a)	Cut off			
(b)	Price bids			
4.	Reservation categories, if any			
(a)	Cut off			
(b)	Price bids			

Notes:

- (1) The graph should have the title "Graphical display of bids received".
- (2) A statement to the effect that the position indicated above is only the bids position and does not necessarily convey the subscription to the issue.
- (3) A statement as to how the multiple bids are accounted for in the data and graph.
- (4) The time of each updation.
- (5) Additional comments, if any.

Part C - Illustration regarding allotment to qualified institutional buyers other than anchor investors

(1) Issue Details

Sr. No.	Particulars	Issue details
1	Issue size	200 crore equity shares
2	Portion available to QIBs*	100 crore equity shares
3	Anchor Investor Portion	60 crore equity shares
	of which	
a.	Reservation for Mutual Funds (1/3 rd)	20 crore equity shares
b.	Balance for all QIBs including Mutual Funds	40 crore equity shares
4	Portion available to QIBs* other than Anchor Investors [(2) – (3)]	40 crore equity shares
	of which	
a.	Reservation to Mutual Funds (5 per cent.)	2 crore equity shares
b.	Balance for all QIBs including Mutual Funds	38 crore equity shares
5	No. of QIB applicants	10
6	No. of shares applied for	500 crore equity shares

* Where 50 per cent. of the issue size is required to be allotted to QIBs.

(2) Details of QIB Bids

S. No.	Type of QIB bidders	No. of equity shares bid for (in crores)
1	A1	50
2	A2	20
3	A3	130
4	A4	50
5	A5	50
6	MF1	40
7	MF2	40
8	MF3	80
9	MF4	20
10	MF5	20
	TOTAL	500

A1-A5 : QIB bidders other than Mutual Funds

MF1-MF5: QIB bidders which are Mutual Funds

(3) Details of Allotment to QIB Bidders/Applicants

(No. of equity shares in crores)

Type of QIB bidders	Equity shares bid for	Allocation of 2 crore equity shares to Mutual Funds proportionately (See Note 2)	Allocation of balance 38 crore equity shares to QIBs proportionately (See Note 4)	Aggregate allocation to Mutual Funds
A1	50	0	3.82	3.82
A2	20	0	1.53	1.53
A3	130	0	9.92	9.92
A4	50	0	3.82	3.82
A5	50	0	3.82	3.82
MF1	40	0.4	3.02	3.42
MF2	40	0.4	3.02	3.42
MF3	80	0.8	6.04	6.84
MF4	20	0.2	1.51	1.71
MF5	20	0.2	1.51	1.71
	500	2.0	38.00	40.00

Notes:

- (1) The illustration presumes compliance with the provisions of these regulations pertaining to minimum allotment.
- (2) Out of 40 crore securities allocated to QIBs, 2 crore equity shares (i.e. 5 per cent.) shall be allocated on a proportionate basis among 5 mutual fund applicants who applied for 200 crore equity shares in the QIB category.
- (3) The balance 38 crore equity shares, i.e. 40 – 2 available for the mutual funds, shall be allocated on a proportionate basis among 10 QIB applicants who applied for 500 crore equity shares (including 5 mutual fund applicants who applied for 200 crore equity shares).
- (4) The figures at column no. IV are arrived as under:
 - a. For QIBs other than mutual funds (A1 to A5) = No. of equity shares bid for (i.e. column no. II) X 38 / 498

- b. For mutual funds (MF1 to MF5) = {(No. of equity shares bid for (i.e. column no. II) less no. of equity shares allotted (i.e. column no. III)} X 38 / 498
- c. The numerator and denominator for arriving at allocation of 38 crore equity shares to the 10 QIBs are reduced by 2 crore equity shares, which have already been allotted to the mutual funds at column. no. III.

Part D - Alternate method of book building

In the case of a further public offering, the issuer may opt for an alternate method of book building, subject to the following:

- (a) The issuer shall follow the procedure laid down in Part A of this Schedule except clause (13) and ⁵⁴¹[clause 15 (b)] thereof.
- (b) The issuer may mention the floor price in the red herring prospectus or announce the floor price at least one working day before opening of the issue in all newspapers in which the pre-issue advertisement was released.
- (c) Qualified institutional buyers shall bid only at a price above the floor price.
- (d) The bidder who bids at the highest price shall be allotted the number of securities it has bid for, the bidder who has bid at the second highest price shall be allotted the number of securities that it has bid for and so on, until all the specified securities on offer are allotted.
- (e) Allotment shall be on a price priority basis for the qualified institutional buyers.
- (f) Allotment to the retail individual investors, non-institutional investors and reserved categories of the issuer shall be made on a proportionate basis as illustrated in this Schedule.
- (g) Where, however, the number of specified securities bid for at a price are more than the available quantity, the allotment shall be done on a proportionate basis.
- (h) Retail individual investors and non-institutional investors shall be allotted specified securities at the floor price.
- (i) Employees may be allotted specified securities at a price lower than the floor price;
Provided that the difference between the floor price and the price at which the specified securities are offered to employees shall not be more than ten per cent. of the floor price.
- (j) The issuer may decide and disclose in the offer document:
 - (i) to place a cap either in terms of number of specified securities or percentage of issued capital of the issuer that may be allotted to a single bidder;

⁵⁴¹ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the words "clause (15) (c)".

- (ii) whether a bidder shall be allowed to revise the bid upwards or downwards in terms of price and/or quantity;
- (iii) whether a bidder shall be allowed only a single or multiple bids.

SCHEDULE XIV - ILLUSTRATION EXPLAINING THE PROCEDURE OF ALLOTMENT

[See regulation 47(3), 49(5), 145(5), 192(1)(a), 204(4), 267(3), 143(3) and 268(5)]

Part A - Illustration explaining the procedure of allotment ⁵⁴²[for retail individual investors]

Example A.

- (1) Total number of specified securities on offer@ ₹ 600 per share: 1 crore specified securities.
- (2) Specified securities on offer for retail individual investors' category: 35 lakh specified securities.
- (3) The issue is over-all subscribed by 2.5 times, whereas the retail individual investors' category is oversubscribed 4 times.
- (4) The issuer has fixed the minimum application/bid size as 20 specified securities (falling within the range of ten thousand to fifteen thousand rupees) and in multiples thereof.
- (5) A total of one lakh retail individual investors have applied in the issue, in varying number of bid lots i.e. between 1 – 16 bid lots, based on the maximum application size of up to two lakh rupees.
- (6) Out of the one lakh investors, there are five retail individual investors A, B, C, D and E who have applied as follows: A has applied for 320 specified securities. B has applied for 220 specified securities. C has applied for 120 specified securities. D has applied for 60 specified securities and E has applied for 20 specified securities.

⁵⁴² Inserted by the SEBI (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 1.4.2022 for issues opening on or after 1.4.2022. Vide SEBI (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2022, for public issues of a size equal to or more than ₹10,000 crore and opening on or after April 1, 2022, the amendment has been made effective from 1.7.2022.

(7) As the allotment to a retail individual investor cannot be less than the minimum bid lot, subject to availability of shares, the remaining available shares, if any, shall be allotted on a proportionate basis.

The actual entitlement shall be as follows:

Sr. No.	Name of Investor	Total Number of specified securities applied for	Total number of specified securities eligible to be allotted
1	A	320	20 specified securities (i.e. the minimum bid lot) + 38 specified securities $\left[\frac{\{35,00,000 - (1,00,000 * 20)\}}{\{140,00,000 - (1,00,000 * 20)\}} * 300 \right]$ (i.e. 320-20)
2	B	220	20 specified securities (i.e. the minimum bid lot) + 25 specified securities $\left[\frac{\{35,00,000 - (1,00,000 * 20)\}}{\{140,00,000 - (1,00,000 * 20)\}} * 200 \right]$ (i.e. 220-20)
3	C	120	20 specified securities (i.e. the minimum bid lot) + 13 specified securities $\left[\frac{\{35,00,000 - (1,00,000 * 20)\}}{\{140,00,000 - (1,00,000 * 20)\}} * 100 \right]$ (i.e. 120-20)
4	D	60	20 specified securities (i.e. the minimum bid lot) + 5 specified securities $\left[\frac{\{35,00,000 - (1,00,000 * 20)\}}{\{140,00,000 - (1,00,000 * 20)\}} * 40 \right]$ (i.e. 60-20)
5	E	20	20 specified securities (i.e. the minimum bid lot)

Example B.

- (1) Total number of specified securities on offer @ ` 600 per share: 1 crore specified securities.
- (2) Specified securities on offer for retail individual investors' category: 35 lakh specified securities.
- (3) The issue is overall subscribed by 7 times, whereas the retail individual investors' category is over-subscribed 9.37 times.
- (4) The issuer has decided the minimum application/bid size as 20 specified securities (falling within the range of ten thousand to fifteen thousand rupees) and in multiples thereof.

(5) A total of two lakh retail individual investors have applied in the issue, in varying number of bid lots i.e. between 1-16 bid lots, based on the maximum application size of up to two lakh rupees.

(6) As per the allotment procedure, the allotment to retail individual investors shall not be less than the minimum bid lot, subject to availability of shares.

(7) Since the total number of shares on offer to the retail individual investors is 35,00,000 and the minimum bid lot is 20 shares, the maximum number of investors who can be allotted this minimum bid lot should be 1,75,000. In other words, 1,75,000 retail applicants shall get the minimum bid lot and the remaining 25,000 retail applicants will not get any allotment.

The details of the allotment shall be as follows:

No. of lots	No. of shares at each lot	No. of retail investors applying at each lot	Total no. of shares applied for at each lot	No. of investors who shall receive minimum bid-lot (to be selected by a lottery)
A	B	C	D= (B*C)	E
1	20	10,000	2,00,000	$8,750 = (1,75,000 / 2,00,000) * 10,000$
2	40	10,000	4,00,000	8,750
3	60	10,000	6,00,000	8,750
4	80	10,000	8,00,000	8,750
5	100	20,000	20,00,000	17,500
6	120	20,000	24,00,000	17,500
7	140	15,000	21,00,000	13,125
8	160	20,000	32,00,000	17,500
9	180	10,000	18,00,000	8,750
10	200	15,000	30,00,000	13,125
11	220	10,000	22,00,000	8,750
12	240	10,000	24,00,000	8,750
13	260	10,000	26,00,000	8,750
14	280	5,000	14,00,000	4,375

15	300	15,000	45,00,000	13,125
16	320	10,000	32,00,000	8,750
Total		2,00,000	328,00,000	1,75,000

Note: For IDRs, the minimum application size shall be twenty thousand rupees.

Part B - Illustration explaining minimum application size

For inviting applications in multiples of the minimum value as referred to in sub-regulation (2) of regulation 49, the procedure is clarified by following example:

Assuming an issue is being made at a price of ₹ 900 per equity share. In this case, the issuer in consultation with the lead merchant banker can determine the minimum application lot within the range of 12 – 16 equity shares (in value terms between Rs.10,000- Rs.15,000), as explained hereunder:

Options	I	II	III	IV	V
	12	13	14	15	16
Lot Size @ ₹ 900/- per share	shares	shares	shares	shares	shares
Application / Bid amount for 1 lots	10800	11700	12600	13500	14400
Application / Bid amount for 2 lots	21600	23400	25200	27000	28800
Application / Bid amount for 4 lots	43200	46800	50400	54000	57600
Application / Bid amount for 8 lots	86400	93600	100800	108000	115200
Application / Bid amount for 16 lots	172800	187200	--	--	--
Application / Bid amount for 18 lots	194400	--	--	--	--

The options given above are only illustrative and not exhaustive.

Where the issuer in consultation with the lead merchant banker decides to fix the minimum application / bid size as 14 (Option III), necessary disclosures to the effect that the applicant can make an application for 14 shares and in multiples thereof shall be made in the offer document.]

⁵⁴³*[Part A1 - Illustration explaining the procedure of allotment for non-institutional investors*

Example A.

- (1) Total number of specified securities on offer @₹ 600 per share: 1 crore specified securities.*
- (2) Specified securities on offer for non-institutional investors' category: 15 lakhs specified securities.*
- (3) Out of the total non-institutional investors' category,*
 - (a) Reserved for applications above two lakhs rupees and up to ten lakhs rupees -i.e., five lakhs of specified securities*
 - (b) Balance for applications above ten lakhs rupees - ten lakhs specified securities*
- (4) The issue is over-all subscribed by 2.5 times, whereas the non-institutional investors' category mentioned in 3 (a) above is oversubscribed 4 times and 3(b) is oversubscribed 50 times.*
- (5) The issuer has fixed the minimum lot size as 20 specified securities (falling within the range of ten thousand to fifteen thousand rupees) and in multiples thereof.*
- (6) Therefore, the minimum application size for non-institutional investors' is 340 specified securities (i.e. the application value should be more than two lakh rupees and in multiples of one lot (i.e. 20 specified securities) thereof.*

⁵⁴³ Inserted by the SEBI (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 1.4.2022 for issues opening on or after 1.4.2022. Vide SEBI (Issue of Capital and Disclosure Requirements) (Second Amendment) Regulations, 2022, for public issues of a size equal to or more than ₹10,000 crore and opening on or after April 1, 2022, the amendment has been made effective from 1.7.2022.

(7) A total of five hundred investors have applied in the issue under 3(a) category, in varying number of application size i.e. between 17 to 83 lots (340 to 1660 specified securities), based on the maximum application size of up to ten lakh rupees.

(8) Out of the five hundred investors, there are five non-institutional investors A, B, C, D and E who have applied as follows: A has applied for 340 specified securities. B has applied for 500 specified securities. C has applied for 1,000 specified securities. D has applied for 1,400 specified securities and E has applied for 1,660 specified securities.

(9) As the allotment to a non-institutional investor cannot be less than the minimum application size, subject to availability of shares, the remaining available shares, if any, shall be allotted on a proportionate basis.

The actual entitlement shall be as follows:

Sr. No.	Name of Investor	Total Number of specified securities applied for	Total number of specified securities eligible to be allotted
1	A	340	340 specified securities (i.e. the minimum applications size)
2	B	500	340 specified securities (i.e. the minimum applications size) + 29 specified securities $[(5,00,000 - (500 * 340)) / (20,00,000 - (500 * 340))] * 160$ (i.e. 500-340)
3	C	1,000	340 specified securities (i.e. the minimum lot of Rs 2 Lakhs) + 119 specified securities $[(5,00,000 - (500 * 340)) / (20,00,000 - (500 * 340))] * 660$ (i.e. 1,000-340)
4	D	1,400	340 specified securities (i.e. the minimum lot of Rs 2 Lakhs) + 191 specified securities $[(5,00,000 - (500 * 340)) / (20,00,000 - (500 * 340))] * 1,060$ (i.e. 1,400-

			340)
5	E	1,660	340 specified securities (i.e. the minimum lot of Rs 2 Lakhs) + 238 specified securities $\{ \{ 5,00,000 - (500 * 340) \} / \{ 20,00,000 - (500 * 340) \} \} * 1,320$ (i.e. 1,660-340)

NOTE: For category 3(b), calculation methodology shall be similar to above.

Example B.

(1) Total number of specified securities on offer @ ₹ 600 per share: 1 crore specified securities.

(2) Specified securities on offer for non-institutional investors' category: fifteen lakh specified securities.

(3) Out of the total non-institutional investors' category,

(a) Reserved for applications above two lakhs rupees and up to ten lakhs rupees -i.e., five lakhs of specified securities

(b) Balance for applications above ten lakhs rupees - ten lakhs specified securities

(4) The issue is overall subscribed by 7 times, whereas the non-institutional investors' category, reserved for applications above two lakh rupees and up to ten lakh rupees -i.e., five lakhs of specified securities is oversubscribed 89.17 times.

(5) The issuer has fixed the minimum lot size as 20 specified securities (falling within the range of ten thousand to fifteen thousand rupees) and in multiples thereof.

(6) Therefore, the minimum application size for non-institutional investors' is 340 specified securities (i.e. the application value should be more than two lakh rupees and in multiples of one lot (i.e. 20 specified securities) thereof.

(7) A total of fifty thousand investors have applied in the issue under 3(a) category, in varying number of application sizes i.e. between 17 – 83 lots (340 to 1660 specified securities), based on the maximum application size of up to ten lakh rupees.

(8) As per the allotment procedure, the allotment to non-institutional investors shall not be less than the minimum application size, subject to availability of shares.

(9) Since the total number of specified securities on offer to the non-institutional investors' applications under 3(a) is 5,00,000 and the minimum application size is 340 specified securities, the maximum number of non-institutional investors' who can be allotted this minimum application size should be 1,471. In other words, 1,471 applicants shall get the minimum application size and the remaining 48,529 applicants will not get any allotment.

The details of the allotment shall be as follows:

No. of lots	No. of shares at each lot	No. of investors applying at each lot	Total no. of shares applied for at each lot	No. of investors who shall receive lots according to minimum application size (to be selected by a lottery)
A	B	C	D= (B*C)	E
17	340	2,500	8,50,000	74= (1,471/50,000) *2,500
18	360	1,000	3,60,000	29
19	380	1,000	3,80,000	29
20	400	1,000	4,00,000	29
21	420	1,000	4,20,000	29
22	440	1,000	4,40,000	29
23	460	1,000	4,60,000	29
24	480	500	2,40,000	15
25	500	500	2,50,000	15
26	520	500	2,60,000	15
27	540	500	2,70,000	15
28	560	1,000	5,60,000	29
29	580	1,000	5,80,000	29

30	600	500	3,00,000	15
31	620	1,000	6,20,000	29
32	640	1,000	6,40,000	29
33	660	1,000	6,60,000	29
34	680	1,000	6,80,000	29
35	700	1,000	7,00,000	29
36	720	500	3,60,000	15
37	740	1,000	7,40,000	29
38	760	1,000	7,60,000	29
39	780	1,000	7,80,000	29
40	800	1,000	8,00,000	29
41	820	1,000	8,20,000	29
42	840	1,000	8,40,000	29
43	860	500	4,30,000	15
44	880	1,000	8,80,000	29
45	900	1,000	9,00,000	29
46	920	1,000	9,20,000	29
47	940	1,000	9,40,000	29
48	960	1,000	9,60,000	29
49	980	1,000	9,80,000	29
50	1000	1,000	10,00,000	29
51	1020	1,000	10,20,000	29
52	1040	1,000	10,40,000	29
53	1060	1,000	10,60,000	29
54	1080	500	5,40,000	15
55	1100	500	5,50,000	15
56	1120	500	5,60,000	15
57	1140	500	5,70,000	15
58	1160	500	5,80,000	15
59	1180	500	5,90,000	15
60	1200	500	6,00,000	15
61	1220	500	6,10,000	15
62	1240	500	6,20,000	15
63	1260	500	6,30,000	15

64	1280	500	6,40,000	15
65	1300	500	6,50,000	15
66	1320	500	6,60,000	15
67	1340	500	6,70,000	15
68	1360	500	6,80,000	15
69	1380	500	6,90,000	15
70	1400	500	7,00,000	15
71	1420	500	7,10,000	15
72	1440	500	7,20,000	15
73	1460	500	7,30,000	15
74	1480	500	7,40,000	15
75	1500	500	7,50,000	15
76	1520	500	7,60,000	15
77	1540	500	7,70,000	15
78	1560	500	7,80,000	15
79	1580	500	7,90,000	15
80	1600	500	8,00,000	15
81	1620	500	8,10,000	15
82	1640	500	8,20,000	15
83	1660	500	8,30,000	15
TOTAL		50,000	4,48,50,000	1,471

NOTE: For applications under category 3(b), calculation methodology shall be similar to above.]

SCHEDULE XV - FORMAT OF REPORT FOR GREEN SHOE OPTION

[See regulation 57(10), 153(10) and 279(10)]

- (1) Name of the issuer:
- (2) Name of the Stabilising Agent (Registration No. as a merchant banker with SEBI):
- (3) Issue size (No. of securities):
- (4) Issue opened on:
- (5) Issue closed on:
- (6) Over-allotment in the issue (per cent):

- (7) Date of commencement of trading:
- (8) Amount in the 'Green Shoe Option Bank Account' (in rupees):
- (9) Name of the promoter and number of the shares borrowed:
- (10) Date on which the stabilisation period ended:
- (11) Number of shares bought during the stabilization period:
- (12) Date on which the issuer allotted further shares to the extent of the shortfall:
- (13) Date when the shares in the Green Shoe Option Demat Account were returned to the promoter(s):
- (14) Date when the money in the Green Shoe Option Bank Account was remitted to the issuer:
- (15) Details of the Depository account (Special account for Green Shoe Option securities) where shares purchased from the market were kept inter-alia the following:
 - (a) Depository Participant
 - (b) Account No.
 - (c) Number of shares purchased, date wise.
 - (d) Number of shares taken out, date wise.
- (16) Details of amount transferred to the Investor Protection and Education Fund established by the Board:

Amount (in rupees)	Cheque/Pay Order details
--------------------	--------------------------

Place: **Stabilising Agent with Official Seal**
Date:

**SCHEDULE XVI - NATURE OF CHANGES IN THE OFFER DOCUMENT REQUIRING
 FILING OF UPDATED OFFER DOCUMENT**
 [See regulation 25(6) ⁵⁴⁴{59E (3)}, 71(6), 123(6) and 186(5)]

- (1) **Changes which require fresh filing of the draft offer document with the Board, along with fees:**
 If changes are made in the offer document with respect to any of the following, the issuer shall file fresh draft offer document with the Board in terms of applicable provisions of these regulations, along with the fees as specified ⁵⁴⁵[Schedule III]:

⁵⁴⁴ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2022, w-e-f 21.11.2022.

- (a) Change in promoter of the issuer.
- (b) Change in more than half of the board of directors of the issuer.
- (c) Change in main object clause of the issuer.
- (d) Any addition to objects of the issue resulting in an increase in the estimated issue size or estimated means of finance by more than twenty per cent.
- (e) If there are grounds to believe that there is an exacerbation of risk on account of deletion of an object resulting in a decrease in issue size by more than twenty per cent
- (f) ⁵⁴⁶[Any Increase or Decrease:
 - (i) **In case of a fresh issue:** any increase or decrease in estimated issue size ⁵⁴⁷[(in Rupee value)] by more than twenty per cent. ⁵⁴⁸[***]; or
 - (ii) **In case of an offer for sale:** any increase or decrease in either the number of shares offered for sale or the estimated issue size ⁵⁴⁹[(in Rupee value), whichever is disclosed in the draft offer document], by more than fifty per cent.; or
 - (iii) **In case of an issue comprising of both fresh issue and offer for sale:** the respective limits as above shall apply.]
- (g) Any increase in estimated deployment in any of the objects of the issue by more than twenty per cent.

Changes which may result in non-compliance with the provisions of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 and the lead manager(s) or issuer do not intend to seek relaxation under regulation 303 of the said regulations.

(2) Changes which require filing of the updated offer document with the Board, along with fees:

⁵⁴⁵ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the word and symbol "*Schedule IV*".

⁵⁴⁶ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2018 w.e.f. 31.12.2018. Prior to its substitution, sub-clause (f) read as follows,-

"(f) Any increase or decrease in estimated issue size by more than twenty per cent."

⁵⁴⁷ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2024 w.e.f. 18.05.2024.

⁵⁴⁸ The words "of the estimated issue size" omitted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2024 w.e.f. 18.05.2024.

⁵⁴⁹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2024 w.e.f. 18.05.2024.

- (a) If changes are made in the offer document with respect to any of the following, the issuer shall file an updated offer document with the Board, along with payment of fees as specified in ⁵⁵⁰[Schedule III]
- (i) **Section 1: Risk Factors:** Any material development which may result in potential risk and may require updation in this section.
 - (ii) **Section 2: Capital Structure:** An aggregate increase of 5 per cent. or more in the shareholding of the promoter or promoter group or an aggregate increase of 5 per cent. or more in the shareholding of the top ten shareholders.
 - (iii) **Section 3: Issue Size:** Any addition or deletion to the objects of the issue resulting in a change in the estimated issue size or estimated means of finance by more than 10 per cent. and not exceeding 20 per cent.
 - (iv) **Section 4: Management:** Appointment of any new director.
 - (v) **Section 5: Promoter Group:** Any addition to the promoter group or group companies.
 - (vi) **Section 6: Financial Statements:** Any variation in net profit after tax or net loss and/ or extraordinary items in excess of 10 per cent. over the last updated financials included in the draft offer document.
 - (vii) **Section 7: Legal and other information:** Any new litigation or any development about a pending litigation which is considered material by the lead manager(s).
- (a) After filing the updated offer document with the Board, the issuer may proceed with the issue after receiving a confirmation to this effect from the Board.

(3) Changes which require filing of the updated offer document with the Board, without fees:

All other changes or updations in the offer document which are not covered under paras (1) and (2) above shall be carried out in the offer document and the updated offer document shall be filed with the Board, without any fees.

**⁵⁵¹[SCHEDULE XVI-A - NATURE OF CHANGES IN THE OFFER DOCUMENT
REQUIRING FILING OF UPDATED OFFER DOCUMENT**

⁵⁵⁰ Substituted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 w.e.f. 14.1.2022 for the word and symbol “Schedule IV”.

[See regulation 59E (2)]

(1) Changes which require fresh filing of the pre-filed draft offer document or draft offer document with the Board, along with fees:

(a) If changes are made in the pre-filed draft offer document after receipt of observations or comments from the Board with respect to any of the following, the issuer shall file the fresh pre-filed draft offer document or draft offer document with the Board in terms of the applicable provisions of these regulations, along with the fees as specified in Schedule III:

- (i) Change in the promoter of the issuer.
- (ii) Change in more than half of the board of directors of the issuer.
- (iii) Change in the main objects clause of the issuer.
- (iv) Any addition to the objects of the issue resulting in an increase in the estimated issue size or estimated means of finance by more than fifty per cent.
- (v) If there are grounds to believe that there is an exacerbation of risk on account of deletion of an object resulting in a decrease in issue size by more than fifty per cent.
- (vi) In case of a fresh issue, any increase or decrease in the estimated issue size ⁵⁵²[(in Rupee value)] by more than fifty percent.
- (vii) In case of an offer for sale, any increase or decrease in the number of shares offered for sale or the estimated issue size ⁵⁵³[(in Rupee value), whichever is disclosed in the draft offer document], by more than fifty percent.
- (viii) In case of an issue comprising of both fresh issue and offer for sale, any increase or decrease in the respective limits as specified in clause (vi) and clause (vii).
- (ix) Any increase in estimated deployment in any of the objects of the issue by more than twenty per cent.

(b) Changes which may result in non-compliance with the provisions of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 and the lead manager(s) or issuer do not intend to seek relaxation under regulation 303 of the said regulations.

⁵⁵¹ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2022, w-e-f 21.11.2022.

⁵⁵² Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2024 w.e.f. 18.05.2024.

⁵⁵³ Inserted by the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2024 w.e.f. 18.05.2024.

(2) Changes which require filing of the updated pre-filed offer document with the Board, along with fees:

(a) If changes are made in the pre-filed offer document with respect to any of the following, the issuer shall file an updated offer document with the Board, along with payment of fees as specified in Schedule III:

- (i) **Section 1: Risk Factors:** Any material development which may result in potential risk and may require updation in this section.
- (ii) **Section 2: Capital Structure:** An aggregate increase of 5 percent or more in the shareholding of the promoter or promoter group or an aggregate increase of 5 per cent. or more in the shareholding of the top ten shareholders.
- (iii) **Section 3: Issue Size:** Any addition or deletion to the objects of the issue resulting in a change in the estimated issue size or estimated means of finance by more than 10 percent and not exceeding 20 per cent.
- (iv) **Section 4: Management:** Appointment of any new director.
- (v) **Section 5: Promoter Group:** Any addition to the promoter group or group companies.
- (vi) **Section 6: Financial Statements:** Any variation in net profit after tax or net loss and/ or extraordinary items in excess of 10 percent over the last updated financials included in the draft offer document.
- (vii) **Section 7: Legal and other information:** Any new litigation or any development about a pending litigation which is considered material by the lead manager(s).

(b) After filing the updated offer document with the Board, the issuer may proceed with the issue after receiving a confirmation to this effect from the Board.

(3) Changes which require filing of the updated offer document with the Board, without fees:

All other changes or updations in the pre-filed offer document which are not covered under paras (1) and (2) above shall be carried out in the offer document and the updated offer document shall be filed with the Board without any fees.]

SCHEDULE XVII - FORMATS OF POST-ISSUE REPORTS

Part A - Format of final post-issue report for a public issue

[See regulations 55, 151, 210 and 273]

Subscription Status: (Subscribed / Undersubscribed)

Note:

The lead manager(s) shall provide correct information after verifying it from the issuer and the registrar to the issue.

(I) IN CASE OF A SUBSCRIBED ISSUE:

- (1) Name of the issuer :
- (2) Issue opening date :
- (3) Actual closing date :
- (4) Issue Details (as per the prospectus) :
 - (a) Nature of specified securities (equity shares/fully convertible debentures/partly convertible debentures, etc.) :
 - (b) Offer price per instrument :
 - (c) Amount per instrument on application :
 - (d) Issue size (‘ lakhs) :
- (5) Number of collecting banks :
(Also specify number of bank branches)
- (6) Bank-wise names of branches which did not submit final consolidated certificates on the date of closure of the issue and the dates when they actually submitted the same :
- (7) Subscription Details:
 - (a) Public Offer (Net) (including unsubscribed portion of the reserved category added back to the net public offer)
 - (i) No. of applications received :
 - (ii) No. of instruments applied for :
 - (iii) Amount of subscription received (‘ lakhs) :
 - (iv) No. of times issue subscribed :
 - (b) Information relating to reserved categories

Reservations	No. of applications	No. of instruments	Amount
Employees			
Others			
(Specify)			
- (8) Date of finalisation of the Basis of Allotment (enclose copy of Basis of Allotment) :
- (9) Allotment Details:
 - (a) No. of successful allottees per 1 lakh shares :
 - (b) No. of unsuccessful allottees :

- (1) Date of completion of:
 - (a) Unblocking instructions :
 - (b) Certificates/Allotment Letters :
 - (c) Reasons for delay, if any : :
- (2) Amount of refund due : '
- (3) Name and address of the Refund Banker :
- (4) Date of transfer of refund amount to the Refund Banker, if any :
- (5) Name of the Designated Stock Exchange :
- (6) Names of other stock exchanges where listing sought :
- (7) Dates on which application was filed with each stock exchange for listing :
- (8) Dates on which listing and trading permission was given by each stock exchange (enclose copies of permission letters of the stock exchanges) :
- (9) Reasons for delay in listing, if any :

(II) IN CASE OF UNDER SUBSCRIBED ISSUE:

- (1) If the issue is underwritten, the amount of issue underwritten :
- (2) Extent of under-subscription on the date of closure of the issue
 - (a) Percentage :
 - (b) Amount :
- (3) Total number of underwriters :
- (4) If the devolvement notices had not been issued, how was the shortfall met :
- (5) Number of underwriters to whom devolvement notices had been issued :
- (6) Date of issue of devolvement notices :
- (7) Number of underwriters who did not honour the devolvement (Names, amount underwritten and reasons for not honouring) :
- (8) In case of default by the underwriters, how was the shortfall was met :
- (9) In case QIBs have subscribed to make up the shortfall, not as an underwriter :
 - (a) Names of the QIBs :
 - (b) Number of securities applied for :
 - (c) Amount received :

Certified that the information given above and also in the enclosures are true to the best of our knowledge and no unblocking or demat credits are pending.

Certified that the specified securities to be locked-in are duly inscribed with the words “specified securities cannot be hypothecated / transferred / sold till” or necessary instructions to this effect have been sent to the depositories.

Signed by

Registrars to the issue

Issuer

Lead manager(s)

Place:

Date:

Part B - Format of initial post-issue report for a rights issue

[See regulation 96(a)]

Subscription Status: (Subscribed / Undersubscribed)

Note: The lead manager(s) shall provide correct information after verifying it from the issuer and the registrar to the issue.

- (1) Name of the issuer :
- (2) Issue opening date :
- (3) Actual closing date :
- (4) Date of filing of the letter of offer with the stock exchanges :
- (5) **Issue details (as per the letter of offer)** :
 - (a) Basis of offer (ratio) :
 - (b) Nature of specified securities (equity shares/fully convertible debentures/partly convertible debentures, etc.) :
 - (c) Offer price per instrument :
 - (d) Amount per instrument on application :
 - (e) Issue size (‘ lakhs) :
- (6) Record date :
- (7) Provisional subscription details of the issue :

- (a) Total amount that was to be collected on :
application (₹ lakhs)
- (b) Actual amount collected on application (₹ :
lakhs)
- (c) Per cent. subscribed i.e. per cent. of (ii) to :
(i)
- (d) Whether 90 per cent. minimum : Yes/ No
subscription collected

Signed by

Registrars to the issue

Issuer

Lead manager(s)

Place:

Date:

Part C - Format of final post-issue report for a rights issue

[See regulations 96(b)]

Subscription Status: (Subscribed / Undersubscribed)

Notes:

The lead manager(s) shall provide correct information after verifying it from the issuer and the registrar to the issue.

(A) IN CASE OF A SUBSCRIBED ISSUE:

- (1) Name of the issuer
- (2) Issue opening date
- (3) Actual issue closing date
- (4) Issue details (as per the letter of offer)

- (a) Basis of offer
- (b) Nature of the instrument
- (c) Offer price per instrument
- (d) Amount per instrument on application
- (e) Issue size (₹ lakhs)
- (5) 3-Day Report
 - (a) Due on
 - (b) Submitted on
- (6) Number of collecting banks (also specify number of bank branches)
- (7) Bank-wise names of branches which did not submit the final consolidated certificate on the date of closure of the issue and the dates when they actually submitted the same
- (8) Details of subscription
 - a) Percentage of rights issue taken up by
 - (i) Promoters
 - (ii) Other Shareholders
 - b) Percentage of rights issue renounced by
 - (i) Promoters
 - (ii) Other Shareholders
 - c) Percentage of rights issue taken by shareholders/renounces
 - d) Percentage of rights issue for suitable allotment at the disposal of the Board
 - e) Out of the unsubscribed portion, as in above, taken by
 - (i) Promoters
 - (ii) Other Shareholders
- (9) Promoters' shareholding

	No. of shares	Percentage
f) Prior to the issue		
g) On expanded capital after the issue		
- (10) Date of finalisation of allotment (enclose copy of the Basis of Allotment)
 - (a) Name and address of the Refund Banker
 - (b) Amount of refund due

- (c) Date of transfer of refund amount to the Refund Banker, if any
- (11) Dates of
 - (a) Unblocking instructions
 - (b) Demat credits
 - (c) Reasons for delay, if any
- (12) Name of the Designated Stock Exchange
- (13) Names of the other stock exchanges where listing sought
- (14) 15th day from the date of closure of the issue
- (15) Dates on which application was filed with each stock exchange for listing of instruments
- (16) Dates on which listing and trading permission was given by each stock exchange (enclose copies of permission letters of the stock exchanges)
- (17) Reason for delay in listing, if any

(B) IN CASE OF UNDER-SUBSCRIBED ISSUE:

- (1) Name of the issuer
- (2) Extent of under-subscription on the date of closure of the issue
 - a) Percentage
 - b) Amount
- (3) Details of standby assistance, if any
 - a) Number of underwriters
 - b) Number of underwriters who did not honour the devolvement (Names, amount underwritten and reasons for not honouring)
- (4) In case QIBs have subscribed to make up the shortfall, not as an underwriter
 - a) Names of the QIBs
 - b) No. of securities applied for
 - c) Amount received

Certified that the information given above and also in the enclosures are true to the best of our knowledge and no unblocking/ demat credit are pending.

Certified that the specified securities to be locked-in are duly inscribed with the words "specified securities cannot be hypothecated / transferred / sold till" or necessary instructions to this effect have been sent to the depositories.

Signed by

Registrars to the issue

Issuer

Lead manager(s)

Place:

Date:

SCHEDULE XVIII - FORMAT OF UNDERWRITING DEVOLVEMENT STATEMENT

[See regulation 52(7), 93(7), 148(7), 202(4), 207(7) and 271(7)]

- (1) Name of the lead manager(s) :
- (2) Name of the issuer :
- (3) Issue size :
- (4) Statement of non-acceptance of underwriting devolvement :

Sr. No.	Name of the underwriter	Amount underwritten	Amount devolved	Date of issue of notice of devolvement, if any	Reasons for not accepting devolvement

SCHEDULE XIX - LISTING OF SECURITIES ON STOCK EXCHANGES

[See regulation 7(1)(a), 62(1)(a), 104(1)(a) and 183(3)(a)]

In-principle approval of recognised stock exchange(s)

(1) The issuer shall obtain an in-principle approval from the recognised stock exchange as follows:

- a) in case of an initial public offer or an issue of Indian Depository Receipts (hereinafter referred to as 'IDRs'), from all the recognised stock exchange(s) on which the issuer, proposes to get its specified securities or IDRs, as the case may be, listed; and
- b) in case of other issues, before issuance of further securities, as follows:
 - (i) where the securities are listed only on the recognised stock exchange(s) having nationwide trading terminals, from all such stock exchange(s);
 - (ii) where the securities are not listed on any recognised stock exchange having nationwide trading terminals, from all the stock exchange(s) on which the securities of the issuer are proposed to be listed;
 - (iii) where the specified securities are listed on recognised stock exchange(s) having nationwide trading terminals as well as on the recognised stock exchange(s) not having nationwide trading terminals, from all recognised stock exchange(s) having nationwide trading terminals.

Application for listing

(1) The issuer shall complete the pre-listing formalities within the timelines specified by the Board.

(2) The issuer shall make an application for listing, from the date of allotment, within such period as may be specified by the Board from time to time, to one or more recognized stock exchange(s).

(3) In the event of failure to make an application for listing by the issuer within the time stipulated in (2) above, or non-receipt of the listing permission by the issuer from the stock exchange(s) or withdrawal of the Observation Letter issued by the Board, wherever applicable, the securities shall not be eligible for listing and the issuer shall be liable to refund the subscription monies, if any, to the respective allottees immediately, along with penal interest for each day of delay at the rate of fifteen per cent. per annum from the date of allotment.

Listing agreement

Every issuer desirous of listing its securities on a stock exchange shall execute a listing agreement with such a stock exchange in terms of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Obligation of stock exchange(s)

The stock exchange(s) shall grant an in-principle approval or list the securities or reject the application for the in-principle approval or listing by the issuer within thirty days from the later of the following dates:

- (a) the date of receipt of application for in-principle approval or listing from issuer;
- (b) the date of receipt of satisfactory reply from the issuer in cases where the stock exchange(s) has sought any clarification from it.

SCHEDULE XX - CONDITIONS/ MANNER OF PROVIDING EXIT OPPORTUNITY TO DISSENTING SHAREHOLDERS

[See regulation 59 and 157]

Applicability

(1) The provisions of this Chapter shall apply to an exit offer made by the promoters or shareholders in control of an issuer to the dissenting shareholders in terms of section 13(8) and section 27(2) of the Companies Act, 2013, in case of change in objects or variation in the terms of contract referred to in the offer document.

(2) The provisions of this Chapter shall not apply where there are neither identifiable promoters nor shareholders in control of the listed issuer.

Definitions

For the purpose of this Schedule:

- (a) “dissenting shareholders” means those shareholders who have voted against the resolution for change in objects or variation in terms of a contract relating to objects, referred to in the offer document of the issuer;
- (b) “frequently traded shares” shall have the same meaning as assigned to it in the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011.
- (c) “relevant date” means date of the board meeting in which the proposal for change in objects or variation in terms of a contract relating to objects, referred to in the offer document is approved, before seeking shareholders’ approval.

Conditions for exit offer

The promoter or the shareholders in control, as the case may be, shall make an exit offer in accordance with the provisions of this Chapter, to the dissenting shareholders, in cases only if a public issue has opened after April 1, 2014; if,

- (a) the proposal for change in objects or variation in terms of a contract, referred to in the offer document is dissented by at least ten per cent. of the shareholders who voted in the general meeting; and
- (b) the amount to be utilized for the objects for which the offer document was issued is less than seventy five per cent. of the amount raised (including the amount earmarked for general corporate purposes as disclosed in the offer document).

Eligibility of shareholders for availing the exit offer

Only those dissenting shareholders of the issuer who are holding shares as on the relevant date shall be eligible to avail the exit offer.

Exit price

The 'exit price' payable to the dissenting shareholders shall be the highest of the following:

- (a) the volume-weighted average price paid or payable for acquisitions, whether by the promoters or by any person acting in concert with them, during the fifty-two weeks immediately preceding the relevant date;
- (b) the highest price paid or payable for any acquisition, whether by the promoter or by any person acting in concert with them, during the twenty-six weeks immediately preceding the relevant date;
- (c) the volume-weighted average market price of such shares for a period of sixty trading days immediately preceding the relevant date as traded on the stock exchange where the maximum volume of trading in the shares of the issuer are recorded during such period, provided such shares are frequently traded;
- (d) where the shares are not frequently traded, the price determined by the promoter or shareholders having control and the lead manager(s) taking into account valuation parameters including book value, comparable trading multiples, and such other parameters as are customary for valuation of shares of such issuers.

Manner of providing exit to dissenting shareholders.

- (1) The notice proposing the passing of special resolution for changing the objects of the issue and varying the terms of contract relating to objects, referred to in the offer document, shall also contain information about the provision for an exit offer to the dissenting shareholders.

- (2) A statement to the effect that the promoter/shareholders in control shall provide an exit opportunity to the dissenting shareholders shall be included in the explanatory statement to the notice for passing special resolution.
- (3) After passing of the special resolution, the issuer shall submit the voting results to the stock exchange(s), in terms of the provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- (4) The issuer shall also submit the list of dissenting shareholders, as certified by its compliance officer, to the stock exchange(s).
- (5) The promoter /shareholders in control, as the case may be, shall appoint a merchant banker registered with the Board and finalize the exit offer price in accordance with these regulations.
- (6) The issuer shall intimate the stock exchange(s) about the exit offer to dissenting shareholders and the price at which such offer is being given.
- (7) The stock exchange(s) shall, on receipt of such intimation, disseminate the same to the public within one working day.
- (8) To ensure security for performance of their obligations, the promoter or shareholders in control, as the case may be, shall create an escrow account which may be interest-bearing and deposit the aggregate consideration in the escrow account at least two working days prior to opening of the tendering period.
- (9) The tendering period shall start not later than seven working days from the passing of the special resolution and shall remain open for ten working days.
- (10) The dissenting shareholders who have tendered their shares in acceptance of the exit offer shall have the option to withdraw such acceptance till the date of closure of the tendering period.
- (11) The promoter /shareholders in control, as the case may be, shall facilitate tendering of shares by the shareholders and settlement of the same through the stock exchange mechanism as specified by SEBI for the purpose of takeover, buy-back and delisting.
- (12) The promoter /shareholders in control, as the case may be, shall, within a period of ten working days from the last date of the tendering period, make payment of the consideration to the dissenting shareholders who have accepted the exit offer.
- (13) Within a period of two working days from the payment of the consideration, the issuer shall furnish to the stock exchange(s), disclosures giving details of aggregate number of shares tendered, accepted, payment of the consideration and the post-offer shareholding pattern of the issuer and a report by the lead manager(s) that the payment has been duly made to all the dissenting shareholders whose shares have been accepted in the exit offer.

Offer not to exceed maximum permissible non-public shareholding.

In the event the shares accepted in the exit offer were such that the shareholding of the promoters or shareholders in control, taken together with persons acting in concert with them pursuant to completion of the exit offer, results in their shareholding exceeding the maximum permissible non-public shareholding, the promoters or shareholders in control, as applicable, shall be required to bring down the non-public shareholding to the level specified and within the time permitted under Securities Contract (Regulation) Rules, 1957.

Sd/-

AJAY TYAGI

CHAIRMAN

SECURITIES AND EXCHANGE BOARD OF INDIA